भारतीय प्रतिभूति और विनिमय बोर्ड
Securities and Exchange Board of India

THE INVESTOR AWARENESS WORKBOOK

UNDERSTANDING INDIA'S SECURITIES MARKET



Partners

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This publication reflects the collective commitment of SEBI, NISM, and the SMPs to equip investors with reliable, relevant, and easy-to-understand information, so that they may make informed investment decisions.

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How to Use This Workbook

This book is a staircase, not a library

Most books about investing are written like reference libraries. You are expected to know which shelf you need. This one is built like a staircase. Every chapter stands on the one before it, and you can climb it without knowing anything about money markets when you start.

You need no prior knowledge. You need no degree in commerce. If you earn money, spend money, and have ever wondered whether you are doing the right thing with what is left over, this book is written for you.

Read it in order. The chapters are short. There are twenty-seven of them and they are meant to be climbed one at a time, not searched.

If you skip ahead to Part 5 to find out how to buy a share, you will find the instructions — but you will not understand why you are buying it, or how much, or whether you should be buying it at all. Those answers are in the earlier chapters.

The seven parts

Part 1 — Money Before Markets (Chapters 1–5). Nothing about the stock market. This part is about your salary, your spending, your emergency fund and your loans. If this part is not in order, no investment will save you.

Part 2 — From Money to a Plan (Chapters 6–8). Turning "I want to be financially secure" into numbers with dates attached, and learning the one trade-off that governs every investment decision ever made.

Part 3 — Understanding & Preparing to Enter the Market (Chapters 9–13). What the securities market is, what a share, a bond and a fund unit actually are, who the players are, and who regulates them. What accounts are needed and why KYC is needs before investment.

Part 4 — Investing Through Mutual Funds (Chapters 14–16). How mutual funds work, how to choose one, and how to invest in them automatically every month.

Part 5 — Investing Directly: Shares, Bonds and Government Schemes (Chapters 17–20). Applying for IPOs, buying shares directly, bonds and government securities, and the government-backed schemes — PPF, NSC, SCSS, Sukanya Samriddhi and NPS.

Part 6 — Staying Invested (Chapters 21–25). The unglamorous part that decides whether you actually make money: reading your statements, managing your own mind, planning for the things you actually want, handling tax, and protecting your family.

Part 7 — Protecting Yourself (Chapters 26–27). How frauds work, how to verify anyone before you pay them, and exactly what to do when something goes wrong.

Where to stop

Parts 1 to 4 are a complete outcome on their own. A reader who finishes Chapter 16 has a budget, an emergency fund, insurance, no high-cost debt, costed goals, an asset allocation, working accounts and money being invested every month. That is a sound position to hold for a year while you get used to it, and a reader who goes no further has still done the hard part.

Between Part 4 and Part 5 there is a short checkpoint — five rules that protect you. Read it whether or not you intend to go further. It takes four minutes and it is the highest-value page in this book.

Parts 5 to 7 are for the reader who has done all of that and lived with it through at least one falling market.

What each chapter contains

Every chapter follows the same shape, so you always know where you are:

Section	What it does
Where this fits	One line connecting this chapter to the last one
By the end of this chapter you will be able to	Three specific things — not vague aims
The main content	Plain language, short paragraphs, worked examples in rupees
Worked Example	A real calculation with real numbers you can follow
Watch Out	A specific mistake people actually make
Recap in One Minute	Five bullets. If you remember nothing else, remember these
Check Your Understanding	Three questions. Answers are in Appendix D
Your Action Step	Before you move to the next chapter, complete the action steps mentioned in each chapter. This workbook is only useful, when you put the learning into practice.

Three promises and one warning

Promise 1- Every rupee figure in this book is illustrative unless it is labelled as a rule.

Illustrations show you how something works; they are not predictions of what you will earn.

Promise 2- Where a rule can change — a tax rate, a threshold, a limit — this book tells you so and tells you where to check the current version. Appendix E lists every official source.

Promise 3- This book will never tell you to buy a particular scheme, share or fund. It teaches you how to judge for yourself.

The warning. No book, no app, no adviser and no regulator can guarantee you a return. If anyone ever guarantees you a return in the securities market, you have just met a fraud. Chapter 26 explains why in detail, but you may as well learn it on page one.

A note on rules and dates

Financial rules in India change frequently and for good reason — the market is modernising fast. Figures in this workbook reflect the position as at the date of publication. Tax rates in particular are revised in most Union Budgets, and the Income-tax Act, 2025 came into force on 1 April 2026, replacing the Income-tax Act, 1961 and renumbering almost every section and form reference along with it. Chapter 24 explains what that means in practice.

Before you act on any tax figure or any threshold anywhere in this book, check the current position at the official source listed in Appendix E. Getting into that habit is itself part of becoming a competent investor.

Part 1 — Money Before Markets

> *No house stands on sand, however carefully it is built. Part 1 is the ground you build on. There is not a single mention of shares, mutual funds or the stock exchange in these five chapters — and that is deliberate. Most people who lose money in the securities market lose it because Part 1 was never done, not because they picked the wrong fund.*

Chapter 1

Your Money: Where It Comes From, Where It Goes

Where this fits: This is the first step. Everything else in the book rests on it.

By the end of this chapter you will be able to:

- State your own monthly income and expenditure as two specific numbers
- Calculate your monthly surplus and name three sensible things to do with it
- Explain why keeping money at home costs you money every year

Money has only three jobs

Every rupee that reaches your hand does exactly one of three things. It gets spent, it gets saved, or it gets invested. That is the whole of personal finance. Everything else in this book is detail hanging off those three words.

Most people manage the first one by instinct and the other two by accident. The purpose of this chapter is to replace the accident with a decision.

Income: what comes in

Income - is all the money you receive in a period — usually a month. It includes:

- Salary or wages
- Profit from a business or profession
- Rent from property you own
- Interest from bank deposits
- Pension
- Money received under government schemes
- Payments for freelance or part-time work

Two things about income matter more than its size.

Regularity - A salaried person receiving ₹30,000 on the first of every month can plan with more confidence than a trader whose income swings between ₹10,000 and ₹80,000. If your income is irregular, plan on your *lowest* typical month, not your average one.

Number of sources - A household with one earner and one income stream is fragile. If that stream stops, everything stops. Over time, the goal is to add sources — a skill that earns on the side, a spouse's income, and eventually income from assets you own. Building that second and third stream is one of the reasons this book exists.

Expenditure: what goes out

Expenditure is money spent to meet needs and obligations. Rent, food, school fees, electricity, transport, medicines, EMIs, phone recharges, festival spending, eating out, subscriptions.

Here is the difficulty. Most people can state their income to the rupee and cannot state their expenditure within ₹5,000. Income arrives in one or two large, memorable transactions. Expenditure leaves in a hundred small forgettable ones.

You cannot manage a number you do not know. The next chapter shows you how to find it.

The number that matters: your surplus

Surplus = Income – Expenditure



If the answer is positive, you have a surplus. If it is negative, you have a **deficit**, and you are funding it either by drawing down past savings or by borrowing. A household running a deficit month after month is heading towards a debt trap, and no investment product can rescue it. Fixing the deficit comes first.

If you have a surplus, you have exactly three sensible uses for it, and they should generally be taken in this order:

1. **Clear high-cost debt:** Paying off a credit card charging 36% a year is mathematically identical to earning a guaranteed, tax-free 36% return. No investment will beat that.
2. **Build an emergency fund:** Money set aside in a safe, instantly accessible place for the month everything goes wrong.
3. **Invest for your goals:** Only once the first two are done. Parts 2 to 4 cover this.

> ***Worked Example — Meera's surplus***
>
> *Meera is a schoolteacher in Nashik. Her salary is ₹38,000 a month. She also gives private tuition and earns about ₹4,000 more.*

- Total income: ₹42,000
- She writes down her expenses for one month and finds they total ₹36,500
- **Surplus = ₹42,000 – ₹36,500 = ₹5,500 a month**

> *Meera had always assumed she "saved nothing." In fact she was generating ₹66,000 a year in surplus — she simply had never seen the number, so it drifted away in unplanned spending. Naming the number is what allowed her to direct it.*

Where households commonly keep savings

Before we discuss investing at all, it is worth being honest about where money actually sits in most Indian households.



Savings bank account - Money is instantly available, deposits and withdrawals are easy, and it earns a small rate of interest set by the bank. Rates vary by bank and account type and can be changed by the bank.

Deposits with scheduled commercial banks in India are insured by the Deposit Insurance and Credit Guarantee Corporation (DICGC) up to ₹5 lakh per depositor per bank, covering principal and interest together. This is a genuine safety feature and worth knowing about.

Recurring deposit (RD) - A fixed amount is deducted every month for a fixed tenure — typically anywhere from six months to ten years — and earns a fixed rate of interest agreed at the start. An RD suits a person who wants to build a habit of monthly saving with certainty about the maturity amount.

Fixed deposit (FD) - A lump sum is placed for a fixed period at a fixed rate. Premature withdrawal is usually allowed with a penalty on the interest rate.

Cash at home - Earns nothing at all. It is kept for convenience, for privacy, or out of habit. In small amounts this is perfectly reasonable. In large amounts it is one of the most expensive habits in personal finance — expensive in a way that is invisible, which is precisely why it persists.

> ***Watch Out — the invisible cost of cash at home***
>
> *₹1,00,000 kept in a steel almirah for ten years is still ₹1,00,000 at the end of ten years. But the things you can buy with it will have shrunk substantially, because prices will have risen every one of those ten years. Nothing was stolen. No one cheated you. Yet you are materially poorer. The next chapter gives this effect its name and its arithmetic.*

Why saving alone is not enough

Consider a simple question

If prices are rising by about 6% a year and your savings account pays about 3%, is your money keeping up with the cost of living?

It is not. It is falling behind by roughly 3% a year, every year, quietly and without any statement ever showing you a loss. The balance in your passbook goes up. Your ability to buy things goes down.

This is not an argument for abandoning savings accounts — you need one, and this book will later insist that you keep real money in one. It is an argument for understanding that a savings account is a *parking* place, not a *growth* place. Knowing the difference between the two is the single most valuable idea in Part 1.

Recap in One Minute

- Every rupee is spent, saved or invested. Choose deliberately rather than by default.
- Income is what comes in; regularity and number of sources matter as much as the amount.
- Expenditure is what goes out, and almost nobody knows their own number until they measure it.
- Surplus = Income − Expenditure. This is the number your entire financial future is built from.
- A savings account parks money safely; it does not grow it faster than prices rise.

Check Your Understanding

1. Rakesh earns ₹55,000 a month and spends ₹58,000. What is his surplus, and what should his first priority be?
2. Name two advantages and one disadvantage of keeping money in a savings bank account.
3. Why is a household with two income sources more secure than one with a single larger source?

Your Action Step

Take a sheet of paper. Write your total monthly income at the top. For the next seven days, write down every single rupee you spend, including the ₹10 ones. Do not change your behaviour — just record it. You will use this sheet in the next chapter.

Chapter 2

The Budget That Actually Works

Where this fits: You have found your surplus. Now you will take control of it, rather than letting it evaporate.

By the end of this chapter you will be able to:

- Sort any expense into needs, wants or desires and explain why it matters
- Apply the 50-30-20 rule to your own income
- Explain the difference between active and passive income, and why it decides when you can stop working

Financial literacy has three parts, and most people have only one

Being good with money is not the same as knowing about money. It has three components, and weakness in any one of them undoes the other two.

Financial knowledge — what you know?

Understanding what inflation does, how compounding works, what a mutual fund is, how a loan is priced. This is the part books teach, and it is the easiest part.

Financial attitude — how you think?

Whether you are willing to delay a pleasure today for a larger one later. Whether you treat saving as a leftover or as an obligation. A person with excellent knowledge and a poor attitude will make impressive-sounding decisions and still end up broke.

Financial behaviour — what you actually do?

Tracking spending. Paying the credit card in full. Setting up the monthly investment and not cancelling it in a bad month. This is the part that produces results, and it is the hardest.



This book supplies the knowledge. It can nudge the attitude. Only you can supply the behaviour — which is why every chapter ends with an action step.

The 50-30-20 rule

A budget is not a punishment. It is a plan that decides where money goes *before* it goes there.

The simplest framework that works for most households divides take-home income three ways:

Share	Purpose	What it covers
50%	Needs	Rent, basic groceries, utilities, transport to work, school fees, insurance premiums, minimum loan repayments
30%	Wants	Eating out, entertainment, shopping beyond necessity, travel, hobbies, upgrades
20%	Savings investments	Emergency fund, debt repayment above the minimum, and investing for your goals

Treat these as targets, not laws. In a high-rent city, needs may genuinely take 60%. In that case the 30% must shrink, not the 20%. The one line that should not be crossed is the savings line, because it is the only one with no immediate consequence for breaking it — and therefore the only one that gets broken.

> ***Worked Example — applying 50-30-20***
>
> *Sunita's take-home salary is ₹40,000.*

- Needs (50%): ₹20,000 — rent ₹11,000, groceries ₹5,500, electricity and gas ₹1,500, bus pass ₹800, health insurance premium ₹1,200
- Wants (30%): ₹12,000 — eating out, a streaming subscription, clothes, a monthly outing
- Savings and investments (20%): ₹8,000

> *Sunita's ₹8,000 goes first to building an emergency fund. Once that is complete, the same ₹8,000 becomes her monthly investment. Note that she did not need a raise to start investing. She needed a decision.*



Figure 1 *The 50-30-20 split, applied to Sunita's ₹40,000. In a costly city the needs share may stretch to 60% — in which case the wants share shrinks, never the savings share.*

Needs, wants and desires

The 50-30-20 rule only works if you can sort expenses honestly. Three categories help.

Needs are what you cannot live safely or decently without. Basic food, shelter, electricity and water, essential clothing, medicine, children's schooling, travel to work, insurance premiums. Cutting these damages your life or your health.

Wants improve comfort or enjoyment but are not required. Restaurant meals, weekend cinema, branded clothing, a new phone while the old one still works, a subscription you use twice a month.

Desires are aspirational and expensive — a luxury car, designer goods, an overseas holiday. There is nothing wrong with desires. There is a great deal wrong with funding them from borrowings.

The dividing line is not the item. It is the version of the item. A phone is a need. A ₹1,20,000 phone is a desire wearing a need's clothing. Rice is a need. A restaurant is a want. Being honest about which is which is uncomfortable, and it is exactly where budgets succeed or fail.

The rule to remember: cover needs first, set aside your savings and investments second, and spend on wants and desires only from what remains.

The savings-first equation

Here is a change to one line of arithmetic that transforms outcomes.

Mindset	Equation	What it means in practice
Old thinking	Income − Expenses = Savings	You save whatever survives the month. Usually nothing
New thinking	Income − Savings = Expenses	You remove savings on day one and live on the rest.



Figure 2 *The same income, reordered. Moving savings from the end of the month to the start is the whole of the change.*

The second equation works because of a quirk of human behaviour: we adjust our spending to fit whatever is available in the account. If ₹8,000 leaves your account automatically on the 2nd of every month, you will manage the rest of the month on what remains, and you will barely notice. If you wait until the 30th to see what is left, something will always have consumed it.

The practical form of this is an automatic transfer or a standing instruction dated within two days of your salary credit. Automation beats willpower, because willpower has bad days.

Active income and passive income

There are two ways money can arrive, and the difference between them decides whether you will ever be able to stop working.

Active income is earned by your time and effort. Salary, wages, professional fees, and business profit depend on your daily presence. Its defining feature: *if you stop, it stops.* Illness, job loss, a business downturn, or simply age will eventually interrupt it.

Passive income is earned by assets you already own. Interest from deposits and bonds, dividends from shares and mutual funds, rent from property, pension or annuity payments. Its defining feature: *it continues when you do not.*

Financial independence is not a number in a bank account. It is the point at which your passive income covers your essential expenses. Everything in Parts 2 to 4 of this book is, ultimately, about converting active income into assets that produce passive income.

What investing actually means

Now that the ground is prepared, a precise definition.

Investing is deploying money into assets or instruments with the objective of generating a return over time, in order to meet a financial goal.

Some clarifications that people commonly get wrong:

- Buying a house **to live in** is a major financial decision, but it is a consumption asset you occupy rather than an investment. A **second property**, bought to let out or to sell later, is a different matter — that is an investment, and real estate is a legitimate asset class. The distinction is set out below, because it matters more in India than almost anywhere.
- Paying school or college fees is an expense, even though it improves future earning capacity.
- Bank deposits are usually treated as **savings** products rather than investments, although they do earn interest.

> ***Watch Out — the first house and the second house are not the same thing***
>
> *Property is the largest asset most Indian households own, and the two cases get muddled constantly.*

> ***The house you live in is consumption.*** *It gives you shelter, which is real and valuable, and it removes rent from your monthly budget, which is a genuine financial gain. What it does not give you is income or access. It pays you nothing while you hold it. You cannot sell two bedrooms to fund a medical emergency. And if you sell the whole thing, you have to live somewhere else and pay for that. A rising valuation on the house you occupy does not make you richer in any way you can actually spend.*
>
> ***A second property is an investment.*** *Bought to let out or to sell later, it produces rent or capital appreciation and can be sold without making you homeless. It behaves like an asset because it is one. Income tax law draws the same line: a self-occupied house is treated differently from one that is let out or deemed to be let out.*
>
> ***That does not make it an easy investment.*** *Property is illiquid, cannot be divided, is expensive to buy and sell, concentrates a large sum in one building in one location, and has to be managed and maintained. REITs, covered later in this book, give exposure to income-producing property without most of those problems.*
>
> ***The practical test:*** *If you have to keep living in it, it is not funding your goals. Count your home as your home. Do not count it in the corpus you are building for retirement or your children's education. Households that do this arrive at retirement asset-rich and cash-poor, holding something they cannot spend and will not sell.*

Investing has three characteristics: a time horizon that is usually medium to long, a degree of risk, and the possibility of a return that outpaces inflation. Remove the risk and you generally remove the higher return along with it.

Saving and investing are not the same thing

Parameter	Saving	Investing
Purpose	Keeping money safe and available	Growing money over time
Priority	Safety and liquidity	Growth and income
Time horizon	Immediate to about 1 year	3, 5, 10 years or more
Risk	Low to negligible; bank deposits insured up to ₹5 lakh per depositor per bank	Varies by asset class; higher in equity, lower in debt
Typical return	Low and fixed	Market-linked and uncertain, potentially higher
Effect of inflation	Often loses to inflation in real terms	Aims to beat inflation over the long term
Common avenues	Savings account, FD, RD, post office savings	Equity shares, mutual funds, ETFs, bonds, PPF, gold

You need both. Saving handles next month. Investing handles the next decade. Using one for the other's job is the most common structural error in Indian household finance — people keep ten years of money in a savings account and then borrow at 14% for an emergency.

> ***Watch Out — the "I'll start when I earn more" trap***
>
> *The most common reason given for not investing is insufficient income. It is almost never true. A person who cannot set aside ₹500 from ₹20,000 will not set aside ₹5,000 from ₹2,00,000, because spending rises to meet income unless a rule stops it. The habit is what is scarce, not the money. Start with an amount so small it is painless, and raise it every time your income rises.*

Recap in One Minute

- Financial literacy is knowledge plus attitude plus behaviour. Only behaviour produces results.
- 50-30-20 is a starting framework: half to needs, a third to wants, a fifth to savings and investments.
- Sort expenses honestly into needs, wants and desires — the dividing line is usually the version, not the item.
- Flip the equation: Income − Savings = Expenses, and automate the savings transfer.
- Active income stops when you stop; passive income does not. The whole point of investing is to build the second kind.

Check Your Understanding

1. Anil takes home ₹60,000 a month. Under 50-30-20, what should each of the three buckets be?
2. Classify these: a health insurance premium, a weekend movie, a second car, a phone recharge.
3. Why does the savings-first equation work better than the old one, even though the arithmetic is identical?

Your Action Step

Using the seven-day spending sheet from the last chapter, extend it to a full month, then sort every line into needs, wants and desires. Total each column. Compare the result with 50-30-20. Then set up one automatic transfer, for any amount you like, dated two days after your salary arrives.

Chapter 3

The Silent Thief: Inflation

Where this fits: The last chapter ended by claiming that saving alone is not enough. This chapter proves it.

By the end of this chapter you will be able to:

- Explain in one sentence what inflation does to money
- Calculate a real return and say whether an investment is actually gaining or losing
- Explain why a goal that costs ₹10 lakh today will not cost ₹10 lakh when you reach it

A question about milk

In 2015, a packet of milk cost around ₹20. Ten years later the same packet costs around ₹60.

The milk did not improve. The packet did not get bigger. What changed is the value of the rupee. In 2015 a ₹100 note bought five packets. Today it buys fewer than two.

That is inflation, and it is the reason this book exists.

What inflation is



Inflation is the general rise in the prices of goods and services over time. Its practical effect is that money loses **purchasing power** — the quantity of real things a given amount of money can buy. Notice the direction of the loss. The number on the note does not change. Your bank balance does not fall. Nothing appears on any statement. You simply find, year after year, that the same money does less. This is why inflation is described as a silent thief: there is no moment of theft to notice.

Why prices rise



#	Cause	What happens
1	**Demand exceeds supply**	When more people want a good than there is supply, sellers raise prices
2	**Input costs rise**	Costlier fuel, raw materials or transport push up the price of the finished good
3	**Wages rise**	Higher incomes increase spending, which raises demand and therefore prices
4	**Currency weakens**	Imported goods — crude oil, electronics, edible oils — become costlier in rupee terms

In India, the Reserve Bank of India is charged with keeping consumer price inflation within a target band, and it uses interest rates as its main tool. When you read that the RBI has raised or cut the repo rate, this is what it is responding to.

Nominal return and real return

This is the most useful piece of arithmetic in the whole chapter, and it takes one line.

Real return = Nominal return − Inflation rate

The **nominal return** is the number the bank or the fund advertises. The **real return** is what you actually gained in purchasing power. Only the second one buys anything.

That is the shortcut, and for a quick judgement it is good enough. The exact formula divides rather than subtracts, because inflation erodes the whole of your ending balance, not just the part you earned:

Real return = [(1 + Nominal return) ÷ (1 + Inflation rate)] − 1

Put both rates in as decimals — 7% is 0.07 — and convert the answer back to a percentage at the end. Taking the fixed deposit above: (1.07 ÷ 1.055) − 1 = 0.0142, or 1.42% a year, against the 1.5% the subtraction gives.

How far apart are they?

Nominal return	Inflation	Shortcut	Exact formula
7%	5.5%	1.50%	1.42%
3%	6%	−3.00%	−2.83%
12%	6%	6.00%	5.66%

The gap widens as the numbers get larger, and it always flatters the shortcut. At the levels most households deal with it is a fraction of a percentage point, so subtraction is perfectly adequate for answering the only question that usually matters: am I gaining or losing? Use the exact version when the figure is going to be compounded over many years.

Why it matters over a long horizon?

Take 12% nominal against 6% inflation. The shortcut says your purchasing power grows at 6% a year, the exact formula says 5.66%. Over twenty-five years, ₹10,00,000 of buying power becomes about ₹42,90,000 on the first assumption and about ₹39,60,000 on the second — a difference of roughly ₹3,30,000, produced entirely by a third of a percentage point.

> ***Worked Example — two accounts, one loss***
>
> *Ramesh keeps ₹5,00,000 in a savings account paying 3% a year. Inflation over that year is 6%.*

- After one year his balance is ₹5,15,000. The number went up.
- Real return = 3% − 6% = −3%
- In purchasing-power terms, his ₹5,00,000 is now worth about ₹4,85,000 in last year's money.

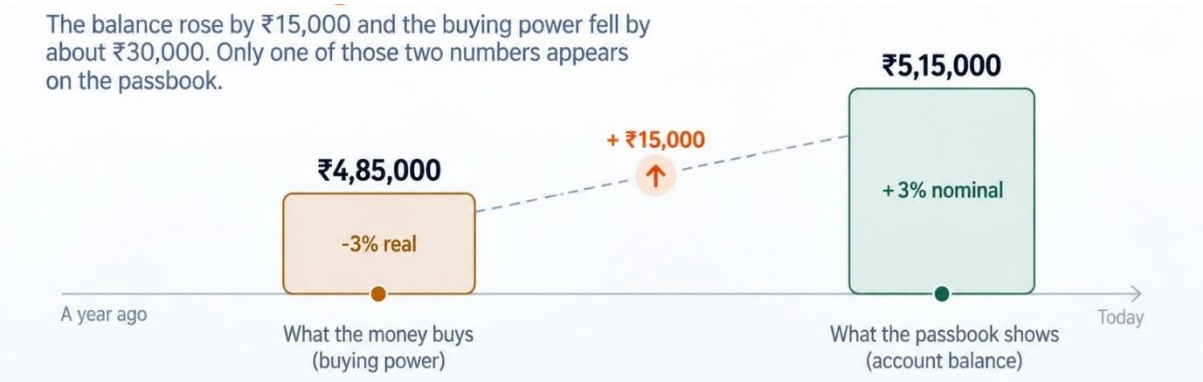


Figure 3 *Ramesh's year. The balance rose by ₹15,000 and the buying power fell by about ₹30,000. Only one of those two numbers appears on the passbook.*

Inflation makes goals move

Here is the consequence that matters most for planning.

If a college course costs ₹10,00,000 today, and education costs rise at 8% a year, then in fifteen years the same course will cost roughly ₹31,70,000. If you save towards a target of ₹10 lakh, you will arrive with less than a third of the fees.

Every long-term goal must be costed in **future rupees**, not today's rupees. A retirement plan built on today's grocery bill will fail. The next chapter gives you the tool for doing it properly.

Notice also that different categories inflate at different rates. Over long periods in India, medical treatment and private education have typically risen faster than the general consumer price index, while the prices of electronics and some manufactured goods have risen slowly or even fallen. When planning a specific goal, think about that goal's own inflation, not the headline number.

How to protect yourself?

There is only one defence, and it has three parts.

Do not hold long-term money in cash or low-yield accounts: Money you will not need for five years should not be sitting where it earns 3%.

Own assets that can grow faster than prices: Historically, over long periods, ownership assets — equity shares, equity mutual funds, real estate, gold — have had a better chance of outpacing inflation than fixed-return instruments. None of them is guaranteed to do so in any given year, and all of them fluctuate. But over a decade, they are the only realistic candidates.

Start early and stay invested: Time is what converts a modest annual advantage over inflation into a large one. The next chapter shows exactly why.

> ***Watch Out — inflation does not pause because you are worried***
>
> *Investors often move money out of growth assets into "safety" during frightening periods, intending to return later. Inflation continues throughout. Sitting in cash for three years during a nervous phase is not neutral — it is a guaranteed real loss, taken in exchange for the feeling of safety. The psychology behind this is dealt with in detail later in this book.*



Recap in One Minute

- Inflation is the general rise in prices; its effect is a fall in the purchasing power of money.
- Nothing on your statement ever shows the loss, which is why it goes unnoticed for decades.
- Real return = nominal return − inflation. Only the real return buys anything.
- Every long-term goal must be costed in future rupees, using that goal's own inflation rate.
- The only defence is owning assets that have a realistic chance of growing faster than prices, for long enough to matter.

Check Your Understanding

1. A fixed deposit pays 7%. Inflation is 5.5%. What is the real return?
2. Why can a person's bank balance rise every year while they become poorer?
3. If school fees inflate at 9% a year, roughly what will a ₹2,00,000 annual fee cost in eight years? (Hint: at 9% a year, money roughly doubles in eight years.)

Your Action Step

Find one household bill from about five years ago — an electricity bill, a school fee receipt, an insurance premium notice. Compare it with today's. Write down the percentage increase. That number is your personal inflation rate for that item, and it is more relevant to you than any published figure.

Chapter 4

The Eighth Wonder: How Compounding Works

Where this fits: The last chapter showed you the problem. This chapter shows you the only force strong enough to beat it.

By the end of this chapter you will be able to:

- Explain the difference between simple and compound interest with numbers
- Use the Rule of 72 to estimate doubling time in your head
- Explain why ten years of delay costs far more than ten years of contributions

Interest on interest

Compounding is what happens when the return you earn is added to your original amount, so that next year's return is calculated on the larger sum. Your returns start earning returns.

That sentence sounds mild. Its arithmetic is not.

Simple interest versus compound interest

Take ₹1,000 invested at 10% a year.

Under **simple interest**, you earn ₹100 every year on the original ₹1,000, forever. Under **compound interest**, you earn 10% on whatever the balance is at the time.

Year	Simple interest	Compound interest
1	₹1,100	₹1,100
2	₹1,200	₹1,210
3	₹1,300	₹1,331
10	₹2,000	₹2,594
20	₹3,000	₹6,727
40	₹5,000	₹45,259

(Figures approximate, rounded to the nearest rupee.)

Look at the two columns in year 3. The difference is ₹31 — trivial, and this is exactly why people give up on compounding early. Now look at year 40. The difference is ₹40,259, or nine times the entire simple-interest result.

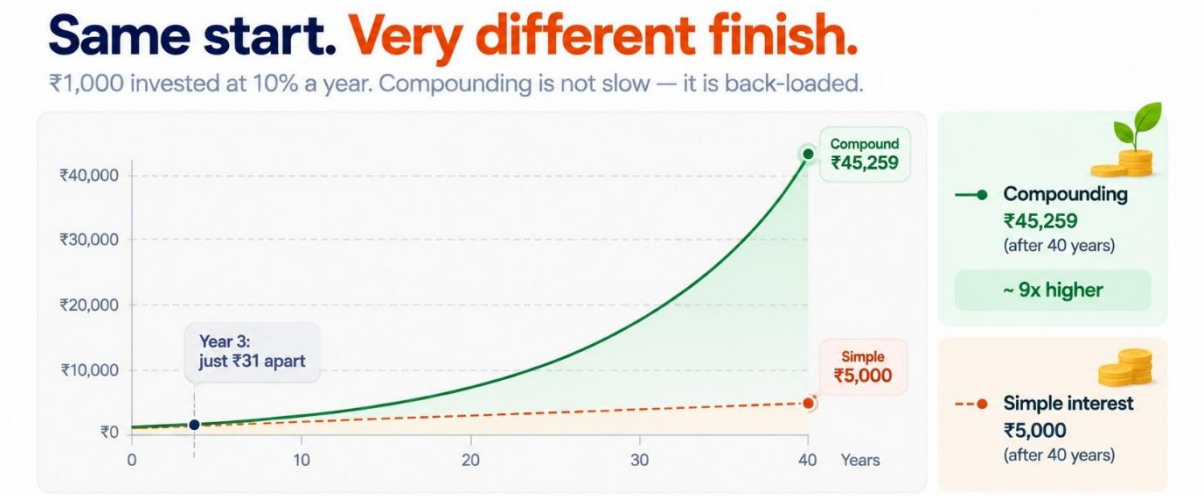


Figure 4 *₹1,000 at 10% a year. Compounding is not slow — it is back-loaded. The two lines are almost touching at year 3 and nine times apart at year 40.*

Compounding is not slow. It is *back-loaded*. Almost nothing happens for a long time, and then a great deal happens. The people who benefit from it are simply the ones who were still there when the interesting part arrived.

Where the money comes from

Here is the same ₹1,000 shown year by year, so you can see the mechanism rather than just the result.

Year	Opening balance	Rate	Interest earned	Closing balance
1	₹1,000	10%	₹100	₹1,100
2	₹1,100	10%	₹110	₹1,210
3	₹1,210	10%	₹121	₹1,331
10	₹2,358	10%	₹236	₹2,594
20	₹6,116	10%	₹612	₹6,727
40	₹41,145	10%	₹4,114	₹45,259

In year 1, the investment earns ₹100. In year 40, it earns ₹4,114 — forty-one times as much, from the same original ₹1,000. Nobody added a single rupee. The interest simply kept being left alone.

The time value of money

Compounding is one half of a broader principle called the **time value of money**: a rupee available today is worth more than a rupee received in the future.

This is true for two separate reasons. First, the future is uncertain, and people naturally prefer certainty. Second, and more importantly, money available today can be put to work immediately.

Future value (FV) is what an amount today will grow to. It answers: *if I invest ₹1,000 today, what will it become?*

$$FV = PV \times (1+r)^n$$

Present value (PV) is what a future amount is worth today. It answers: *how much must I invest today to reach ₹20,00,000 in twelve years?*

$$PV = \frac{FV}{(r)_n}$$

Where *PV* is the amount today, *FV* is the amount in future, *r* is the annual rate expressed as a decimal, and *n* is the number of years.

Working the two questions

Both formulas need three inputs: an amount, a rate and a number of years. Here is each question worked through, using the ₹1,000 at 10% a year from the table above.

(a) If I invest ₹1,000 today, what will it become?

Take twenty years as the holding period. The amount today is the PV; you are solving for FV.

- **Step 1 -** Write down the inputs. PV = ₹1,000, r = 0.10, n = 20.
- **Step 2 -** Work out the growth factor. $(1 + 0.10)^{20}$ = 1.10 × 1.10 … twenty times = 6.7275.
- **Step 3 -** Multiply. FV = ₹1,000 × 6.7275 = **₹6,727** (rounded).

That is the same ₹6,727 that appears in the year-20 row of the table above — reached in one calculation instead of twenty. The growth factor is doing all the work: the ₹1,000 has not changed, and no further money was added.

(b) How much must I invest today to reach ₹20,00,000 in twelve years?

Now the ₹20,00,000 is the FV and you are solving for PV. Assume the same 10% a year.

- **Step 1 -** Write down the inputs. FV = ₹20,00,000, r = 0.10, n = 12.
- **Step 2 -** Work out the growth factor. $(1 + 0.10)^{12}$ = 3.1384.
- **Step 3 -** Divide instead of multiplying. PV = ₹20,00,000 ÷ 3.1384 = **₹6,37,262** (rounded).
- **Step 4 -** Check it by running the answer forward. ₹6,37,262 × 3.1384 = ₹20,00,000. A present value calculation that does not reverse cleanly has an error in it.

So ₹6,37,262 set aside today, left alone at 10% a year, becomes ₹20,00,000 in twelve years.

The rate assumption changes the answer more than most people expect. The same goal, the same twelve years, three different assumed returns:

Assumed return a year	Growth factor over 12 years	Amount needed today
8%	2.5182	₹7,94,228
10%	3.1384	₹6,37,262
Assumed return a year	**Growth factor over 12 years**	**Amount needed today**
12%	3.8960	₹5,13,350

Assume too high a return and you will set aside too little, and discover the shortfall at the end, when there is no time left to fix it. For a goal that matters, use a rate you would be comfortable defending.

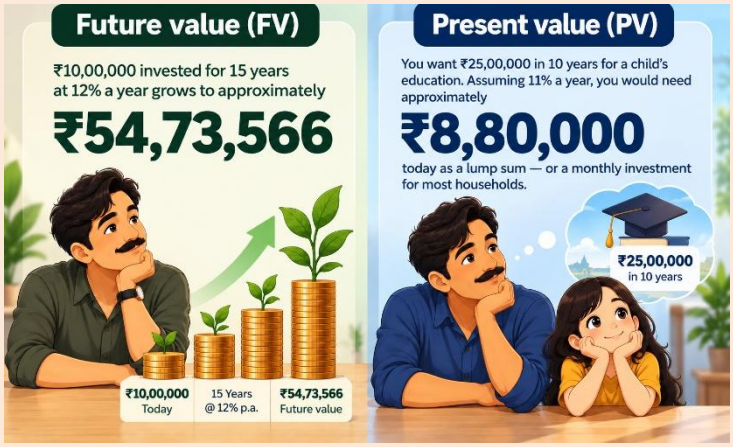
One practical note. Both answers above are lump sums. Most households reach a goal like this through a monthly investment instead: at 10% a year, roughly ₹7,235 a month for twelve years reaches the same ₹20,00,000. The arithmetic for monthly investing is covered in Part 4.

You will not need to calculate these by hand — every bank and mutual fund website has a calculator, and a spreadsheet does it in one formula. What matters is knowing that both directions exist, because financial planning uses both. You use FV to work out what your goal will cost. You use PV to work out what you must set aside for it.

Worked Example — both directions

Future value (FV): *₹10,00,000 invested for 15 years at 12% a year grows to approximately ₹54,73,566.*

Present value (PV): *You want ₹25,00,000 in 10 years for a child's education. Assuming 11% a year, you would need approximately ₹8,80,000 today as a lump sum — or, more realistically for most households, a monthly investment.*



The Rule of 72

You will not always have a calculator. The **Rule of 72** is a mental shortcut that is accurate enough for planning conversations.

Years to double ≈ 72 ÷ annual rate of return (%)

If You Earn	Your money doubles in about
4%	18 years
6%	12 years
8%	9 years
12%	6 years
15%	4.8 years

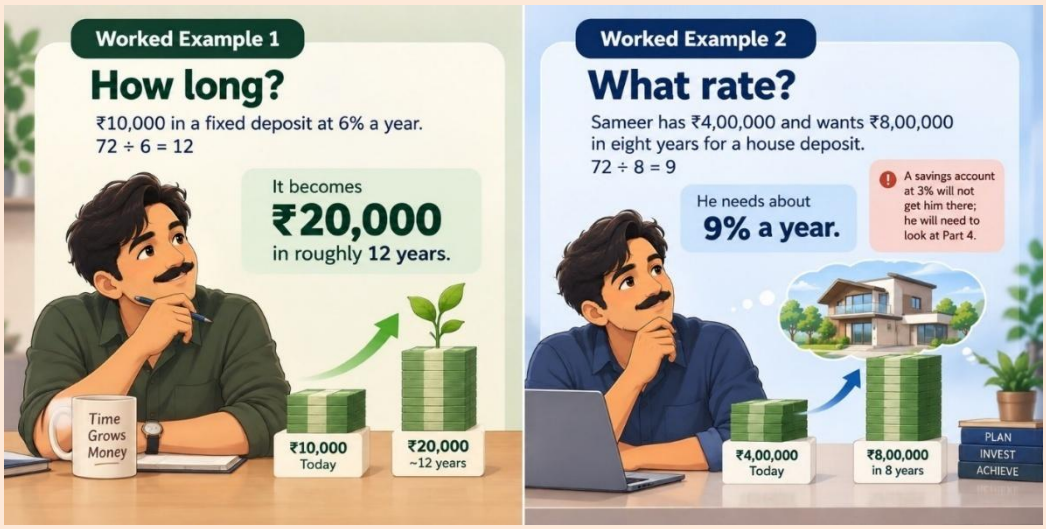
You can also run it backwards: **required rate ≈ 72 ÷ years available**. If you need to double your money in nine years, you need about 8% a year.

Worked Example 1 — how long?

₹10,000 in a fixed deposit at 6% a year. 72 ÷ 6 = 12. It becomes ₹20,000 in roughly 12 years.

Worked Example 2 — what rate?

Sameer has ₹4,00,000 and wants ₹8,00,000 in eight years for a house deposit. 72 ÷ 8 = 9. He needs about 9% a year. A savings account at 3% will not get him there; he will need to look at Part 4.



The Rule of 72 also works in reverse for inflation, which is a sobering exercise. At 6% inflation, prices double in twelve years. Whatever your monthly household budget is today, expect to need double that in twelve years for the same standard of living.

Why starting early beats investing more?

This is the most important table in Part 1. Two people each invest ₹5,000 a month. Both earn 12% a year. The only difference is when they start.

	Priya	Vikram
Starts at age	25	35
Stops at age	60	60
Years of investing	35	25
Total amount invested	₹21,00,000	₹15,00,000
Approximate value at 60	₹3,24,00,000	₹94,00,000

(Illustrative, assuming a constant 12% annual return. Actual market returns vary and are not guaranteed.)



***Figure 5**: ₹5,000 a month at 12% a year. Illustrative only — actual returns vary and are not guaranteed.*

Priya invested ₹6,00,000 more than Vikram — about 40% more. She ends with roughly **three and a half times** as much.

The ten years Vikram lost were not ten ordinary years. They were the ten years that would have compounded the longest, and therefore the most valuable ten years of his entire investing life.

There is no way to buy them back later.

When should you start?

The honest answer is - on the day you first receive money.

That does not require a salary. A student receiving a stipend has income. A young person receiving pocket money has income. Prize money from a competition is income. The point is not the amount — a ₹500 monthly investment at eighteen will not fund a retirement. The point is that the habit is being built during the years when the habit is cheapest to build and the compounding runway is longest.

> ***Watch Out — the two enemies of compounding***
>
> *Compounding has exactly two enemies, and neither is market volatility.*
>
> ***Interruption:*** *Every time you withdraw and restart, the clock resets on that money. A person who invests for six years, withdraws, and restarts has not had six years of compounding — they have had two separate short periods.*
>
> ***Cost:*** *A fee of 2% a year does not reduce your final corpus by 2%. Over thirty years it can reduce it by a quarter or more, because the fee compounds against you exactly as returns compound for you. This is why expense ratios get so much attention later in this book, and why you should look at them before you invest anything.*

Small amounts, done regularly

Most people cannot invest a lump sum. They can set aside a little every month, and that turns out to be enough — because compounding does not care whether the money arrives all at once or in instalments. It cares how long each rupee stays invested.

Here is the same arithmetic applied to a monthly amount rather than a one-time one. ₹5,000 a month, at 12% a year:

You invest for	Total you put in	Approximate value
10 years	₹6,00,000	₹11,60,000
20 years	₹12,00,000	₹50,00,000
30 years	₹18,00,000	₹1,76,00,000
40 years	₹24,00,000	₹5,94,00,000

(Illustrative, assuming a constant 12% annual return. Actual returns vary and are not guaranteed.)

Look at the middle two rows. Going from twenty years to thirty adds ₹6,00,000 of your own money and roughly ₹1.26 crore of value. You did not invest harder. You invested longer.

Two things follow, and they are the whole reason this chapter sits where it does:

Regularity beats size: A modest amount every month, uninterrupted, will usually beat a larger amount invested sporadically whenever there happens to be a surplus. The monthly habit also removes the question of when to invest, which is a question nobody answers well.

The transfer should be automatic: This is the savings-first principle from earlier, applied to investing: money that leaves your account on a fixed date, before you have had a chance to spend it, is money that actually gets invested. Automation beats willpower, because willpower has bad days.

The practical machinery for doing this — how to set up a standing monthly investment, what it is called, and how to step it up as your income grows — is covered in Part 4, once you have

the accounts to do it with. For now, the point is only this: compounding does not require wealth. It requires regularity and time.

Recap in One Minute

- Compounding means returns earn returns. It is back-loaded: nothing much happens, and then a great deal does.
- Time value of money: a rupee today is worth more than a rupee tomorrow. Future value (FV) projects forward from an amount you have; present value (PV) works backward from a goal you want.
- Rule of 72: years to double ≈ 72 ÷ rate. It works for inflation too.
- Starting ten years earlier can be worth more than investing 40% more money.
- Compounding's two enemies are interrupting it and paying high costs.
- A modest monthly amount, left alone for decades, outperforms a larger amount invested sporadically.

Check Your Understanding

1. At 9% a year, roughly how long does money take to double?
2. Why is the difference between simple and compound interest almost invisible in year 3 but enormous in year 30?
3. Priya and Vikram both invested ₹5,000 a month at the same rate. Explain in one sentence why Priya ended with three and a half times more.

Your Action Step

Find SEBI or NISM online compound interest or monthly investment calculator. Enter a realistic monthly amount you could set aside, 12% as the return, and the number of years until you turn 60. Write the answer on your spending sheet. Then reduce the number of years by five and look at the difference.

Chapter 5

Three Things to Fix Before You Invest a Single Rupee

Where this fits: The last two chapters made the case for investing. This chapter is the gate you must pass through first.

By the end of this chapter you will be able to:

- Calculate the size of the emergency fund your household needs and say where to keep it
- Distinguish protection from investment, and explain why mixing them is expensive
- Tell good debt from bad debt and recognise the warning signs of a debt trap

Why this chapter exists

There is a strong temptation, having read about compounding, to start investing tomorrow morning. Resist it for one more chapter.

An investment plan built on an unprotected household does not survive contact with reality. The first hospital admission, the first job loss, the first vehicle accident will force you to sell your investments at whatever price the market happens to be offering that week — which, by the nature of these things, is often a bad one. You will have converted a long-term plan into a short-term loss.

Three defences must be in place first. They are not exciting. They are what makes everything after them possible.

Defence 1: The emergency fund

An **emergency fund** is money set aside specifically for unexpected events, kept somewhere safe and immediately accessible.

What counts as an emergency

- Loss of job or a sharp fall in business income
- A medical event not fully covered by insurance
- Urgent major repair to a home or vehicle
- An unavoidable family obligation

A festival, a wedding you knew about for a year, a phone upgrade and a holiday are not emergencies. They are planned expenses, and they belong in your budget.

How large should it be?

The standard guidance is **three to six months of essential living expenses**. Note the word *essential* — you need to cover rent, food, utilities, school fees, EMIs and insurance premiums, not your entire normal spending.

Adjust for your circumstances:

Your situation	Suggested size
Stable salaried job, two earners in household	6 months
Stable salaried job, single earner	6 months
Business income, commission income, or contract work	6 to 12 months
Dependents with ongoing medical needs	Larger, plus separate health cover

Where should it be kept?

The emergency fund has exactly two requirements: it must be safe, and it must be reachable within a day or two. It does not need to earn a good return, and chasing one defeats the purpose.

Reasonable places: a savings bank account, a sweep-in fixed deposit, a short-tenure fixed deposit, or a liquid mutual fund. Keeping part of it in a bank account and part in a liquid fund is a sensible compromise between instant access and slightly better returns.

Unreasonable places: equity shares, equity mutual funds, real estate, or anything with a lock-in period. These may be excellent long-term investments. They are terrible emergency funds, because emergencies do not check the market level before arriving.

Worked Example — Amit's fund did its job



> *Amit, 35, a marketing executive, lost his job during the COVID-19 lockdown. He had built an emergency fund of ₹1.5 lakh — about six months of his essential expenses.*
>
> *It took him three months to find new work. During those three months he paid rent, groceries and bills from the fund.*
>
> *What he did not do is as important as what he did. He did not take a personal loan at 16%. He did not use his credit card. He did not sell his mutual fund units in a falling market. When he restarted work, his long-term investments were untouched and still compounding. The emergency fund did not earn him anything. It saved him a great deal.*

Defence 2: Insurance



Insurance transfers a risk you cannot afford to carry to an institution that can. It does not build wealth. It stops a single event from destroying the wealth you are building.

The organising principle is simple: **investments grow your money; insurance protects it.** Keep the two separate.

Life insurance — replacing an income

If people depend on your income, you need life cover. Its purpose is to replace your earnings and clear your debts if you die, so that your family's plans do not die with you.

- **How much:** A common rule of thumb is 10 to 20 times your annual income, plus any outstanding loans, minus existing assets earmarked for the family.

- **What kind:** a **term insurance** policy is pure protection — the largest cover for the smallest premium. If you survive the term, there is no payout, and that is the point. You are buying protection, not a return.
- **The golden rule:** do not buy investment-linked insurance products in the belief that you are doing both jobs at once. Bundled products typically give you less cover than a term plan and lower returns than a mutual fund, while making both harder to compare. Buy a term plan for protection and invest separately.

If nobody depends on your income — you are single with no dependants and no loans — you may not need life insurance at all yet. You almost certainly need the next one.

Health insurance — the most commonly skipped essential

A single hospitalisation can consume years of savings. Health cover pays for room charges, surgery, doctors' fees and medicines.

- A **family floater** policy covers your whole family under one shared sum insured, usually more cheaply than separate policies.
- A **critical illness** rider or policy pays a lump sum on diagnosis of specified serious illnesses, which helps with income loss and non-hospital costs.
- If your employer provides cover, it usually ends the day your employment does — which is precisely when you are least able to buy a new policy. A personal policy alongside the employer's is worth the premium.

Motor insurance

Third-party motor insurance is a statutory requirement in India for any vehicle used on public roads; it covers injury or damage you cause to others. **Comprehensive** cover adds damage to your own vehicle, theft and related risks.

Three practical rules

Buy early: Premiums for life and health cover rise with age and with the onset of medical conditions. The cheapest policy you will ever be offered is the one available to you today.

Disclose everything honestly: Concealing a medical history, a habit or an existing policy is the single largest cause of claim rejection. A policy that does not pay is worse than no policy, because you paid for a false sense of safety.

Store the documents where your family can find them: Nominees who do not know a policy exists cannot claim it. Consider an e-Insurance Account (eIA), which holds policies in electronic form.

Defence 3: Getting out from under bad debt

Debt is money borrowed to be repaid later, with interest. It is a tool, and like any tool it is useful or dangerous depending on what you do with it.

Good debt and bad debt

The distinction is not about the amount. It is about what the borrowed money buys.

Good debt funds something that creates value, generates income, or appreciates:

- **Home loan** — acquires an asset that may appreciate and replaces rent. Typically the lowest interest rate available to an individual, with tax benefits on principal and interest under the applicable provisions.
- **Education loan** — funds earning capacity, with tax benefit available on interest under the applicable provisions.
- **Business loan** — funds machinery, stock or working capital that generates revenue. Schemes such as MUDRA loans are aimed at small enterprises.

Good debt tends to carry lower rates, longer tenures and some tax relief, and is backed by something that produces value.

Bad debt funds something that is consumed or loses value immediately:

- **Credit card revolving balance** — the most expensive borrowing most households ever take, commonly in the range of 18% to 48% a year when annualised. Paying only the "minimum amount due" is how a ₹40,000 balance becomes a multi-year problem.
- **Personal loans for consumption** — unsecured, typically 12% to 20% a year, used for holidays, functions or lifestyle spending.
- **EMIs on depreciating goods** — gadgets, appliances and clothing that are worth less the moment they leave the shop.

> ***Watch Out — how the minimum payment works***
>
> *A credit card statement showing ₹50,000 outstanding will offer a "minimum amount due" of perhaps ₹2,500. Paying it keeps your account in good standing, which is why it feels responsible. But interest continues on the full remaining balance, and — critically — on new purchases from the day you make them, with no interest-free period once you are revolving. This is how a manageable balance quietly becomes unmanageable. If you carry a card balance, clearing it is a higher priority than any investment in this book.*



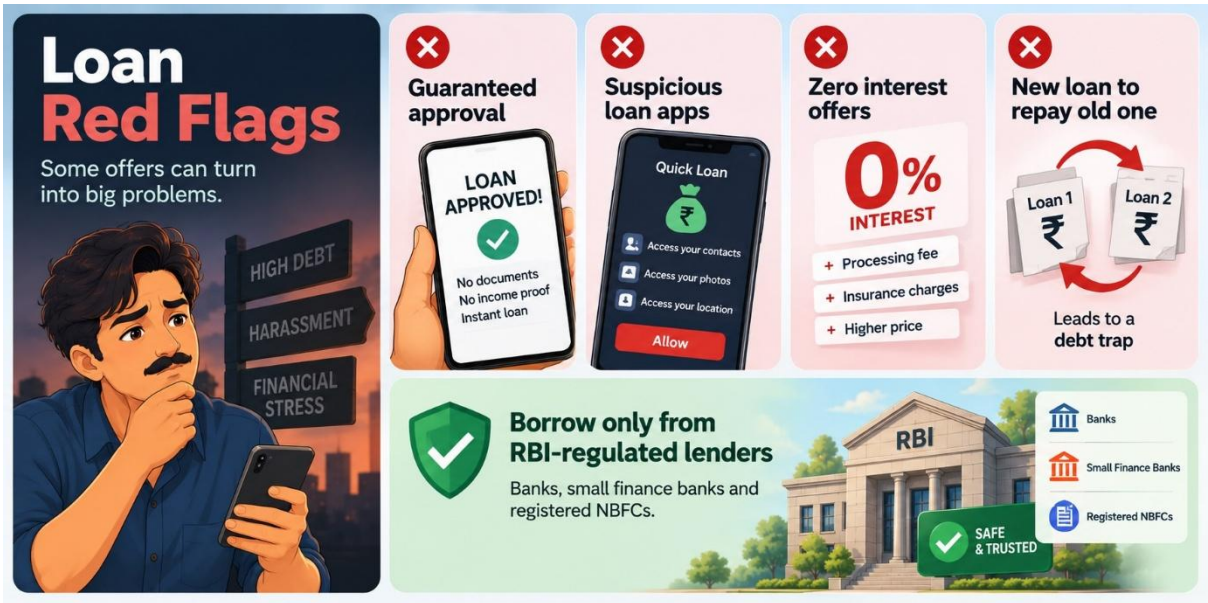
Four questions before you borrow

1. **Is this a need or a want?** Bad debt almost always fails this question.
2. **What is the total interest, in rupees, over the full tenure?** Not the monthly EMI — the total. Lenders quote the EMI because it sounds small.
3. **Can I afford the EMI even in a bad month?** As a general guide, total EMIs should stay within a modest share of monthly income, leaving room for savings and essentials.
4. **What is my repayment plan if my income is interrupted?**

Alternatives to borrowing

- Use the emergency fund — that is what it is for
- Delay a non-essential purchase by three months and save towards it instead
- Start a recurring deposit or a monthly savings instruction for a known future expense rather than borrowing after the fact
- Use a no-cost EMI offer only if you are certain of repaying on schedule, and only after checking whether the "no cost" is recovered through a higher price

Red flags



- Any lender offering **guaranteed approval** without checking your capacity to repay
- Loan apps that are not from a bank or an RBI-registered NBFC, particularly those demanding access to your contacts or photo gallery
- "Zero interest" offers with processing fees, insurance add-ons or inflated prices hidden inside
- **Taking a new loan to repay an old one.** This is the definition of a debt trap, and it is the point at which the situation stops being a budgeting problem and becomes an emergency.

Borrow only from RBI-regulated entities: scheduled commercial banks, small finance banks and registered NBFCs. Never from unregistered app-based lenders or informal moneylenders.

Your credit score

Borrowing well is not only about how much you owe. It is also about what it costs you to borrow, and that is largely decided by a number most people never look at until a loan is refused.

A **credit score** is a three-digit summary of how reliably you have repaid what you borrowed. In India it is computed by four credit information companies regulated by the RBI — **CIBIL (TransUnion), Experian, Equifax and CRIF High Mark**. Each maintains its own record and each produces its own score, so the numbers will not match exactly. Scores generally run from 300 to 900, and higher is better.

Why it matters more than people think

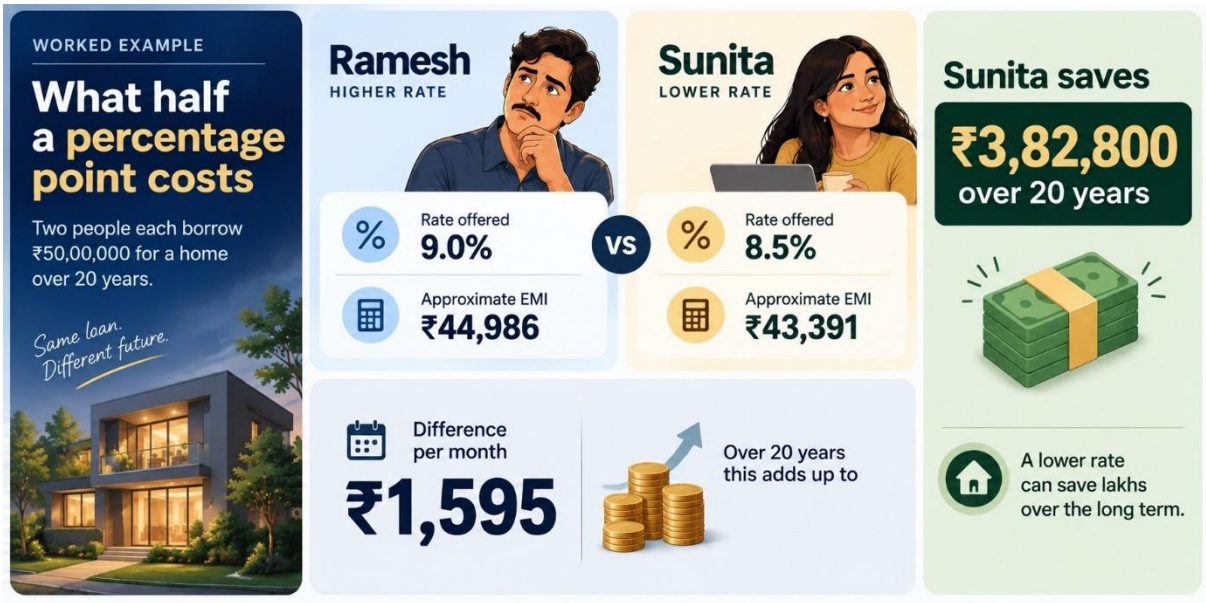
Lenders use it to decide two things, and the second one is the expensive one:

1. **Whether to lend to you at all**
2. **At what interest rate**

A strong score does not just improve your chances of approval. It moves you into a better rate band, and on a long loan that difference is very large.

> ***Worked Example — what half a percentage point costs***
>
> *Two people each borrow ₹50,00,000 for a home over twenty years.*

	Ramesh	*Sunita*
Rate offered	*9.0%*	*8.5%*
Approximate EMI	*₹44,986*	*₹43,391*



Difference per month	***—***	***₹1,595***
Difference over twenty years	***—***	***about ₹3,82,800***

Sunita did nothing clever. She paid her card bills in full and on time for several years. That habit was worth roughly ₹3.8 lakh, and she was never asked to make a single investment decision to earn it.

(Illustrative. Rates and EMIs vary by lender, tenure and loan amount.)

Your score is also consulted in places that are not loans at all: credit card limits and upgrades, some rental agreements, and certain employment checks in financial roles.

What actually moves the number

The exact weightings are proprietary and differ between the four companies, but the drivers are consistent:

Factor	What it means	Weight
Repayment history	Paying every instalment and card bill on or before the due date	Largest single factor
Credit utilisation	How much of your available card limit you use. Consistently running near the limit reads as stress	High
Age of credit	How long you have held credit accounts. Longer records score better	Moderate
Mix of credit	A blend of secured loans and unsecured credit reads better than unsecured alone	Moderate
Recent enquiries	Each formal application creates a hard enquiry. Many in a short period reads as desperation	Lower, but real

How to build and keep a good score

- **Never miss a due date:** One missed payment can affect the score for years, and it is the single most damaging thing you can do to it. Automate the minimum payment as a safety net, then pay the full amount manually.
- **Pay the full statement balance, not the minimum:** Paying only the minimum keeps the account current but leaves a revolving balance at credit-card interest rates, which is the most expensive money in the book.
- **Keep utilisation low:** Using a small fraction of your limit consistently is read far more favourably than using most of it, even if you clear it every month. If you regularly need most of your limit, ask for a higher limit rather than using more of the existing one.

- **Do not close your oldest card:** Closing it shortens your credit history and reduces your total available limit, which raises your utilisation ratio. An old card with no annual fee is worth keeping alive with a small recurring payment.
- **Space out applications:** Do not apply to five lenders in a week to compare offers. Use lenders' indicative rate tools, which do not create a hard enquiry, and make one formal application.
- **Check your report at least once a year and correct errors:** Under RBI rules each of the four companies must provide one free full credit report a year. Errors are common — a loan you closed still showing as open, or an account that is not yours.

> ***Watch Out — three things people get wrong about credit scores***
>
> *Checking your own score does not lower it. Your own check is a soft enquiry and has no effect. Only a lender's check on a formal application is a hard enquiry. Check yours freely.*
>
> *Standing guarantee for someone else's loan puts it on your record. If you guarantee or cosign a loan, it appears in your credit report and their default becomes your default. Treat a request to guarantee a loan as seriously as a request for the money itself.*
>
> *No credit history is not the same as good credit history. Someone who has never borrowed has a thin file and may be refused or offered a poor rate, simply because there is nothing to assess. A single credit card used lightly and cleared in full each month builds a record at no cost.*



A good score is not a financial achievement in itself and it will not make you wealthy. It is a costreduction tool. It quietly lowers the price of every rupee you ever borrow, and the money it saves goes straight into the surplus that funds everything else in this book.

The order of operations

Putting the whole of Part 1 together, here is the sequence:

1. Measure income and expenditure; find your surplus
2. Build a budget and automate the savings transfer
3. Clear high-cost debt, starting with the highest rate, and check your credit report
4. Build the emergency fund to three to six months of essentials
5. Put term life cover and health cover in place
6. **Only now**, begin investing for goals

If you are partway down this list, that is completely normal. Work down it. Steps 3, 4 and 5 can proceed in parallel with a small investment if it helps you build the habit — but they should not be postponed indefinitely in favour of it.



Figure 6 *The order of operations.*

Recap in One Minute

- Build three to six months of essential expenses as an emergency fund, kept somewhere safe and instantly accessible.
- Insurance protects wealth; investment builds it. Never buy one product hoping to do both.
- Buy term life cover if anyone depends on your income, and health cover regardless.
- Good debt buys appreciating or income-producing assets; bad debt buys things that are consumed.
- Taking a new loan to repay an old one is a debt trap. Clearing high-cost debt beats any investment return available to you.

- Your credit score decides what borrowing costs you. Pay every bill on time, keep card usage low, and read your free annual credit report.

Check Your Understanding

1. Kavita's essential monthly expenses are ₹32,000 and she runs a small business. What size emergency fund should she target, and where should she keep it?
2. Why is a term insurance policy usually a better protection choice than a bundled insurance-cum-investment plan?
3. A credit card charges 36% a year. A mutual fund has returned 12% a year. Kavita has ₹50,000 spare and a ₹50,000 card balance. What should she do, why, and what will that decision do to her credit score?

Your Action Step

Write down three numbers: (a) your total essential monthly expenses, (b) your current emergency fund, (c) your total outstanding high-cost debt. If (b) is less than three times (a), or (c) is greater than zero, you have your project for the next six months. Then do two more things: check whether you have health insurance that is not tied to your employer, and pull your free annual credit report from any one of the four credit information companies. Read it line by line and note anything you do not recognise.

Part 2 — From Money to a Plan

You now have a surplus, a budget, an emergency fund and protection. Part 2 turns that surplus into a plan: what you are investing for, how much risk that requires, and how to spread it sensibly. Still no products — those begin in Part 4. Get the plan right and the product choice becomes much easier.

Chapter 6

Goals: Turning Wishes into Numbers with Dates

Where this fits: Part 1 gave you money to invest. Before choosing where to put it, you need to know what it is for.

By the end of this chapter you will be able to:

- Convert a vague financial wish into a SMART goal
- Classify any goal as short, medium or long term and explain why that classification decides the product
- Estimate what a goal will cost in future rupees

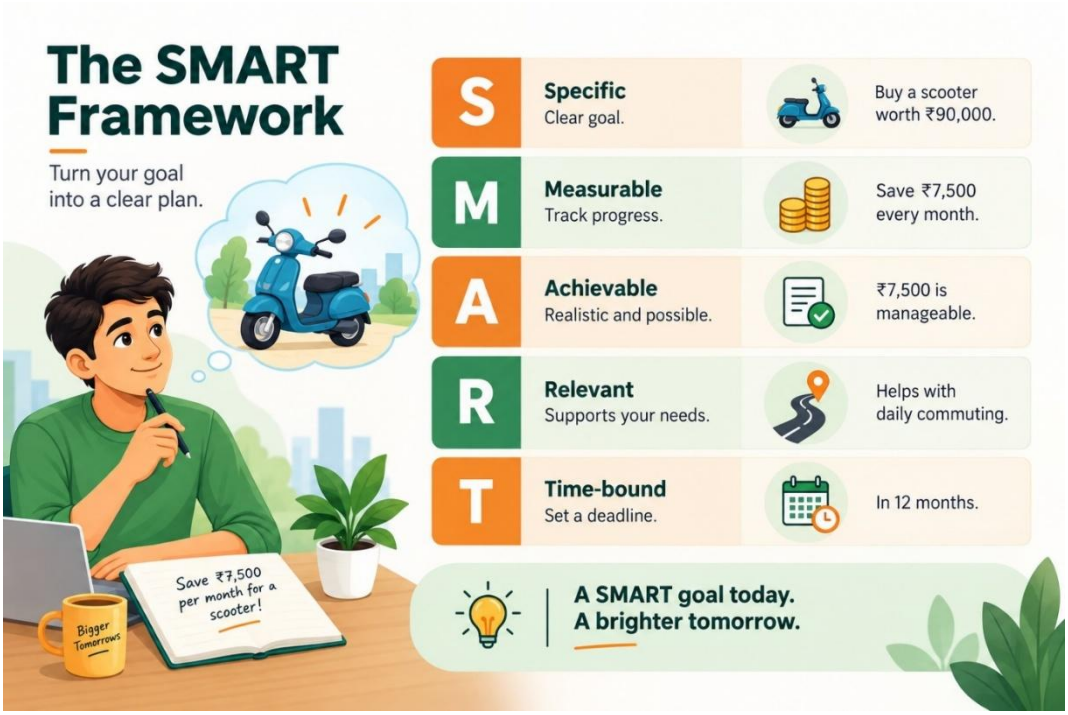
Investing without a goal is just gambling with extra steps

"I want to be financially secure" is not a goal. It is a mood. You cannot invest for it, because you cannot say how much is needed, by when, or how much risk is appropriate.

A goal has three parts: **an amount, a date, and a purpose.** Once those exist, every other decision — which product, how much monthly, how much risk — follows almost mechanically. Without them, you are choosing products by what sounds attractive, which is how people end up with a fifteen-year lock-in for a three-year need.

The SMART framework

A well-formed goal is Specific, Measurable, Achievable, Relevant and Time-bound.



Take this statement:

> *"I will save ₹7,500 per month from my salary for the next 12 months to buy a scooter worth ₹90,000, which I need for daily commuting."*

Letter	Element	How this goal satisfies it
S	Specific	A scooter costing ₹90,000 — not "a vehicle"
M	Measurable	₹7,500 every month; progress is checkable each month
A	Achievable	Verified against actual income and expenses; ₹7,500 is genuinely available
R	Relevant	Needed for commuting; saves travel time and cost
T	Time-bound	Twelve months, with a specific end date

Compare it with "I want to buy a scooter soon." The second version cannot be planned, cannot be funded, and cannot be failed — which means it also cannot be achieved.

The A deserves special attention. A goal that requires ₹40,000 a month from a household with a ₹6,000 surplus is not ambitious, it is fictional, and it will be abandoned within three months, taking the person's confidence with it. If a goal is not achievable, one of three things must change: the amount, the date, or the monthly contribution. Change one deliberately rather than letting the goal quietly collapse.

Classify every goal by time horizon



The time until you need the money is the single most important input in choosing where to keep it. Not your age. Not your income. Not your enthusiasm. The horizon.

Short-term goals — up to about 1 year

What matters: the money must be there, in full, on the date you need it. Growth is irrelevant.

Examples: an emergency fund, an annual insurance premium, a family function, a short holiday, a household appliance, next year's school fees.

Suitable places: savings account, short-tenure fixed deposit, recurring deposit, liquid or overnight mutual funds.

Never use: equity of any kind. A market that falls 20% in the eleventh month does not care that your fee payment is due in the twelfth.

Medium-term goals — about 1 to 5 years

What matters: a balance. You want more than a savings account gives, but you cannot afford a large fall close to the date.

Examples: a home down payment, a vehicle, a postgraduate course, a wedding, a major home renovation.

Suitable places: hybrid or balanced mutual funds, short-duration debt funds, recurring deposits, fixed deposits matched to the date.

Long-term goals — more than 5 to 7 years

What matters: beating inflation over a long period. Short-term falls can be absorbed because you have time to recover from them.

Examples: retirement, a child's higher education fifteen years away, a child's marriage, financial independence.

Suitable places: equity mutual funds, index funds, direct equity, the National Pension System, the Public Provident Fund, and gold ETFs as a small diversifying holding — used in a mix appropriate to the goal, not any single one automatically.

> ***Watch Out — the mismatch that causes most retail losses***
>
> *Two errors, both extremely common, both caused by ignoring the horizon:*
>
> ***Short money in long assets.*** *Putting next year's fees into an equity fund because "equity gives better returns." It does, over long periods. Over one year it may give you −18%.*
>
> ***Long money in short assets.*** *Keeping a retirement fund twenty-five years away in a fixed deposit because "it's safe." Over twenty-five years, guaranteed low returns against 6% inflation is not safety — it is a slow, certain loss.*
>
> ***Match the asset to the horizon.*** *That one discipline prevents more damage than any amount of scheme selection skill.*

Costing a goal in future rupees

Inflation means your goals move. Here is how to handle that in practice.

Step 1. Find today's cost of the goal.

Step 2. Estimate the inflation rate for that specific category.

Step 3. Compute the future cost.

Step 4. Work backwards to the monthly investment required.

Worked Example — Deepa's daughter's education

Deepa's daughter is 3. The degree Deepa has in mind costs ₹8,00,000 today. She will need it in fifteen years. Education costs have been rising at around 8% a year.

Future cost: ₹8,00,000 × (1.08)^{15} ≈ ₹25,38,000 (approx.)

That is the real target, not ₹8 lakh. Saving to the wrong target is the most expensive planning error one can make.

What must she invest?

*At an assumed 11% return a year over fifteen years, a monthly investment of roughly **₹5582** would be needed. If she waits five years and starts when her daughter is 8, with ten years left, the required monthly amount rises to roughly **₹11,696** — double, for the same goal, because she gave away the five most valuable years. (All figures illustrative. Returns are not guaranteed and actual outcomes will differ.)*

Write down every goal

Most households have between four and eight goals running at once. Write them all in one table, because seeing them together is what forces honest prioritisation.

Goal	Amount today	Years away	Inflation assumed	Future amount	Horizon class	Monthly needed
Emergency fund	₹1,80,000	0	—	₹1,80,000	Short	—
Car	₹7,00,000	4	6%	₹8,84,000	Medium	—
Daughter's degree	₹8,00,000	15	8%	₹25,38,000	Long	—
Retirement	₹60,00,000	27	6%	₹2,89,00,000	Long	—

When the monthly amounts add up to more than your surplus — and they usually will at first — you must choose. Fund the emergency fund and retirement first, delay or shrink the discretionary goals, and revisit annually as your income grows. That conversation is uncomfortable, and it is far better to have it now than to discover the shortfall in year fourteen.

The savings-first principle, applied to goals

You have already met **Income − Savings = Expenses**. At the goal stage it becomes concrete: each goal gets its own automatic monthly transfer, ideally into its own separate investment, so you can see progress goal by goal.

Keeping goals separate matters more than it sounds. A single pot labelled "investments" will be raided for the nearest want. A folio labelled "Anaya's education" is psychologically much harder to break into, and that friction is doing real work.

Reviewing goals

Goals are not set once. Review them annually, and whenever something significant changes — a marriage, a birth, a job change, a large raise, a serious illness.

At each review ask three questions:

1. **Is the goal still relevant?** People change. A goal you no longer want should be retired, not endured.
2. **Has the cost changed?** Actual inflation may have run faster or slower than you assumed.
3. **Am I on track?** If not, adjust the amount, the date, or the monthly contribution — deliberately.

Recap in One Minute

- A goal needs an amount, a date and a purpose. Anything less cannot be planned for.
- SMART: Specific, Measurable, Achievable, Relevant, Time-bound. The "achievable" test is the one people skip.
- The time horizon — not your age or income — decides which products are suitable.
- Cost every long-term goal in future rupees using that category's inflation rate.
- Give each goal its own automatic monthly transfer and its own investment, and review annually.

Check Your Understanding

1. Rewrite this as a SMART goal: "I want to save for my son's wedding."
2. Rohit needs ₹3,00,000 in eighteen months for a house deposit. Name one suitable place of investment and one clearly unsuitable place, and say why.
3. A goal costs ₹5,00,000 today and is twelve years away. If its costs inflate at 6% a year, roughly what will it cost then? (Use the Rule of 72.)

Your Action Step

Draw the goal table above on one sheet. Fill in every goal your household has, including the ones you have been avoiding. Compute the future amount for each long-term goal. Keep this sheet — you will use it again.

Chapter 7

Risk and Return: The Only Trade-off That Matters

Where this fits: The last chapter gave you goals and horizons. This chapter explains the price you pay for growth.

By the end of this chapter you will be able to:

- Name the main types of investment risk and say which ones diversification can remove
- Explain the risk-return relationship and why "high return, no risk" is always a lie
- Distinguish the two ways an investment can pay you

What risk actually means

In everyday speech, risk means the chance of something bad. In investing it has a more precise meaning:

Risk is the possibility that your actual return will differ from your expected return — including the possibility of losing part or all of your capital.

Note the word *differ*. Risk is two-sided. The same volatility that can leave you 20% down can leave you 30% up. Investors who want the second without the first are asking for something that has never existed.

The Three pillars



Every investment can be judged on three characteristics. The uncomfortable truth is that no investment scores highly on all three, and understanding the trade-offs between them is most of what investment skill consists of -

Pillar	What it means	Example
Safety	Protection of the capital you put in	Government securities carry very low credit risk, though their market value still moves with interest rates
Liquidity	How quickly and cheaply you can turn it back into cash	A savings account is instantly liquid; real estate can take months and costs a great deal to sell
Return	Income and growth from the investment	Equity may deliver high long-term returns, with correspondingly high short-term variability

A savings account gives you safety and liquidity, and almost no return. Real estate may give return, with poor liquidity. Equity may give return and reasonable liquidity, with no safety in the short run.

You choose your position among these three based on the goal and its horizon — which is exactly why goals came first.

The risk-return relationship

The core principle is unglamorous and absolute:

- **Higher potential return generally requires accepting higher risk**
- **Lower risk generally means accepting lower return**

There is no product that escapes this. If someone offers you equity-like returns with fixed deposit safety, one of three things is true: they have misunderstood the product, they are misrepresenting it, or it is a fraud. The third case is more common than most people expect.

Four principles follow from this.

There is no such thing as a risk-free investment: Even a government bond, which has effectively no credit risk, has interest rate risk — its market price falls when rates rise. Even cash in a locker has inflation risk. You do not get to avoid risk; you only get to choose which risk you take.

Risk and return are a trade-off, not a menu: You cannot select high return and decline high risk. Chasing the first means accepting a wider range of outcomes, including bad ones.

Risk cannot be eliminated, but it can be managed: Diversification, asset allocation, matching horizon to product, and staying invested through cycles all reduce the impact of risk without pretending to abolish it.

Suspicion should rise with promised returns: When someone promises a return well above what regulated markets typically produce, the correct response is not excitement but investigation.



Figure 7 *No product sits above this line. Anything advertised as high return with low risk is sitting in the empty space above it — which is the single most reliable sign of a fraud.*

The main types of risk

Risk	What it is
Market risk (systematic risk)	The risk from factors affecting the whole market or economy — recessions, wars, policy shocks, pandemics. It affects nearly all securities together.
Unsystematic risk	Risk specific to one company or industry — a factory fire, a fraud, a regulatory ban on a product, a failed drug trial.
Inflation risk	Also called purchasing power risk. The risk that your returns will not keep pace with rising prices, so you gain rupees and lose value.
Interest rate risk	The risk that changes in market interest rates alter the value of fixed-income securities. When interest rates rise, existing bond prices fall.
Liquidity risk	The risk that you cannot buy or sell quickly at a fair price, so you are forced either to wait or to accept a worse price.
Business risk	The risk that a specific company's operations deteriorate or cease due to operational, market or financial problems.

Credit or default risk	The risk that a borrower — a company issuing a bond, for instance — fails to pay interest or repay principal.
Volatility risk	The risk arising from price fluctuation itself. Prices that swing widely may force you to sell at a bad moment or panic you into doing so.
Currency risk	The risk of loss from exchange rate movements when you hold investments denominated in a foreign currency.
Concentration risk	The risk from holding too much of one thing — one stock, one sector, one asset class, or your employer's shares alongside your salary.

The one distinction that matters most

The most useful way to group these is by whether diversification helps reduce risk.

Systematic risk affects the whole market. Market risk, inflation risk, interest rate risk and currency risk are largely systematic.

You cannot diversify it away — owning fifty different stocks does not protect you from a market-wide crash, because they all fall together. You manage systematic risk through asset allocation (mixing equity with debt and gold) and through time horizon (staying invested long enough to recover).

Unsystematic risk affects one company or one sector. Business risk, credit risk and concentration risk are largely unsystematic. **This risk can be very substantially reduced by diversification** — if one company in a portfolio of fifty collapses, you will not lose 100%.

Some risks straddle both. Volatility can arise from market-wide events or company-specific ones. Liquidity can dry up in a single security or across an entire market in a crisis.

> **Watch Out — the risk you cannot see is usually concentration**
>
> *An employee holding a large block of their own employer's shares has stacked their salary, their job security and their investments on a single company. If the company fails, all three go at once. The same applies to a household whose wealth is entirely in one city's property market, or one sector's stocks. Concentration risk is comfortable — you feel you understand what you own — and that comfort is exactly what makes it dangerous.*

Measuring risk: two numbers worth knowing

You do not need to compute these, but you will see them and should know what they mean.

Standard deviation measures how widely returns have varied around their average. A fund with a standard deviation of 18% has historically moved much more, in both directions, than one with 6%. It is the most common numerical proxy for volatility.

Risk-adjusted return asks how much return you earned per unit of risk taken.

A common form is:

$$\text{Risk-adjusted return} = \frac{\text{Return} - \text{Risk-free rate}}{\text{Standard deviation}}$$

Two funds may both have returned 14%. If one did it with half the volatility, it delivered a better outcome for the same result — because the calmer path is far easier to stay invested in, and staying invested is what actually produces returns.

How investments pay you

An investment returns money to you in exactly two ways, and it is worth being clear about which one you are relying on.

Type	What it is	Examples
Current income	Money received at intervals while you continue to hold the investment	Interest from fixed deposits and bonds; dividends from shares; distributions from mutual funds
Capital appreciation	The gain when the value of the investment rises and you sell it	Buying a share at ₹50 and selling at ₹65

> ***Worked Example — capital appreciation***
>
> *An investor buys 100 shares of XYZ Ltd at ₹50 each, paying ₹5,000 in total.*
>
> *The price rises to ₹65. The investor sells all 100 shares and receives ₹6,500.*
>
> ***Gain = ₹6,500 − ₹5,000 = ₹1,500**, or ₹15 per share. This is capital appreciation, also called a capital gain.*
>
> *Note two things this example leaves out, which the real world does not: brokerage, statutory charges and taxes reduce the gain, and the price could equally have fallen to ₹40 per share.*

Different goals want different mixes. A retired person living off a portfolio wants current income. A thirty-year-old building a corpus wants capital appreciation and should generally reinvest any income received. This distinction returns later, when we compare Growth plans with IDCW plans in mutual funds.

Real return, one more time

It is worth repeating the real return formula here, because it is the point at which risk and inflation meet. The shortcut version is:

Real return = Nominal return − Inflation rate

The exact formula — [(1 + Nominal return) ÷ (1 + Inflation rate)] − 1, set out in Chapter 3 — always gives a slightly lower figure than the subtraction. Use it whenever the result is going to be compounded over many years; for the judgement being made here, the shortcut is enough.

A "safe" investment returning 5.5% against 6% inflation has a negative real return. It has not protected your money; it has lost it slowly with a guarantee attached. When people say that avoiding risk is itself risky, this is the arithmetic they mean.

Recap in One Minute

- Risk is the possibility that actual returns differ from expected returns, in both directions.
- Safety, liquidity and return: you can have two, never all three at their best.
- Higher potential return requires accepting higher risk. Any offer that denies this should be investigated, not accepted.
- Systematic risk affects everything and cannot be diversified away; unsystematic risk is company-specific and largely can be.
- Investments pay you through current income or capital appreciation. Know which one you are depending on.

Check Your Understanding

1. A friend describes a scheme offering "3% per month, fully guaranteed, no risk." Using this chapter, give two reasons to be sceptical.
2. Which of these can diversification reduce: a factory fire at one company, a nationwide recession, a fraud at one company, a rise in interest rates?
3. An FD returns 6.5%. Inflation is 5.8%. What is the real return, and what does it tell you?

Your Action Step

List everything you currently own that has any financial value — deposits, insurance policies with a savings element, gold, any shares or funds, provident fund, and any property other than the home you live in. Next to each, write which of the three pillars it serves best and which risk it is most exposed to. Most people find their list is heavily concentrated in one pillar. You will use this list in the next chapter.

Chapter 8

Don’t Put All Your Eggs in One Basket

Where this fits: The last chapter showed that some risk can be reduced without giving up return. This chapter is how.

By the end of this chapter you will be able to:

- Name the major asset classes and what each is good at
- Explain the difference between diversification and asset allocation
- Build an outline allocation for your own goals and life stage

Asset classes

An **asset class** is a category of investments that share similar characteristics, risk-return behaviour and response to economic conditions.

Asset class	What it is good at	What it is bad at	Main risks
Equity (shares, equity funds)	Long-term growth well above inflation	Short-term stability	Market, business, volatility
Debt (bonds, deposits, debt funds)	Predictable income, capital stability	Beating inflation over long periods	Interest rate, credit, inflation
Gold	Holding value in crises and inflationary periods	Producing any income	Price volatility, storage, no yield
Real estate (other than your own home)	Long-term appreciation and rental income	Liquidity, divisibility	Liquidity, concentration, regulatory
Cash and equivalents	Immediate availability and certainty	Growth of any kind	Inflation

Gold appears in the table as the commodity most Indian households already own. It belongs to a wider class — energy, base metals and agricultural goods — which trades as derivatives on SEBI-regulated commodity exchanges. That market is described in Part 5.

The single most important property of asset classes is this: **they do not all move together.** When equity markets fall sharply, government bonds often hold their value or rise. Gold has frequently risen during periods of financial stress and currency weakness. That imperfect correlation is the entire engineering principle behind everything in this chapter.

Diversification

Diversification means spreading your money so that no single asset, company, sector or event can seriously damage your overall position.

It operates at several levels, and most people stop at the first one:

- **Across asset classes** — equity and debt and gold, not only one
- **Across securities within a class** — many companies, not one
- **Across sectors** — banking, information technology, pharmaceuticals, energy, consumer goods, not one sector
- **Across market capitalisations** — large, mid and small companies
- **Across issuers within debt** — government and multiple corporate issuers
- **Across time** — investing regularly rather than all at once

What diversification does: it reduces unsystematic risk substantially, so that one company's failure is an inconvenience rather than a catastrophe.

What diversification does not do: it does not protect you from a market-wide fall, and it does not maximise returns. A diversified portfolio will always contain something that is underperforming — that is not a flaw in the portfolio, it is the portfolio working correctly. The person holding only the single best-performing asset of the last three years is not skilled; they are exposed, and they will find out when that asset turns.

> ***Watch Out — more funds is not more diversification***
>
> *Owning nine equity mutual funds is not nine times the diversification of owning one. If they are all large-cap funds, they hold substantially the same thirty companies, and you have paid nine expense ratios for one portfolio, made rebalancing harder, and created a paperwork burden. Diversification is about owning different things, not many things. For most households, three to five well-chosen funds across asset classes is ample.*



Asset allocation

Asset allocation is deciding what proportion of your money goes into each asset class. It is the most consequential decision you will make, and it deserves more thought than scheme selection — which is where most people spend their attention instead.

The reason is straightforward. Whether you hold 70% equity or 30% equity will swing your

outcome far more, over a decade, than whether you picked the second-best or the fifth-best large-cap fund.

Allocation is driven by three things:

Your goal's time horizon: The short, medium and long classification, applied directly.

Your risk capacity: How much loss you can *afford* — a function of income stability, dependants, existing wealth, insurance and how far away the goal is. This is objective.

Your risk tolerance: How much loss you can *sleep through*. This is psychological, and it is the constraint that actually binds. A portfolio that is theoretically optimal but that you abandon in the first bad year is worse than a conservative one you stick with.

Allocation by goal horizon

Horizon	Priority	Indicative approach
0–1 year	Capital safety and liquidity	Cash, savings account, liquid funds, short FDs
Horizon	**Priority**	**Indicative approach**
1–5 years	Balance of growth and protection	Hybrid funds, short-duration debt funds, RDs, FDs
5–7+ years	Inflation-beating growth	A diversified mix with meaningful equity exposure and a small gold allocation, tapering the equity as the goal approaches

Note that "long horizon" does not mean "all equity, automatically." It means equity exposure appropriate to the goal, the person and their capacity — and it means reducing that exposure as the date approaches. The mechanism for that taper is covered later.



Figure 8 *A long horizon does not mean all equity forever. It means equity exposure suited to the horizon, tapering as the goal date approaches, with a small gold allocation held throughout. Shape is indicative, not a prescription.*

Where gold fits

Gold appears in every allocation table in this chapter, and as the band running along the foot of the figure above. It is worth saying plainly why, because it is the asset most often either ignored altogether or bought far too much of.

Gold is held for diversification, not for growth: Over long periods equity has produced better real returns, and gold produces no income at all — no interest, no dividend, no rent. What it does is behave differently from equity. It has frequently risen during periods of financial stress, sharp currency weakness and high inflation, which tend to be the same periods in which equity is falling. A holding that rises while the rest of the portfolio falls makes the fall shallower, and a shallower fall is one you are more likely to sit through.

That argument supports a small allocation, not a large one:

- **A working range is 5–10% of the portfolio:** for most investors, which is the range used in the tables in this chapter. Below about 5% it is too small to change the outcome; much above 10% and you are making a large bet on an asset that produces nothing.
- **Hold it steadily rather than tactically:** Gold is useful because it was already there when the crisis arrived, not because it was bought during one. By the time the case for gold is obvious, the price already reflects it.
- **Jewellery is not an investment holding:** Making charges, purity uncertainty and the difficulty of selling at a fair price all work against you. For an allocation, gold ETFs or gold mutual funds are cleaner: transparently priced, sold in a day, with nothing to store or insure.

One difference from equity is worth noting. Gold's share does not usually need to taper as the goal date approaches, because it is already acting as a stabiliser rather than a growth asset. That is why it appears in the figure above as a constant band rather than a shrinking one, and why a small gold holding appears at every life stage in the tables that follow, usually shown bundled together with cash.

Age-based rules of thumb

Two shortcuts are widely quoted. Treat them as conversation-starters, not prescriptions. Neither is prescribed or endorsed by any regulator.

The Rule of 100: Equity allocation ≈ 100 − your age. A 30-year-old holds about 70% equity, a 55-year-old about 45%.

Bogle's rule of thumb: Hold a debt percentage roughly equal to your age. A 40-year-old holds about 40% debt and 60% equity.

Their virtue is that they capture something real — risk capacity generally falls as the horizon to retirement shortens. Their flaw is that they ignore everything else: a 55-year-old with a pension, no dependants and a paid-off house has far greater risk capacity than a 35-year-old

supporting three people on an insecure income. Use the rule as a starting point and then adjust for your actual situation.

Life-stage allocation

A more realistic framing looks at what is happening in your life rather than just your age.

Life stage	Characteristics	Indicative mix	Focus
Accumulation — 20s and 30s	Long horizon, few dependants, capacity to absorb volatility, income likely to rise	70–80% equity, 15–20% debt, 5–10% gold/cash	Building the habit and the corpus; diversified equity funds, index funds, NPS, PPF
Transition — 40s	Peak earnings, peak responsibilities — children's education, home loan, ageing parents	50–60% equity, 30–40% debt, 10% gold/cash	Protecting what has accumulated while still growing; hybrid funds, corporate bonds
Pre-retirement and retirement — 50s and 60s+	Short horizon, capital preservation, need for regular income	15–30% equity, 50–60% debt, 10– 30% gold, cash and liquid	Income and safety; GSecs, SCSS, deposits, systematic withdrawal plans, annuities

(Indicative only. Your own circumstances should override any table.)

Even in retirement, some equity exposure is usually appropriate. A 65-year-old may have a twenty-five year horizon, and a portfolio with no growth assets at all will be steadily eroded by inflation over that period. The mistake at both ends of life is to think in terms of "safe" and "risky" rather than in terms of horizon.

Risk-profile allocation

Profile	Description	Indicative mix
Conservative	Capital safety is the priority; large falls are unacceptable	70–75% debt and cash, 20–25% equity, 5% gold
Moderate	Wants growth but with meaningful stability	50% equity, 40% debt, 10% gold or cash
Aggressive	Seeks maximum long-term growth, accepts large short-term falls	70–80% equity, 20–30% debt and gold

Strategic and tactical allocation

Strategic allocation sets a long-term target mix — say 60% equity, 30% debt, 10% gold — and returns to it periodically regardless of market conditions. It is deliberately unexciting, and for most individual investors it is the right approach.

Tactical allocation temporarily shifts the mix to take advantage of what the investor or fund manager believes are market opportunities. It requires skill, discipline, and a willingness to be wrong publicly. Most individual investors who attempt it are in fact reacting to recent news, which is usually the worst available signal.

Rebalancing

Left alone, your allocation drifts. If equity rises 30% and debt rises 6%, a portfolio that started at 60:40 will end the year at roughly 65:35 — more aggressive than you chose, at precisely the moment when equity has become more expensive.

Rebalancing means selling some of what has grown and buying more of what has not, to return to your target percentages.

Rebalancing feels wrong every single time. You are selling your winners and buying your laggards. That discomfort is a feature, not a bug: it is a mechanical rule that forces you to sell high and buy low, at times when your instincts would do the opposite.

How often: annually is sufficient for most people. Some investors use a threshold instead — rebalance only when an asset class drifts more than five percentage points from target. Either works. Rebalancing monthly does not improve outcomes and generates costs and tax.

Also rebalance after major life events — marriage, a child, a job change, an inheritance, a serious illness — because your risk capacity has changed, not just your percentages.



By the target date, essentially none of the money is exposed to market movement. He has captured most of the growth of the long period and removed the risk of a 25% fall arriving in the final year — which is the single event most capable of destroying a decade of good work. The Systematic Transfer Plan, explained later, automates exactly this movement.

Recap in One Minute

- Asset classes behave differently in the same conditions; that is what makes mixing them useful. Equity, debt, gold and cash are the four most households need.
- Diversification reduces company-specific risk. It does not protect against market-wide falls and does not maximise return.
- Asset allocation — the split between classes — matters more than which scheme you pick.
- Allocation is driven by horizon, risk capacity and risk tolerance. Age-based rules are starting points, not answers.
- Rebalance about once a year, and glide out of growth assets as a goal approaches.

Check Your Understanding

1. Explain the difference between diversification and asset allocation in one sentence each.
2. A portfolio targeted at 60% equity has drifted to 70% after a strong year. What does rebalancing require, and why does it feel wrong?
3. Why is holding eight large-cap equity funds not the same as being diversified?

Your Action Step

Take the list of everything you own from the last chapter. Group each item into equity, debt, gold, real estate or cash — counting only property you do not live in — and calculate what percentage of your total each class represents. Compare that with the life-stage table. Almost everyone finds a surprise. Write down the one change that would move you closest to where you should be.

Part 3 — Understanding & Preparing to Enter the Market

> *You have a plan. Before you put money into the securities market, it is worth understanding what that market is, who operates in it, and who is responsible for keeping it honest. Understanding the accounts and KYC are important, because no route into the market opens without them.*

Chapter 9

What the Securities Market Is and Why It Exists

Where this fits: Part 2 decided what you need. This chapter explains the machinery you are about to use.

By the end of this chapter you will be able to:

- Learn what the securities market does for the economy and for you
- Distinguish the primary market from the secondary market
- Name the main products traded and say which are suitable for a beginner

The problem the market solves

A company in Coimbatore wants to build a new factory. It needs ₹500 crore. It does not have ₹500 crore.

Meanwhile, several million households across India each have a surplus of a few thousand rupees a month that is sitting idle.

The securities market exists to connect those two facts. It is a mechanism for moving savings from people who have them to enterprises that can use them — and for giving the savers a share of the resulting returns.

Everything else in this book is a detail of how that connection is made safely.



What is securities market

A **security** is a tradable financial instrument representing either ownership or a debt.

- If you buy an **equity share**, you own a small piece of the company. You share in its profits and its losses.

- If you buy a **bond** or **debenture**, you have lent money to the issuer. You are owed interest and repayment, whether or not the issuer does well.

That single distinction — owner or lender — explains most of the differences in risk and return between products. An owner can gain without limit and can lose everything. A lender's upside is capped at the agreed interest, and their downside is limited to the borrower defaulting.

What the market does for the economy

Understanding this makes you a better investor, because it tells you what you are actually participating in.

It mobilises household savings: Small amounts from millions of households aggregate into capital large enough to build infrastructure and industry.

It enables capital formation: Companies raise long-term money for new projects, expansion and modernisation without depending entirely on bank loans.

It provides price discovery: Continuous public trading produces a visible, constantly updated price for each security, reflecting the collective judgement of all participants about its worth.

It provides liquidity: Because there is an organised market, an investor who needs money can sell without finding a private buyer. Without this, almost nobody would be willing to make a long-term investment in the first place.

It funds the government: Central and state governments raise long-term money by issuing Government Securities and Treasury Bills, funding public infrastructure without printing money.

The two segments

The securities market has two parts. They are separate but inseparable — neither works without the other.



The relationship between the two is worth grasping. Nobody would subscribe to an IPO if there were no way to sell afterwards. The secondary market's liquidity is what makes the primary market's fundraising possible. When you buy a share on the exchange, no money reaches the company — but the existence of that market is precisely what allowed the company to raise money in the first place.

The step-by-step route in

For orientation, here is the entire practical sequence. Part 4 does each step properly.

1. **Have a bank account** in your own name, linked to your mobile number
2. **Complete your KYC** — a one-time identity verification
3. **Open the accounts you need** — for mutual funds you may need nothing more; for shares you need a trading account and a demat account with a SEBI-registered intermediary
4. **Start with something simple and diversified** — a diversified equity mutual fund or a broad index fund, rather than an individual stock tip
5. **Invest regularly rather than in one go**
6. **Monitor and review, without reacting to every movement**

Recap in One Minute

- The securities market connects households with surplus savings to enterprises and governments that need capital.
- A share makes you an owner; a bond makes you a lender. That distinction drives risk and return.
- The primary market issues new securities and raises money for the issuer; the secondary market trades existing ones between investors.
- The main products are mutual funds, shares, bonds, ETFs, derivatives and commodities.
- Derivatives are high-risk and unsuitable for most individual investors. Beginners are better served by diversified holdings than by concentrated or leveraged positions, whichever route they use to hold them.

Check Your Understanding

1. When you buy shares of a listed company on NSE, does the company receive your money? Explain.
2. Give one reason a company might prefer to raise money by issuing shares rather than taking a bank loan.
3. Which product gives a small investor diversification most easily, and why?

Your Action Step

Visit the SEBI investor website (investor.sebi.gov.in) and spend fifteen minutes reading the section on securities market basics. Note down two things you did not know. You will use this site again.

Chapter 10

What You Are Actually Buying: Shares, Bonds & Units

Where this fits: The last chapter explained what the securities market does. Before you meet the people who run it or the products you will actually buy, you need to know what the instruments themselves are. Everything later in this book is built from the three in this chapter.

By the end of this chapter you will be able to:

- State the single difference that separates every security into one of two families
- Explain what a share, a bond and a mutual fund unit each give you a claim on
- Say why a mutual fund is not a fourth kind of thing, but a container for the first two

Two families, one question



There are thousands of securities listed in India and more are created every week. Almost all of them answer one question: **are you an owner, or are you a lender?**

That single distinction determines what you are entitled to, where you stand if things go wrong, and what your realistic return looks like. Learn it once and most of the market becomes readable.

	Owner	Lender
The instrument	Equity share	Bond, debenture, deposit
What you get	A share of whatever is left after everyone else is paid	A fixed, agreed payment
Upside	Unlimited in principle	Capped at the agreed interest
If the business fails	Paid last, often nothing	Paid before owners, sometimes in full
Return over decades	Higher, and much more volatile	Lower, and much steadier

Neither family is better. They do different jobs, and a sensible portfolio holds both.

Equity shares — you are an owner

An **equity share** represents part-ownership of a company. If a company has issued one crore shares and you own 100, you own one hundred-thousandth of it.

Ownership gives you:

- A claim on profits, which the company may distribute as **dividends**
- Voting rights on certain resolutions, in proportion to your holding
- A claim on the residual value if the company is wound up — after every creditor, lender and preference shareholder has been paid

That last point defines equity risk precisely. **As an owner you are last in the queue.** You share fully in the upside and you absorb the losses first. It is the reason equity has produced higher long-term returns than debt, and the reason it can fall 40% in a year.

Two things a share does *not* give you. It does not entitle you to any particular price — the price is whatever another investor will pay today. And it does not entitle you to a dividend; companies may pay one, reduce it, or stop.

> ***Watch Out — the company's profit is not your profit***
>
> *A company can grow revenue and profit for years while its share price falls, because the price already reflected an even better outcome. What you earn depends on the price you paid relative to what the business eventually delivers, not on the business alone.*

Bonds and debentures — you are a lender

A **bond** or **debenture** is a loan. You lend money to a government or a company for a fixed period. In return you receive:

- **Coupon** — interest, usually paid at fixed intervals
- **Principal** — the original amount, returned at **maturity**

As a bondholder you are paid before shareholders, in good times and in bad. Your return is capped at the agreed interest — the company tripling its profits does not increase your coupon — and your risk is that the borrower fails to pay.

That asymmetry is why debt is the stabilising element in a portfolio, and why it will not, on its own, beat inflation over decades.

Government bonds carry effectively no credit risk in domestic currency. Corporate bonds pay more and carry more. Both carry a second risk that surprises people, because it has nothing to do with default: **when interest rates rise, the market price of an existing bond falls.** The arithmetic of that is worked through later, in the chapter on bonds. For now, note only that "safe" does not mean "the price never moves."

Mutual fund units — a claim on a pool of the above

Here is the point that trips up most first-time investors, and it is worth stating plainly.

A mutual fund is not a third kind of security. It is a container for the first two.

When you buy a **unit** of a mutual fund, you are not buying something new. You are buying a proportionate claim on a pool of shares and bonds that the fund holds on your behalf. An equity fund is shares. A debt fund is bonds. A hybrid fund is both, in a stated proportion.

This has three consequences that matter more than anything else you will read about mutual funds:

1. **The fund's risk is the risk of what it holds:** An equity mutual fund carries equity risk in full. The word "fund" does not soften it, the fund manager cannot remove it, and no amount of diversification within the fund makes shares behave like deposits.
2. **The fund's return is the return of what it holds, minus costs:** There is no separate source of profit. If Indian companies collectively do well, equity funds do well.
3. **You still need to know what shares and bonds are:** Choosing between an equity fund and a debt fund is choosing between being an owner and being a lender. It is the same decision, taken through a professional.

What the fund genuinely adds is real and worth paying a little for: diversification you could not afford on your own, professional selection, daily valuation, and the operational machinery to buy ₹500 worth of fifty companies at once. What it cannot add is a return without the corresponding risk.

Worked Example — the same rupee, two ways

You have ₹50,000 and want exposure to fifty large Indian companies.

Directly: *you would need to research fifty businesses, place fifty orders, pay fifty sets of charges, and hold odd lots in a demat account. With ₹50,000 you could buy a meaningful quantity of perhaps two or three.*

Through a fund: *one instruction, one charge, and your ₹50,000 buys a proportionate slice of all fifty.*

In both cases you own shares in fifty companies. The instrument you hold has a different name; the underlying exposure is identical.

Two more you will meet

Exchange Traded Funds (ETFs): A fund that tracks an index or a commodity and trades on the exchange like a share. Same container principle, bought a different way, usually at very low cost.

Derivatives — futures and options: Contracts whose value derives from an underlying asset such as a share, an index or a commodity.

Returns	Risk
Can be very high, and are leveraged	**Very high.** Losses can exceed the amount you put in

Watch Out — a plain warning about derivatives

Derivatives are legitimate instruments used by institutions to hedge genuine risks. They are also the fastest route by which retail investors lose money in the Indian market. Studies published by SEBI on individual traders in the equity derivatives segment have repeatedly found that a large majority lose money, with average losses that are substantial.

This book will explain what derivatives are, and will not teach you to trade them. If you have read this far, your capital belongs in the products this book does cover, not here.

Putting the three together

	Equity share	Bond	Mutual fund unit
You are	An owner	A lender	An owner of a pool
	Equity share	**Bond**	**Mutual fund unit**
Your claim is on	One company	One borrower	Everything the scheme holds
Income	Dividends, if declared	Coupon, as agreed	Whatever the pool generates, after costs

Diversified by default	No	No	Yes
Priced	Continuously, on the exchange	On the exchange or at maturity	Once a day, at NAV
Needs a demat account	Yes	Usually	No, unless held in demat form

Recap in One Minute

- Almost every security makes you either an **owner** or a **lender**. That one distinction explains most of the market.
- An **equity share** is part-ownership: last in the queue, unlimited upside, no promise of price or dividend.
- A **bond** is a loan: paid before owners, return capped at the coupon, and its market price falls when interest rates rise.
- A **mutual fund unit** is not a third instrument. It is a proportionate claim on a pool of shares and bonds, and it carries exactly the risk of what it holds.
- A fund adds diversification, professional selection and convenience. It cannot add return without the matching risk.

Check Your Understanding

1. A company announces record profits and its share price falls the same day. Has something gone wrong with your investment?
2. Your friend says an equity mutual fund is "safer than shares because it is a fund." What is right and what is wrong in that statement?
3. You want your money returned on a fixed date with a known amount. Which family should you be looking at, and why?

Your Action Step

Take any one mutual fund scheme — yours, a family member's, or any scheme picked at random from an AMC website. Find its portfolio disclosure, which every scheme publishes monthly. Look at what it actually holds. Write down the top five holdings and whether each is a share or a bond. You are looking at what you would really own.

Chapter 11

The Securities Market Ecosystem

Where this fits: You know what the market is and what it trades. This chapter names everyone involved, explains what an intermediary is, and sets out what each one is responsible for.

By the end of this chapter you will be able to:

- Define what a market intermediary is and explain the four functions intermediaries perform
- Name the Market Infrastructure Institutions and say what each guarantees
- Explain why "is this entity SEBI-registered?" is the most important question you will ever ask

Why this matters more than it sounds

When you place an order to buy a share, roughly eight organisations do something on your behalf before the shares appear in your account. You will never meet seven of them. But knowing they exist — and knowing which one to approach when something goes wrong — is the difference between a resolved problem and a lost sum of money.

It also matters for a blunter reason. The single most reliable defence against investment fraud is the question *"is this entity registered with SEBI, and in which category?"* You cannot ask it usefully unless you know what the categories are.

The map

Role	Who	What they do
Regulator	SEBI	Regulates the securities market and protects investors
Stock exchanges	NSE, BSE, MSE	Provide the trading platform where securities are bought and sold
Commodity exchanges	MCX, NCDEX and others	Provide the platform for commodity derivatives
Clearing corporations	Clearing arms of the exchanges	Guarantee that every trade settles — buyer gets securities, seller gets money
Depositories	NSDL, CDSL	Hold securities in electronic form

Depository participants (DPs)	Banks, brokers, financial institutions	Your point of contact with a depository; open and service your demat account
Stockbrokers	SEBI-registered brokers	Execute your buy and sell orders on the exchange
Asset Management Companies	Mutual fund houses	Pool investor money and manage it according to scheme objectives

Role	Who	What they do
Registered Investment Advisers (RIAs)	SEBI-registered advisers	Provide personalised, fee-only investment advice
Research Analysts (RAs)	SEBI-registered analysts	Publish research reports and recommendations
Registrars and Transfer Agents (RTAs)	CAMS, KFintech and others	Maintain investor records and process transactions for issuers and funds
Banks	Scheduled banks	Handle payments, transfers and ASBA services
Credit rating agencies	SEBI-registered CRAs	Assess and rate the credit quality of debt instruments
Merchant bankers	SEBI-registered	Manage public issues such as IPOs
Investors	You, and institutions	Provide the capital

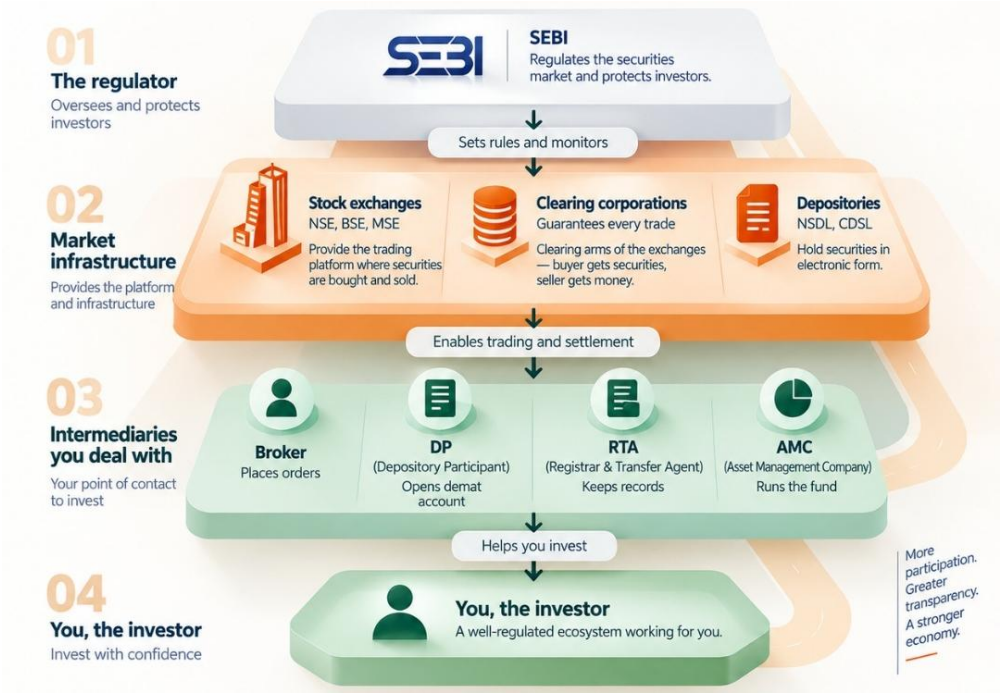


Figure 9 *You never touch the exchange directly. Every route in runs through a registered intermediary, and every layer answers to SEBI.*

Market Infrastructure Institutions

Three types of institution form the backbone of the market. Collectively they are called **Market Infrastructure Institutions (MIIs)**, and they are regulated especially closely because the entire market depends on them.

Stock exchanges

Exchanges provide a nationwide, computerised, screen-based trading platform on which registered brokers place orders on behalf of investors. Prices are determined by the orders themselves, in the open — that is what makes the market fair and transparent rather than negotiated in private. India's main nationwide exchanges are the **National Stock Exchange of India Limited (NSE)**, **BSE Limited (BSE)** and the **Metropolitan Stock Exchange of India Limited (MSE)**.

Clearing corporations

After a trade is agreed on the exchange, someone must ensure it actually completes. The **clearing corporation** guarantees settlement: every buyer receives the securities they bought, and every seller receives the money for what they sold.

This is a bigger deal than it appears. It means you never need to know or trust the person on the other side of your trade. The clearing corporation stands between you, becoming buyer to every seller and seller to every buyer. Without this, the entire market would depend on the creditworthiness of strangers.

The mechanism has a name: **novation**. When your trade is accepted for clearing, the single contract between you and the unknown seller is extinguished and replaced by two new ones — you with the clearing corporation, and the clearing corporation with the seller. The original obligation does not merely get guaranteed; it is legally substituted.

Two consequences follow, and both matter to you:

- **Counterparty risk disappears -** You are never exposed to whether the person on the other side can pay or deliver. Your counterparty is the clearing corporation, which is capitalised, regulated and backed by a settlement guarantee fund.
- **Anonymity becomes possible -** Because nobody needs to assess anybody, buyers and sellers never learn each other's identity — which is what allows an exchange to match orders on price and time alone.

Novation is why an Indian equity market trade settles with near-total reliability, and why a default by one member is that member's problem and the clearing corporation's problem, rather than yours.

Depositories

Depositories hold securities in dematerialised — electronic — form, replacing the physical paper certificates that once made the market slow, insecure and prone to forgery, theft and "bad delivery." India has two depositories:

- **National Securities Depository Limited (NSDL)**
- **Central Depository Services (India) Limited (CDSL)**

You do not deal with a depository directly. You deal with a **Depository Participant (DP)** — typically a bank or broker — which acts as the depository's agent, opens your demat account and services it.

A useful analogy: the depository is like the Reserve Bank in this arrangement, and the DP is like your local bank branch. Your account is with the system; your relationship is with the branch.

Market intermediaries

What is an intermediary

A **market intermediary** is a SEBI-registered entity that stands between you and the market and performs a function you cannot perform yourself.

The word is worth taking literally. You cannot walk onto a stock exchange and buy a share. You cannot hold a share in your own name in an electronic register. You cannot value a portfolio of fifty companies every evening. Somebody has to do each of those things, and the law requires that somebody to be registered, capitalised, supervised and answerable.

Intermediaries perform four functions between them:

Function	What it means	Who does it
Access	Giving you a route into a market you cannot enter directly	Stockbroker, mutual fund distributor, online bond platform
Custody and record	Holding your securities safely and recording that they are yours	Depository Participant, Registrar and Transfer Agent
Advice and analysis	Telling you what to do, or what a security is worth	Registered Investment Adviser, Research Analyst
Management	Investing pooled money on your behalf under a stated mandate	Asset Management Company, portfolio manager

Three things follow from this, and they matter more than the list itself.

An intermediary handles your money or your securities, but does not own them: Your shares sit in a depository in your name, not your broker's. Your mutual fund units are recorded against your folio, not the distributor's. This separation is deliberate and it is the reason a broker failing is survivable.

Every intermediary must be registered with SEBI in a specific category - and the category defines what it is allowed to do. A distributor may not advise for a fee. An adviser may not take custody of your money. When someone offers to do everything for you, they are describing something no single registration permits.

An intermediary is paid, and how it is paid changes what it tells you: A fee taken from you and a commission taken from a product manufacturer create different incentives. Knowing which one applies is the most useful thing you can learn about anyone advising you.

All intermediaries are bound by SEBI's conduct rules, must have a grievance mechanism, and are subject to inspection. That is what registration buys you.

Stockbroker

Executes your orders on the exchange, issues you a **contract note** for every trade, and holds your trading account. Brokers charge brokerage plus statutory charges.

Depository participant

Opens and maintains your demat account, processes transfers, and provides holding statements.

Registrar and Transfer Agent (RTA)

Maintains the register of investors on behalf of companies and mutual funds. When you invest in a mutual fund without a demat account, it is the RTA that records your units and issues your statement of account. When you need to update a bank mandate or claim an unclaimed dividend, the RTA is often who you deal with.

Registered Investment Adviser (RIA)

An individual or firm registered with SEBI under the Investment Advisers Regulations, providing personalised advice based on an assessment of your circumstances and risk profile.

The critical feature: **an RIA charges you a fee and is prohibited from receiving commissions or distribution income on the products they recommend.** That separation is what makes the advice advice rather than salesmanship. If someone advising you is paid by the product manufacturer, their incentives and yours are not aligned — which does not make them dishonest, but does mean you should know it.

Research Analyst (RA)

Registered with SEBI to prepare and publish research reports and recommendations based on fundamental or technical analysis. An RA publishes views to a general audience; an RIA advises a specific client.

Mutual fund distributor

Sells mutual fund schemes and is paid a commission by the AMC, embedded in the expense ratio of the "Regular" plan. Distributors must hold an **ARN (AMFI Registration Number)**. The Directversus-Regular choice this creates is explained later.

Industry bodies

AMFI (Association of Mutual Funds in India) is the industry association of SEBI-registered AMCs. It sets professional standards, issues the ARN to distributors, publishes industry data, and runs investor education (including the "Mutual Funds Sahi Hai" campaign).

ANMI (Association of National Exchanges Members of India) and the **BSE Brokers Forum (BBF)** represent stockbrokers and trading members, working with regulators and exchanges on operational, technology and compliance matters.

ARIA (Association of Registered Investment Advisers) is the industry body for SEBIregistered investment advisers. It promotes the fee-only advisory model, sets professional and ethical standards for its members, and works on adviser education and public awareness of the difference between advice and distribution.

RAASB (Research Analyst Administration and Supervisory Body) is a body recognised by SEBI to handle the day-to-day administration and supervision of registered Research Analysts — processing registrations, monitoring compliance and administering the supervisory framework, while SEBI retains regulatory authority. A parallel body performs the same role for Investment Advisers. Their practical significance to you is that registration and oversight of the people publishing research and giving advice is continuous rather than one-time.

Industry bodies are not regulators. They set standards for their members and represent them to the regulator; they cannot make binding rules for the market or penalise a firm the way SEBI can. When you verify an entity, verify its SEBI registration, not its membership of an association.

Types of investors

You will encounter these three categories constantly, and especially when a company issues new shares.

Retail Individual Investors (RII) — individual investors, including Hindu Undivided Families and NRIs, applying for relatively small amounts. In public issues, the retail category has an application-size ceiling under the applicable framework; retail investors may use UPI for publicissue applications up to a prescribed limit. These limits are revised from time to time, so check the current issue document.

Non-Institutional Investors (NII), also called High Net-worth Individuals (HNI) — individuals, HUFs, companies, trusts and societies applying above the retail limit. In IPOs this category is commonly sub-divided into small HNI and big HNI bands. They do not require registration but commit large amounts.

Qualified Institutional Buyers (QIB) — large professional institutions with the expertise and capital to evaluate securities: foreign portfolio investors, mutual funds, scheduled commercial banks, insurance companies, pension funds, alternative investment funds and venture capital funds. QIBs often act as anchor investors in public issues, providing stability and professional price discovery.

The proportion of an issue reserved for each category depends on the applicable public-issue framework and the type of issue. Do not assume a fixed percentage applies to every issue — read the issue document.

> ***Watch Out — the one question that prevents most fraud***
>
> *Before you give money or personal data to any entity in the securities market, ask:* ***is this entity registered with SEBI, in which category, and what is its registration number?***
>
> *Then verify it yourself — not by asking them, but on SEBI's own website at sebi.gov.in, which publishes lists of registered intermediaries, recognised exchanges and MIIs.*
>
> *An entity that is not registered has no obligations to you, is outside the grievance system this book describes, and cannot be compelled to return your money. "SEBI-registered" is not a marketing phrase to skim past. It is the difference between a dispute and a loss.*

How India's market got here

A brief history, because it explains why the safeguards exist.

Before 1988 — the open-outcry era - Trading happened by shouting on a physical floor, with paper share certificates changing hands. It was slow, opaque and unsafe: delays, forged certificates, "bad delivery," theft, and no protection if the counterparty defaulted.

1988 — SEBI created - The Securities and Exchange Board of India was set up on 12 April 1988 by an administrative order of the Government of India, initially without statutory powers.

1992 — statutory powers and liberalisation - The SEBI Act, 1992 was enacted on 30 January

1992, giving SEBI statutory authority. The Controller of Capital Issues was abolished, introducing free pricing of shares — companies could price their issues by market demand rather than by official permission.

1994–1996 — electronic trading and dematerialisation - Screen-based nationwide trading replaced the trading floor. The Depositories Act, 1996 enabled paper certificates to become electronic holdings, with NSDL established in 1996 and CDSL in 1999.

2000–2003 — derivatives and faster settlement - Index and equity derivatives were introduced; settlement moved to a T+2 rolling cycle in 2003.

2010–2016 — investor-protection infrastructure - ASBA was introduced for public issues, so application money stayed blocked in the applicant's own bank account rather than leaving it. SCORES, the centralised online grievance portal, was launched.

2020s — digital acceleration - Settlement moved to T+1. IPO listing timelines shortened to T+3 working days. UPI was integrated into ASBA. Verification tools such as validated UPI handles and SEBI Check were introduced, along with SCORES 2.0 and the Smart ODR platform for dispute resolution.

To commemorate over 150 years of Indian securities market history, SEBI launched **Dharohar**, a digital knowledge repository, on 26 January 2025. It documents the market's institutional milestones, regulatory developments and technological transformation, and is aimed at investors, students and researchers. It is accessible through SEBI's official channels.

The direction of every one of these changes is the same: less paper, less delay, less counterparty risk, more verification. Almost every safeguard you will use in Part 4 exists because something went wrong before it.

Recap in One Minute

- An intermediary is a SEBI-registered entity that gives you access, holds your securities, advises you or manages your money — and never owns any of it.
- MIIs — exchanges, clearing corporations and depositories — form the market's backbone. The clearing corporation guarantees settlement, so you never need to trust the stranger on the other side of your trade.
- Depositories (NSDL, CDSL) hold securities electronically; you access them through a Depository Participant.
- An RIA charges you a fee and cannot take product commissions; a distributor is paid by the product manufacturer. Know which you are talking to.
- Always verify SEBI registration on SEBI's own website before parting with money or data.

Check Your Understanding

1. What does a clearing corporation guarantee, and why does that matter to you personally?
2. What is the difference between a depository and a depository participant?
3. Why is the fee-only rule for Registered Investment Advisers important to an investor?

Your Action Step

Go to sebi.gov.in and find the list of registered intermediaries. Look up one entity you already deal with — your bank, your broker, or a mutual fund house. Confirm its registration and note the number. This is a two-minute habit that you should repeat before every new financial relationship for the rest of your life.

Chapter 12

Financial Market Regulators

Where this fits: The last chapter named the players. This chapter explains who makes the rules they must follow, who enforces them, and what that is worth to you.

By the end of this chapter you will be able to:

- Explain what a financial regulator is and why a market cannot function without one
- Name India's four main financial regulators and say which one governs which product
- Describe SEBI's three core functions and, equally important, what SEBI does not do

What a regulator is, and why it matters

A **regulator** is a statutory authority created by law to make rules for a sector, license the firms that operate in it, supervise their conduct, and punish those who break the rules. It is not a government department and it is not an industry association. It is an independent body with powers of its own, answerable to Parliament rather than to the industry it oversees.

Why does a securities market need one at all? Because of a problem no market solves by itself.

The two sides do not know the same things: A company issuing shares knows far more about its own business than you ever will. A broker knows more about market mechanics than its client. A fund manager knows more about a scheme than the person buying it. Left alone, that gap is an invitation — to overstate, to conceal, to charge what cannot be seen. Economists call it information asymmetry; in practice it is the reason most investment fraud is possible.

A regulator closes the gap in four ways:

What it does	What it means for you
Makes rules	Standard disclosures, so every prospectus and scheme document tells you comparable things
Licenses and registers	Only vetted, capitalised, qualified entities may take your money, and you can check
Supervises	Inspections, audits and surveillance run continuously, not only after a complaint
Enforces	Penalties, bans, disgorgement of illegal gains and criminal referral when rules are broken

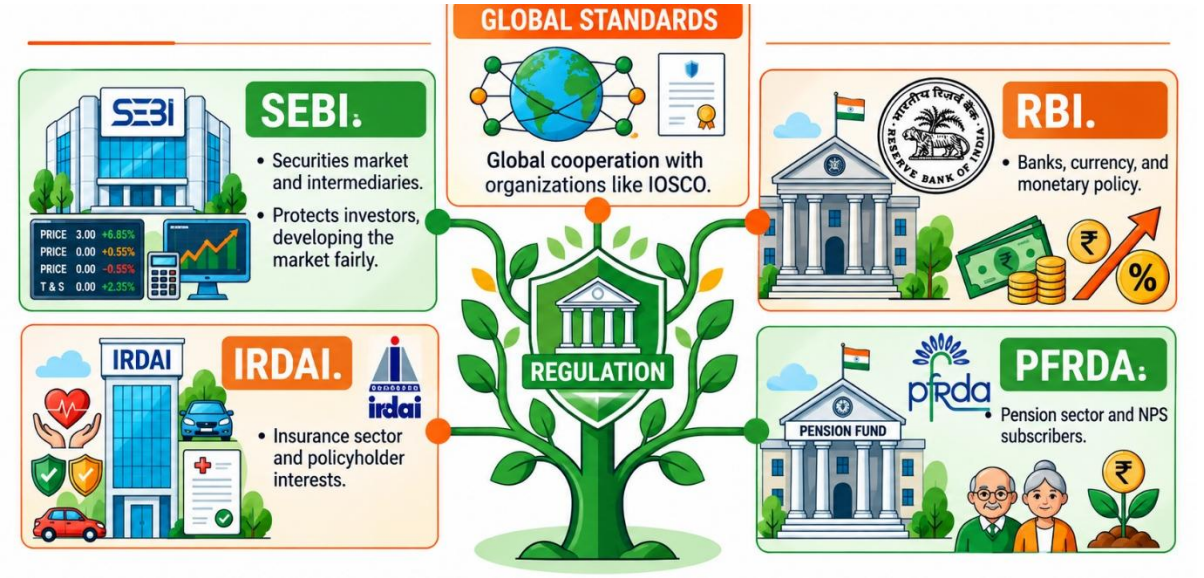
The result is not a market where you cannot lose money. It is a market where you can find out what you are buying, verify who you are buying it from, and complain to someone with teeth

if you are cheated. That is a much smaller promise than most people assume, and a much more valuable one than they realise.

The cost of a market without a regulator is not theoretical. India's own market history — the reason SEBI was given statutory powers in 1992 — was written by episodes in which settlement failed, prices were manipulated and small investors carried the losses.

Four regulators, four domains

India's financial system is regulated by four principal authorities. Knowing which one covers which product tells you where to complain, and — just as usefully — tells you when a product is covered by nobody.



Regulator	Covers	Examples of what it regulates
SEBI — Securities and Exchange Board of India	The securities market	Shares, mutual funds, brokers, exchanges, depositories, investment advisers, REITs, InvITs
RBI — Reserve Bank of India	Banking and the monetary system	Banks, NBFCs, payment systems, currency, interest rate policy, Government Securities
IRDAI — Insurance Regulatory and Development Authority of India	Insurance	Life, health, motor and general insurance companies and intermediaries
PFRDA — Pension Fund Regulatory and Development Authority	Pensions	The National Pension System, Atal Pension Yojana, pension fund managers

> ***Watch Out — the regulatory gap is where frauds live***
>
> *If a scheme does not fall under any of these four, ask why. Unregistered chit funds, "collective investment schemes" that never registered, crypto-token offerings promising returns, and multilevel marketing plans dressed as investments typically sit outside all four.*
>
> *That is not a technicality. It means there is no supervision, no disclosure requirement, no complaint mechanism and no enforcement. When such a scheme fails — and they fail — you are a creditor in a criminal matter, not an investor with rights.*

What SEBI does

The Securities and Exchange Board of India was established in 1988 and given statutory powers by the SEBI Act, 1992. Its mandate has three parts, and every SEBI activity falls under one of them.

1. Protect the interests of investors

- Runs investor awareness programmes across the country, including in rural and semiurban areas, working through Market Infrastructure Institutions, depositories, investor associations and trainers
- Operates **SCORES**, the online complaint platform, and the **Smart ODR** portal for online dispute resolution
- Monitors and acts against insider trading, market manipulation and fraudulent practices
- Takes action against unregistered advisers, misleading investment platforms and deceptive schemes
- Requires listed companies to disclose material information publicly, so that all investors have the same facts at the same time

2. Regulate the securities market

- Frames regulations for stock exchanges, brokers, authorised persons, portfolio managers and investment advisers
- Enforces rules on fair trading practices and disclosure norms
- Regulates intermediaries including mutual funds, credit rating agencies, custodians and RTAs
- Prescribes eligibility, conduct and net-worth requirements for market participants

3. Promote the orderly development of the market

- Develops market infrastructure — the shift to T+1 settlement, online trading, faster listing timelines

- Encourages institutional participation and market depth
- Enables new products and formats, including small-ticket investment options intended to widen participation

SEBI's powers and enforcement

SEBI is not merely an advisory body. Under the SEBI Act it has substantial statutory powers, including powers of a civil court in certain matters.

Inspections and audits: SEBI inspects the books, records and systems of intermediaries and MIIs to check compliance.

Investigations: Where it suspects a violation, SEBI can investigate, summon persons and documents, and examine records.

Directions and interim orders: SEBI can issue directions — including *ex parte* interim orders — to stop ongoing harm. Common measures include barring an entity from accessing the securities market, restraining it from dealing in securities, and attaching or impounding assets or bank accounts.

Administrative and disciplinary action: These include warnings, monetary penalties through adjudication proceedings, suspension or cancellation of registration, and disgorgement of unlawful gains.

Prosecution: For serious violations, SEBI can initiate criminal prosecution in the appropriate courts.

Public transparency: All enforcement orders and adjudication penalties are published on sebi.gov.in. This is a resource you can use — before dealing with an entity, it is worth searching whether SEBI has passed any order against it.

An investor can appeal certain SEBI decisions to the **Securities Appellate Tribunal (SAT)**, and from there to the Supreme Court on questions of law.

> ***Watch Out — what SEBI does not do***
>
> *SEBI regulates the market. It does not, and cannot:*

- **Guarantee or approve returns -** No SEBI registration implies any assurance about performance. Anyone claiming "SEBI-approved returns" is lying.
- **Compensate you for market losses -** If you buy a share and it falls, that is investment risk, not a grievance.
- **Vouch for the quality of an investment -** SEBI ensures a company discloses; it does not certify that the company is a good buy. The prospectus of every IPO says exactly this.
- **Resolve commercial or contractual disputes** - outside its purview, or complaints about unlisted companies.

> *Understanding the boundary saves you from two errors: expecting protection you do not have, and failing to complain when you genuinely do have a remedy.*

The other regulators, briefly

RBI - India's central bank. It issues currency, sets monetary policy, manages inflation through the repo rate and other tools, regulates banks and NBFCs, oversees payment systems including UPI, and manages the government's borrowing programme. When you use RBI Retail Direct to buy Government Securities, you are in RBI's domain.

IRDAI - Regulates insurers and insurance intermediaries, protects policyholders' interests, prescribes disclosure and claim-settlement norms, and publishes claim settlement ratios that are worth checking before you buy any policy.

PFRDA - Regulates the National Pension System and pension fund managers, and safeguards subscribers' interests.

How the economy moves your investments

You do not need to be an economist. But three forces will affect every rupee you invest, and recognising them prevents you from mistaking a normal cycle for a crisis.

Growth

When the economy grows strongly, company sales and profits generally rise, which supports equity prices. When growth slows, investors typically move towards safer fixed-income securities, and equity valuations come under pressure.

Inflation

High inflation erodes real returns and typically pushes the RBI towards raising rates. Investors often increase allocation to assets seen as inflation hedges, such as gold.

Interest rates

This is the one most retail investors misunderstand, so it is worth stating carefully.

When the RBI raises the repo rate (to control inflation), borrowing becomes costlier across the economy. Newly issued bonds offer higher interest. Existing bonds — which pay the older, lower rate — become less attractive, so **their prices fall**. Equity valuations often come under pressure too, since future profits are worth less when discounted at higher rates.

When the RBI cuts the repo rate, the reverse happens. Existing bonds paying the older, higher rate become more attractive, so **their prices rise**. Cheaper borrowing tends to support economic activity and equity valuations.

The counter-intuitive part is worth repeating: **bond prices and interest rates move in opposite directions.** This is why a debt mutual fund can show a negative return in a month when interest rates rise, even though nothing defaulted and nothing went wrong.

The RBI also uses the **Cash Reserve Ratio (CRR)** and **Statutory Liquidity Ratio (SLR)** to influence how much banks can lend, which affects short-term money market rates and eventually deposit and lending rates at your own bank.

What has changed recently

The Indian market has modernised rapidly. The developments below matter to you as an investor, and all appear again later in this book:

- **Paperless onboarding** through Aadhaar-based e-KYC, DigiLocker and video in-person verification
- **T+1 settlement** for secondary market equity trades, reducing the period during which either side is exposed
- **UPI in ASBA and T+3 IPO listing**, shortening the time between application and listing
- **New product formats** such as REITs and InvITs, giving retail investors access to real estate and infrastructure assets in small denominations
- **SCORES 2.0 and Smart ODR**, strengthening complaint handling and dispute resolution
- **Verification tools** including validated UPI handles, SEBI Check and the verified-app label on app stores

Recap in One Minute

- SEBI regulates securities, RBI banking and money, IRDAI insurance, PFRDA pensions. Products outside all four have no supervision.
- SEBI's mandate: protect investors, regulate the market, and develop it.
- SEBI has real enforcement powers — inspection, investigation, directions, penalties, prosecution — and publishes every order.
- SEBI never guarantees returns or compensates market losses. Anyone claiming otherwise is misleading you.
- Bond prices move opposite to interest rates. A falling debt fund in a rate-rising month is normal, not a failure.

Check Your Understanding

1. You have a complaint about a mis-sold health insurance policy. Which regulator, and why not SEBI?
2. The RBI raises the repo rate by 0.5%. What happens to existing bond prices, and why?
3. A scheme claims to be "approved by SEBI with assured 18% returns." Identify two things wrong with that claim.

Your Action Step

Open sebi.gov.in and find the orders and enforcement section. Read any one recent order in full. It will show you, more vividly than any warning, exactly what market misconduct looks like in practice and what happens to those who attempt it.

Chapter 13

Your Three Accounts and Your KYC

Where this fits: You have a plan and you understand the market. This chapter gets you the keys to the door.

By the end of this chapter you will be able to:

- Say which accounts you need for which products
- Complete KYC and understand what happens to your documents
- Protect your accounts from the most common forms of unauthorised access

The three accounts

To buy and sell listed securities on a stock exchange, you generally need three accounts working together.

Account	What it does	Who provides it
Savings bank account	Sends money out for purchases; receives money from sales, dividends and interest	Any bank
Trading account	The account through which buy and sell orders are placed on the exchange	A SEBI-registered stockbroker
Demat account	Holds your securities in electronic form	A Depository Participant, on behalf of NSDL or CDSL

Think of it as a wallet, an order desk and a locker. Money moves from the wallet, the order desk transacts, and the securities land in the locker.



Figure 10 *A wallet, an order desk and a locker. You do not need the last two to invest in most mutual funds — only to hold shares, ETFs, or units in demat form.*

Two ways to hold mutual fund units: Investors may hold mutual fund units either in

Statement of Account (SOA): form or in a demat account. You can invest directly with an Asset Management Company, or through its website, app, an Investor Service Centre or an RTA, and your units are recorded in a Statement of Account. A demat account enables investors to hold mutual fund units alongside other securities in a single account, and is required for ETFs and for investments through stock exchange platforms. Neither route is superior; they suit different holdings.

You will need a demat account if you want to hold shares or ETFs, hold mutual fund units in demat form, or invest through stock exchange platforms.

What a demat account is

A **demat account** — short for dematerialised — holds eligible securities electronically: shares, bonds, ETFs, Government Securities, and mutual fund units if you choose to hold them that way.

Before dematerialisation, ownership was proved by paper certificates. Those certificates could be lost, damaged, forged or stolen, transfers took weeks, and signature mismatches caused endless disputes. The demat system removed all of that in one stroke, and it is one of the main reasons the Indian market is now considered safe by global standards.

Two depositories maintain these accounts:

- **National Securities Depository Limited (NSDL)**
- **Central Depository Services (India) Limited (CDSL)**

You open your account through a **Depository Participant (DP)** — a bank, broker or financial institution registered with one of the depositories.

Why a demat account matters?

Beyond being a requirement for shares and ETFs, a demat account holds a wide range of securities in electronic form, delivers corporate benefits to you directly, and keeps a single record of what you own across asset classes. The practical benefits:

- **Consolidated holding:** Shares, ETFs, bonds, Government Securities and mutual fund units sit in one account rather than scattered across folios and certificates.
- **A single statement of holdings:** One document shows everything, which makes checking and tax computation far simpler.
- **Corporate benefits reach you directly:** Bonus issues, splits, rights entitlements and dividends are credited against your holding without paperwork.
- **Easier nomination and transmission:** A nomination registered once covers everything in the account, and transmission to a nominee follows a single process rather than one per holding.

- **Lower risk of loss, forgery or duplicate records:** Electronic holdings cannot be misplaced, torn, stolen or forged in the way physical certificates could.
- **Simpler portfolio tracking:** Values, quantities and transactions in one place, reconcilable against the Consolidated Account Statement described in Chapter 21.

None of this makes a demat account compulsory for a mutual fund investor. It makes it the more convenient choice once you hold more than one kind of security.

Basic Services Demat Account (BSDA)

Most people opening a demat account are quoted an **annual maintenance charge (AMC)** and assume it is unavoidable. Small investors holding limited securities may be eligible for a Basic Services Demat Account (BSDA), which provides reduced or nil annual maintenance charges subject to applicable conditions.

SEBI has prescribed a **Basic Services Demat Account (BSDA)** — not a lesser account, but the same demat account with the maintenance charge reduced or waived. The holdings sit in the same depository, under the same statutory protections, with the same access to corporate actions. Only the annual fee is different.

Who is eligible

Three conditions apply together:

- You are an **individual**, not a company, trust or partnership
- You hold **only one demat account across both depositories** as the sole or first holder. You may be a second or third holder on other accounts without losing eligibility
- The **value of your holdings stays within the prescribed limit** on the relevant date

An eligible account is required to be given BSDA treatment. It is not a favour, and you should not have to negotiate for it.

How the charge works

AMC is applied in slabs based on the value of holdings. The structure is what matters, because the figures are revised periodically:

Value of holdings	Annual maintenance charge
Up to ₹4,00,000	Nil
Above ₹4,00,000 and up to ₹10,00,000	₹100 a year, plus GST
Above ₹10,00,000	The DP's ordinary tariff, in full — the account ceases to be a BSDA

These figures took effect on 1 September 2024, under SEBI's circular of June 2024, and replaced an earlier structure in which the nil-charge threshold was ₹2,00,000. Debt and non-debt securities are counted together against the limits, and SEBI has since excluded certain holdings — Zero Coupon Zero Principal instruments and delisted securities among them — from the valuation. The figures are revised periodically. **Do not act on any figure quoted here or anywhere else without checking the current position** — the depository websites and your DP's tariff sheet both carry it.

What this is worth in practice - A DP charging ₹400 a year plus GST on an ordinary account collects roughly ₹472. On a BSDA holding ₹3,00,000 the same account costs nothing, and on one holding ₹7,00,000 it costs about ₹118. Over twenty-five years of holding, that is the difference between roughly ₹11,800 and nothing at all — paid out of a portfolio that is small enough for the charge to matter.

What is not covered

BSDA reduces the *maintenance* charge only. These are unaffected:

- Transaction and DP charges when you sell
- Dematerialisation and rematerialisation charges
- Pledge creation and invocation charges
- Statutory levies and GST

A BSDA does not make trading cheaper. It makes *holding* cheaper, which is what a long-term investor actually does.

If you cross the limit

Nothing is frozen and nothing is lost. The account is simply charged at ordinary rates for the relevant period. If the value falls back within the limit later, the concession can apply again. Crossing the threshold is a sign your portfolio has grown, which is the point of the exercise.

Statements

Electronic statements are the default and are free. Physical statements beyond the prescribed number may be charged. Keep your email address current and you will never need one.

> ***Watch Out — the second account that costs you both***
>
> *Eligibility depends on holding **only one** demat account as first holder. Opening a second account to take up a new broker's offer can end BSDA eligibility on both, and full maintenance charges then apply to each. Before opening another demat account, ask what it will cost you every year for as long as you keep it. Two accounts at ordinary rates for twenty-five years is a meaningful sum to pay for an offer that lasted a month.*

What to do

Ask your DP, in writing, two questions: whether your account is currently classified as a BSDA, and what the AMC would be if it were. Keep the reply. If you hold one demat account with modest holdings and are being charged full maintenance, you have grounds to ask for it to be reclassified.

How securities leave your demat account

Securities arrive in your demat account by themselves. Nothing leaves it without an instruction, and knowing what those instructions are called is what stops you signing away more authority than you meant to.

When you buy, the shares are credited automatically on settlement. When you sell, gift, transfer or pledge, something has to authorise the debit. There are three ways to give that authorisation, and they are not equally safe.

Delivery Instruction Slip (DIS)

A **Delivery Instruction Slip (DIS)** is the written instruction to your DP to debit securities from your account and deliver them somewhere — to the exchange when you sell, to another demat account when you gift or transfer, or to a lender when you pledge.

The physical version comes as a booklet issued by your DP, with serially numbered leaves. Each leaf names the security by its ISIN, the quantity, the destination account and the execution date, and carries the signature of every holder. It is, in every practical sense, a cheque book for your shares, and it should be handled like one:

- **Keep the booklet in your own custody -** Not with your broker, not with a relationship manager, not with the relative who "handles" your account.
- **Never sign a leaf before it is completely filled in -** A signed blank DIS is a signed blank cheque for your securities, and it is the single most common way retail holdings are stolen in India.
- **Strike out unused space -** in every field so that nothing can be added after you sign.
- **Record the serial numbers you use** and report a lost or missing booklet to your DP in writing immediately.
- **On a joint account, every holder signs, every time -** A DP that accepts one signature on a jointly held account is not protecting you.

Electronic DIS (eDIS) is the same instruction given digitally, and it does away with the booklet entirely.

When you place a delivery sell order, the platform hands you over to the depository's own page. You authorise the debit there with a PIN the depository issued directly to you — a **TPIN** at CDSL, an **MPIN** at NSDL — together with a one-time password sent to your registered mobile number and email. The debit happens only after both are entered.

Three things make this safer than the paper version:

- The PIN is generated by the depository and sent to you. Your DP cannot see it, change it or store it.
- You authorise named securities and quantities, not a blank authority. The authorisation is also time-limited, and typically lapses at the close of that trading day.
- Every authorisation leaves a record at the depository, not only at the broker — which matters a great deal if there is ever a dispute.

Its one drawback is friction. An active seller repeats the PIN and OTP on every trade, and on a volatile day that is a genuine nuisance. That is the problem the third method solves.

Demat Debit and Pledge Instruction (DDPI)

For years the standing alternative to authorising each sale was a **Power of Attorney (PoA)** given to the broker. A PoA is a broad legal authority, and it was routinely written broadly. Some brokers used it for purposes the client had never contemplated — meeting the firm's own margin obligations, funding other clients, pledging holdings without consent. When such a firm failed, its clients discovered their shares had already gone.

SEBI's response, through circulars issued in 2022, was to replace the instrument rather than police it. The **Demat Debit and Pledge Instruction (DDPI)** does the same practical job, with the authority narrowed to four specific purposes and nothing else:

- Transferring securities out of your demat account to settle a sale you have executed through that broker
- Pledging or re-pledging securities to a trading member or clearing member to meet your own margin requirement
- Executing mutual fund transactions on stock exchange order-entry platforms

Tendering shares in an open offer through an exchange platform

Anything outside that list is simply not authorised, whatever the broker may wish to do. Unlike a PoA, a DDPI may also be signed electronically, so it can be completed online in a few minutes.

What this means for you:

- **It is optional -** No broker may make a DDPI a condition of opening an account. Without one you simply use eDIS on each sale, which costs you nothing but a minute.
- **If you still have an old PoA,** ask your broker in writing to replace it with a DDPI and to confirm that the PoA stands revoked. Keep the confirmation.
- **Read what you are signing -** A document limited to the four purposes above is fine. A document titled "DDPI" that also authorises the broker to do other things is not a DDPI in substance. Do not sign it.
- **Never give a general Power of Attorney to a broker or DP -** Since the DDPI exists, there is no legitimate reason for anyone to ask you for one.

The three side by side:

	Power of Attorney	DDPI	eDIS
What it authorises	Broadly worded, open to interpretation	Four listed purposes only	One transaction, exactly as specified
How long it lasts	Until revoked	Until revoked	Usually to the close of that trading day
How it is signed	Physically, on stamp paper	Electronically or physically	Not signed — PIN and OTP each time
Right choice today	No	Yes, if you trade often	Yes, if you trade rarely

One limitation worth knowing: a DDPI covers settlement, margin pledging, exchange-platform mutual fund transactions and open offers. It does not cover an off-market transfer such as a gift to a family member. Those still need a DIS, physical or electronic, completed by you — which is covered in Part 6.

KYC: the one-time identity check

Know Your Customer (KYC) is a mandatory verification process before you can invest in the securities market. It confirms your identity and address, and protects the financial system from being used for money laundering and fraud.

What you need

- **PAN card** — mandatory for most securities market investments
- **Aadhaar** — linked to your active mobile number
- **Identity and address proof**
- **Recent photograph**
- **Signature**
- **Bank proof** — a cancelled cheque or a passbook copy

Why it is done once

KYC records are maintained centrally by **KYC Registration Agencies (KRAs)**. Once you are KYC-compliant, other registered intermediaries can access your verified status rather than repeating the whole process. If you have already completed KYC for a mutual fund, opening a demat account elsewhere is generally simpler.

Keep your KYC details current. If your address, mobile number, email or bank details change and you do not update them, you may miss statements, alerts and — in the worst case — payouts.

e-KYC completes the same verification digitally. With your explicit consent, your identity can be verified using Aadhaar-based authentication, often supported by video in-person verification (VIPV), in which a short video call confirms that you are the person applying.

Two rules for e-KYC:

Complete it only on the official website or app of the intermediary - Not through a link forwarded on WhatsApp. Not through a website that resembles the real one.

Understand what you are consenting to e-KYC requires your consent to share identity data. Read what you are agreeing to, particularly on platforms you have not used before.

DigiLocker is a government platform that stores verified documents electronically. With your consent, documents such as Aadhaar, PAN and certificates can be shared securely with authorised institutions. This reduces paperwork and speeds up onboarding, and the institution receives a document verified at source rather than a photocopy you could have altered.

Choosing your intermediary

Before you open anything, verify that the entity is registered with SEBI in the relevant category. Do this on **sebi.gov.in**, not on the intermediary's own website — anyone can print a registration number on a webpage.

Beyond registration, compare:

Charges - Account opening fee, annual maintenance charges (AMC), brokerage per trade, demat transaction charges, and charges for services such as physical statements or delayed payment. Ask for the complete tariff sheet in writing.

Platform quality - Whether the app or website is stable, and whether order placement and statement access are straightforward.

Support - How you reach a human being when something goes wrong, and how quickly. This matters far more than it seems on the day you open the account and far less than it seems until the day something goes wrong.

Grievance record - Exchanges publish complaint data about their members. It is worth a look.

> ***Watch Out — the deals that are not deals***
>
> *"Zero brokerage" and "free account opening" offers deserve a careful read. Revenue has to come from somewhere: it may be recovered through higher charges on other services, through margin funding interest, through payment for order flow arrangements where permitted, or through encouraging high-frequency trading that generates statutory charges.*
>
> *None of that is necessarily improper. But read the full tariff sheet, not the headline. And be especially wary of any platform whose interface is designed to make you trade more often. Frequent trading is one of the most reliable ways to reduce your own returns.*

Protecting your accounts

Your demat account can hold a substantial part of your net worth. Treat its security accordingly.

Two-factor authentication

Two-factor authentication (2FA) requires a second verification step after your password — typically a one-time password (OTP) or a code from an authenticator app. It is mandatory for trading accounts, and it is the single most effective protection against unauthorised access, because a stolen password alone becomes useless.

The rules that are not negotiable



- **Never share your password, PIN or OTP with anyone** — including someone claiming to be from your broker, your bank, the exchange or SEBI. No legitimate institution will ever ask for an OTP. Not once. Not for verification. Not to "cancel a fraudulent transaction."
- **Never sign blank forms or blank Delivery Instruction Slips (DIS) -** A signed blank DIS is a signed blank cheque for your securities.
- **Do not give a general Power of Attorney to a broker or DP -** Use a DDPI, which is limited to four defined purposes, or authorise each sale yourself through eDIS. Both are described above.
- **Change passwords periodically** and do not reuse them across platforms.
- **Keep one mobile number linked to all your financial accounts** and guard it. Your mobile number is the key to almost every transaction. Be alert to SIM-swap attempts — if your phone loses network unexpectedly and stays down, contact your operator immediately.
- **Enable all SMS and email alerts** from your broker, DP and the exchanges. Read them. Exchanges and depositories send periodic statements of your holdings and transactions precisely so that unauthorised activity gets noticed. Investors should immediately contact their Depository Participant if they receive any depository alert for a transaction that they do not recognise.

Nomination

Add a nominee to every account, at the time of opening. Depending on the current framework, multiple nominees may be permitted in a demat account, with specified shares.

This takes two minutes and prevents your family from spending months on a transmission process at the worst possible time. What happens when it is skipped is set out in detail later — it is one of the most consequential subjects in this book, and one of the most neglected.

Other access routes worth knowing

RBI Retail Direct: An online platform allowing individual investors to buy Government Securities, Treasury Bills and State Development Loans directly, without an intermediary.

Online Bond Platform Providers (OBPPs): SEBI-regulated platforms through which retail investors can buy and sell listed debt securities such as corporate bonds and G-Secs. Verify the platform's SEBI registration before using it.

Recap in One Minute

- Bank, trading and demat accounts work together for listed securities — but most mutual funds need only a bank account and KYC.
- KYC is one-time and centrally recorded by KRAs; keep your details updated or you will miss statements and payouts.
- Complete e-KYC only on the intermediary's official site or app, never through a forwarded link.
- Verify SEBI registration on sebi.gov.in before opening anything, and read the full tariff sheet.
- Never share an OTP, never sign a blank DIS, and never give a broker a general Power of Attorney — use a DDPI or eDIS instead. Add a nominee on day one.

Check Your Understanding

1. Ritu wants to start a monthly investment in a mutual fund. Which of the three accounts does she actually need?
2. Why is it safer for an intermediary to receive your documents through DigiLocker than as photocopies?
3. Someone calls saying they are from your broker's risk team and need the OTP just sent to you to stop a fraudulent trade. What do you do?

Your Action Step

If you already have a demat account: log in today and check three things — is a nominee registered, is your mobile number and email current, and are SMS and email alerts switched on. If you do not have one, verify one prospective intermediary on sebi.gov.in and request its full tariff sheet.

Part 4 — Investing Through Mutual Funds

This is where you actually invest. The order is deliberate. Mutual funds come next because a pooled, regulated vehicle lets a small monthly amount buy a diversified portfolio from the first rupee, with someone else doing the security selection — which makes it a practical place to learn how investing feels. That is a reason for the sequence, not a verdict on the alternatives; Part 5 covers the direct routes, and a well-informed investor may reasonably use either or both. Whichever you choose, give yourself time: start small, watch one holding through a fall and a recovery, and find out how you behave before you widen what you own.

Chapter 14

Mutual Funds: What They Are and How They Work

Where this fits: You have accounts and KYC. This chapter explains the pooled route into the market, and what to look at before using it.

By the end of this chapter you will be able to:

- Explain how a mutual fund works and what NAV means
- Explain what a Total Expense Ratio costs you over a decade
- Choose between a Direct and a Regular plan, and between Growth and IDCW

What a mutual fund is

A **mutual fund** collects money from many investors and invests it, as a single pool, in a portfolio of securities — shares, bonds, money market instruments or a combination. A professional **fund manager** makes the investment decisions, following the objective stated in the scheme's documents.

You own **units** of the scheme, proportionate to what you invested. If the portfolio gains value, so do your units.

The structure solves four problems for a small investor simultaneously:

Diversification for a small amount - ₹1,000 buys you a share of a portfolio holding dozens of companies. Buying those companies individually would take lakhs.

Professional management - A research team analyses companies, sectors and economies. You do not have to.

Convenience - No individual buy and sell decisions, no separate settlement for each holding, one consolidated statement.

Regulation - Mutual funds in India are closely regulated by SEBI, with strict rules on disclosure, valuation, portfolio limits and how investor money is held.

What it does *not* do is remove risk. A mutual fund investing in equity carries equity risk, in full. Diversification within the fund removes company-specific risk, not market risk. That distinction was drawn earlier and is worth re-reading if it has not stuck.



Figure 11 *₹500 and ₹5,000 buy the same portfolio, in different proportions. What pooling removes is the minimum size needed to diversify — not the risk of the assets themselves.*

Net Asset Value

Net Asset Value (NAV) is the per-unit value of a scheme. It is calculated as the total market value of the scheme's assets, minus its liabilities, divided by the number of units outstanding.

You buy and redeem units at the applicable NAV.

> ***Watch Out — a low NAV is not "cheap"***
>
> *This is one of the most persistent misunderstandings in Indian retail investing.*
>
> *Scheme A has an NAV of ₹15. Scheme B has an NAV of ₹450. Many investors conclude that Scheme A is cheaper and offers more room to grow.*
>
> *It offers nothing of the sort. ₹30,000 buys 2,000 units of A or 66.67 units of B. If both portfolios rise 10%, both holdings become ₹33,000. The NAV tells you nothing about whether a scheme is expensive, attractive, or likely to perform — it mostly reflects how long the scheme has existed and how it has done since launch.*
>
> *The same fallacy appears with New Fund Offers priced at ₹10, marketed as an opportunity to "get in at the bottom." There is no bottom. There is only a portfolio, and a new one has no track record to judge.*

What it costs you

Three costs matter, and one of them matters enormously.

Total Expense Ratio

The Total Expense Ratio (TER) is the annual charge the AMC levies for managing the scheme, expressed as a percentage of assets. It covers fund management, administration, marketing, distributor commission where applicable, operating costs, and the transaction costs incurred in executing trades — brokerage and statutory levies including GST. SEBI prescribes maximum limits, which vary by scheme type and size.

The TER is not billed to you. It is deducted from the scheme's assets, so it is already reflected in the NAV. This invisibility is exactly why it is under-examined.

> ***Worked Example — what 1% a year actually costs***
>
> *₹10,000 invested monthly for 25 years, with the portfolio earning 12% a year before costs. The expense ratio comes off that 12%, so what your money actually compounds at is the figure in the middle column.*

Total expense ratio	Net return after cost	Approximate value after 25 years
0.5% (a low-cost index fund)	11.5%	₹1.72 crore
1.5% (a typical direct equity fund)	10.5%	₹1.45 crore
2.25% (a typical regular equity fund)	9.75%	₹1.27 crore

> *The difference between the first and third rows is roughly **₹45 lakh** — on the same monthly contribution, over the same period, from the same market.*
>
> *(Illustrative. Actual returns and TERs vary.)*
>
> *This is not an argument that low cost always wins; an actively managed fund that genuinely outperforms can justify its fee. It is an argument that the fee is a real, compounding, permanent drag that you must consciously decide to pay, rather than never notice.*

Exit load

An **exit load** is a fee charged if you redeem before a specified period — commonly around 1% if you exit within a year, though it varies and many debt and liquid schemes have none.

Its purpose is to discourage very short holding periods that disrupt the portfolio. Check it before you invest, particularly if there is any chance you will need the money sooner than planned.

Stamp duty

A small, uniform stamp duty applies on the purchase or transfer of mutual fund units. It appears on your transaction statement.

Direct plans and Regular plans

Every scheme is offered in two versions of the same portfolio.

	Direct plan	Regular plan
How you invest	Directly with the AMC — its website, app, an Investor Service Centre or an RTA	Through a mutual fund distributor, bank, broker or advisor
Distributor commission	None	Included in the expense ratio
Expense ratio	Lower	Higher
Portfolio	Identical	Identical
	Direct plan	**Regular plan**
You receive	No advice or hand-holding	Assistance with selection, paperwork and servicing

The portfolios are the same, run by the same manager, holding the same securities. The only difference is the commission and therefore the TER — which, as the worked example above showed, compounds over decades.

The honest way to think about this: **a Regular plan is not a rip-off, it is a bundled service.** If your distributor genuinely helps you, keeps you invested during a crash, completes your paperwork and reviews your portfolio annually, that service has real value — arguably more value than the fee.

If you receive none of that and are simply paying a trail commission for a decision you made yourself, you are paying for nothing.

Decide deliberately. And note the third option: use a **Registered Investment Adviser** who charges you a fee and recommends Direct plans. You pay for advice explicitly rather than through the product, which is generally cheaper over time and removes the conflict of interest described earlier.

Growth plan and IDCW plan

Every scheme also offers two options for what happens to the income the portfolio earns.

Growth plan

Profits and income earned by the scheme are retained and reinvested. No payouts are made. The NAV rises as earnings accumulate.

Suitable for: anyone in the accumulation phase who does not need income from the investment. This is most investors, most of the time. It is compounding working without interruption.

IDCW plan — Income Distribution cum Capital Withdrawal

The scheme may distribute a portion of income earned, or return a portion of your capital, when declared.

Three things to understand clearly:

Distributions are not guaranteed: They depend on the availability of distributable surplus, and they may be reduced or skipped.

The NAV falls by the amount distributed: If a scheme with an NAV of ₹52 declares a ₹2 distribution, the NAV becomes ₹50 (plus any applicable taxes). You have not gained ₹2; you have moved ₹2 from one pocket to another.

The name was changed for a reason: The option was formerly called the "Dividend" plan, and investors reasonably assumed it worked like a company dividend — a payout of profits over and above their capital. It does not. Part of the payout may be a return of your own money. SEBI required the rename to "Income Distribution cum Capital Withdrawal" precisely to make that explicit.

Suitable for: investors who genuinely need periodic cash flow and understand the mechanics. Even then, a **Systematic Withdrawal Plan** from a Growth option is often a more controlled and more tax-efficient way to generate regular income.

How to invest, step by step

Step 1 — Have your documents ready

Assemble these before you start, not halfway through the form:

- **PAN card:** Required for most securities market investments. If you do not hold one, a declaration in Form 97 — which replaced Form 60 from 1 April 2026 — may be accepted for certain specified transactions. PAN is now mandatory for a wider range of transactions than before, so check whether the declaration route is still open for what you intend to do.
- **Aadhaar, linked to your active mobile number:** Aadhaar-based e-KYC routes exist for certain investment limits and channels, subject to the prevailing SEBI and KRA guidelines.
- **Bank account details:** A cancelled cheque or a passbook copy showing your name, account number and IFSC.
- **KYC-compliant identity and address proof.**
- **A recent photograph,** where the channel requires one.
- **Your signature** in the prescribed form, and an email address you actually read.

- **Nominee details,** or a signed opt-out. Doing this now takes two minutes; doing it later takes a form.

Step 2 — Decide Direct or Regular

As discussed above. Decide deliberately, and know what you are paying for.

Step 3 — Choose your channel

- The AMC's own website or mobile app
- An Investor Service Centre (ISC) or the RTA
- An AMFI-registered mutual fund distributor
- A stock exchange platform, through your broker
- The nearest branch of the fund house

Step 4 — Open a demat account as per your requirement

Investors may choose to hold mutual fund units in a demat account, which provides a consolidated electronic holding of mutual fund units and other securities in a single account. A demat account is required for holding ETFs and for investing through stock exchange platforms. Alternatively, mutual fund units may also be held through a Statement of Account (SOA) issued by the AMC or RTA, which is entirely secure and adequate.

You need one if you want to hold units in demat form, invest through exchange platforms, or hold ETFs.

Step 5 — Complete KYC

Physically at a branch or RTA office, or through e-KYC online. One-time, as described earlier.

Step 6 — Select a scheme

This is the decision that takes real thought. The next chapter is entirely about it.

Step 7 — Invest

Choose lump sum or SIP, the amount, and the frequency. A SIP requires a one-time bank mandate authorising the monthly debit.

Step 8 — Track it

- **MF Central** — a joint platform of the RTAs, giving a consolidated view of your mutual fund holdings across fund houses
- **MITRA (Mutual Fund Investment Tracing and Retrieval Assistant)** — an industry facility to help investors trace inactive or forgotten folios, including old investments made under a previous address or contact detail
- The AMC's own app or website
- Your **Consolidated Account Statement**

Reviewing twice a year is sufficient. Checking daily is actively harmful, for reasons covered later.

> ***Watch Out — the forgotten folio***
>
> *Millions of rupees sit in Indian mutual fund folios that investors have lost track of — usually because they changed address, changed phone number, or invested through a distributor they no longer deal with. If you or a family member invested years ago and lost the paperwork, MF Central and MITRA exist precisely for this. It costs nothing to check.*

Recap in One Minute

- A mutual fund pools money from many investors into a professionally managed, diversified portfolio.
- NAV is the per-unit value. A low NAV does not mean a cheap or better fund.
- TER is deducted invisibly from the NAV and compounds against you over decades. Know what you are paying.
- Direct and Regular hold identical portfolios; Regular includes distributor commission. Pay it only for service you actually receive.
- Growth reinvests and compounds; IDCW pays out and reduces NAV by the same amount, and may return your own capital.

Check Your Understanding

1. Fund A has an NAV of ₹18 and Fund B has an NAV of ₹390. Which is cheaper?
2. What is the only difference between a Direct plan and a Regular plan of the same scheme?
3. A scheme with NAV ₹64 declares an IDCW of ₹3. What is the NAV afterwards, and how much better off are you?

Your Action Step

Pick any large equity mutual fund. Find its factsheet online and locate three numbers: the Total Expense Ratio of the Direct plan, the TER of the Regular plan, and the exit load. Write down the difference between the two TERs. That annual difference, compounded over your investing life, is what the distribution service is costing you.

Chapter 15

Choosing a Mutual Fund Scheme

Where this fits: The last chapter explained how mutual funds work. This chapter helps you choose among the several hundred available.

By the end of this chapter you will be able to:

- Navigate the main categories of mutual fund and match them to your goals
- Read a Risk-o-meter and know where to find a scheme's real details
- Interpret a return figure correctly and avoid the most common selection errors

Start with the goal, not the fund

There are hundreds of mutual fund schemes in India. Choosing among them by looking at last year's return table is how most people do it, and it is close to the worst available method.

The right sequence is:

1. **The goal** and its horizon
2. **The asset class** that suits that horizon
3. **The category** of fund within that asset class
4. **The scheme** within that category

By the time you reach step 4, most of the decision is already made, and the remaining choice matters much less than people imagine. A person who correctly determines "I need an equity fund for a fifteen-year goal" and then picks a reasonable diversified fund will do far better than someone who picks last year's top performer without knowing why they are buying equity at all.

The categories

SEBI has standardised mutual fund categories so that schemes with the same label do broadly the same thing across fund houses. Here is the map.

By structure

Open-ended: You can buy or redeem units at any time, at the prevailing NAV. No fixed maturity. Most schemes are open-ended, and this is what most investors should use.

Close-ended: Launched for a fixed tenure. You can invest only during the New Fund Offer period; afterwards, exit before maturity generally requires selling on the stock exchange where the scheme is listed, often at a discount to NAV.

Interval: A hybrid of the two — transactions permitted only during specified intervals announced in advance.

By Asset Class

Equity funds invest mainly in shares. Aim for long-term capital appreciation. Higher risk, higher long-term potential. Suited to long horizons.

Debt funds invest in fixed-income instruments — government securities, treasury bills, corporate bonds, money market instruments. Generally lower risk than equity, aiming for relatively stable returns. Note "lower," not "no" — interest rate risk and credit risk both apply, and both are explained later.

Hybrid funds hold a mix of equity and debt, aiming to balance risk and return. Useful for medium-horizon goals and for investors uncomfortable with pure equity.

Multi-asset funds invest in at least three asset classes — typically equity, debt and gold. Broader diversification in a single scheme.

By market capitalisation (equity funds)

Large-cap funds invest primarily in large, established companies. Generally the least volatile equity category.

Mid-cap funds invest in medium-sized companies with growth potential. Higher return potential, higher volatility.

Small-cap funds invest in smaller companies. Highest long-term potential and by far the highest volatility. Falls of 40% or more in bad periods are not unusual. Suitable only as a small part of a portfolio, for a long horizon, for someone who genuinely will not panic.

Flexi-cap funds invest across large, mid and small caps without a fixed allocation, leaving the manager free to shift with conditions.

By management style

Active funds are managed by a fund manager who selects securities with the aim of beating a benchmark index. Requires continuous research, and therefore carries higher expenses. Performance depends on the manager's skill and decisions.

Passive funds track an index — Nifty 50, Sensex, or another — holding the same securities in nearly the same proportion. Minimal manager involvement, therefore much lower expenses. The objective is to match the index, not beat it. Exchange Traded Funds (ETFs) also fall into the Passive fund category.

The active-versus-passive question is genuinely debated. The case for passive is that costs are certain while outperformance is not, and that over long periods a substantial proportion of active funds fail to beat their benchmark after costs. The case for active is that skilled managers do exist and that some segments of the market offer more scope for skill. For a

beginner, a low cost broad index fund is a defensible core holding that removes an entire category of decision.

By speciality

Sectoral funds invest in one sector — banking, pharmaceuticals, technology, infrastructure. Concentrated, therefore high risk. They also tend to be launched and marketed after a sector has already performed well, which is precisely when future returns are least attractive.

Thematic funds invest around a theme — manufacturing, consumption, ESG, digitalisation — potentially across several sectors. Broader than sectoral, still concentrated.

Exchange Traded Funds (ETFs) track an index or commodity and trade on the exchange like a share. Very low expense ratios. Require a demat account, and you buy at the market price, which can differ slightly from NAV.

Fund of Funds (FoF) invest in other mutual funds or ETFs rather than directly in securities. Convenient, but you bear expenses at two levels.

Life Cycle Funds are built around a target maturity year and a glide path: the scheme holds more equity while that year is distant and shifts progressively towards debt as it approaches, inside the same scheme. They replaced the former solution-oriented category — retirement funds and children's funds — under SEBI's categorisation review of February 2026. SEBI found that solution-oriented schemes often held portfolios barely distinguishable from ordinary equity or hybrid funds while carrying goal-based branding and a lock-in, so the category was discontinued: existing schemes stopped accepting fresh subscriptions and are to be merged into schemes of similar asset allocation and risk, subject to SEBI's approval. If you already hold one, your existing units are unaffected until that merger; read the notice your AMC sends and check what your scheme is being merged into.

The factsheet: where the answers actually are

Every scheme publishes a monthly **factsheet** — a two- or three-page summary that fund houses are required to produce and update. It is free, it is on the AMC's website, and it contains almost everything the previous pages told you to check. Most investors have never opened one.

What to look for, and why:

On the factsheet	What it tells you
Investment objective and category	Whether the scheme is doing what its name suggests — the "true to label" test
Total Expense Ratio, Direct and Regular	What you are paying each year, and what the distributor arrangement costs you

Assets under management	The size of the scheme, which affects how nimble it can be
Portfolio holdings and top ten	What you actually own, and whether it overlaps heavily with your other funds
Sector and asset allocation	Where the concentration sits, and whether it matches what you intended
Benchmark and returns against it	Whether the manager has added anything over a plain index, over meaningful periods
Riskometer	The scheme's risk level on SEBI's prescribed scale, reviewed monthly
Fund manager and tenure	Who is running it, and for how long — a record under a manager who left tells you little
Exit load and minimum investment	What leaving early costs, and what it takes to start

On the factsheet	What it tells you
Portfolio turnover ratio	How much the manager trades, which drives transaction costs inside the TER

Two habits make the factsheet genuinely useful rather than merely available.

- **Compare the same month across schemes:** Factsheets are dated. Comparing March for one fund against September for another compares two different markets, not two different funds.
- **Read the portfolio, not only the return:** Two funds with similar returns can hold entirely different things. If your three equity funds share most of their top ten holdings, you own one fund three times and are paying three management fees for it.

The factsheet is also the honest answer to "how do I research a fund?" You do not need a subscription service or a ranking website. The regulator already requires the fund to publish what you need, in a standard form, every month.

Debt fund categories

Debt funds are categorised largely by the maturity of what they hold, which determines their sensitivity to interest rate changes.

Category	Typical holdings	Best suited for

Liquid funds	Instruments maturing up to 91 days	Parking money for days or weeks; emergency fund component
Ultra-short duration	Very short maturities	Money needed within a few months
Money market funds	Treasury bills, commercial paper, certificates of deposit	Short-term parking with low risk
Short duration funds	Shorter-maturity debt	Horizons of roughly one to three years
Long duration funds	Longer-maturity debt	Long horizons; benefit when rates fall, fall when rates rise
Gilt funds	Government securities only	No credit risk, but full interest rate sensitivity
Floating rate funds	Debt with periodically resetting rates	Reducing the impact of rising rates
Corporate bond funds	Higher-rated corporate debt	Slightly higher yield than gilts, with some credit risk

The general rule: **the longer the maturity of what a debt fund holds, the more its NAV moves when interest rates change.** A liquid fund barely moves. A long duration gilt fund can move substantially.

The Risk-o-meter



Every mutual fund scheme must display a **Risk-o-meter** — a standardised dial showing the scheme's risk level, calculated by a prescribed methodology and updated monthly.

It has six levels:

Level	Broadly indicates
Low	Overnight and liquid-type schemes
Low to Moderate	Very short duration debt
Moderate	Short to medium duration debt, some conservative hybrids
Moderately High	Longer duration debt, balanced hybrids
High	Large-cap equity, aggressive hybrids
Very High	Mid-cap, small-cap, sectoral and thematic equity

Two things to note. The Risk-o-meter is updated monthly and can change as the portfolio changes — a fund you bought at "Moderate" may not still be there. And it measures the scheme's risk, not its suitability for you; a "Very High" scheme is not wrong, it is simply wrong for a two year goal.

Where the real information is

Marketing material is not the scheme. Three documents are.

Scheme Information Document (SID)

The detailed document for a scheme. It sets out:

- The investment objective and where the scheme will invest
- Asset allocation limits — the minimum and maximum in each asset type
- Risk factors specific to the scheme
- The benchmark index against which performance is measured
- Fees, expenses and load structure
- Details of the fund manager
- Redemption process and timelines

If you read one document before investing, read the objective, the asset allocation table and the risk factors in the SID. It takes ten minutes and tells you what the scheme is actually permitted to do — which is sometimes materially different from what its name suggests.

Statement of Additional Information (SAI)

Contains statutory and legal information about the mutual fund and the AMC — constitution, trustees, key personnel, penalties and pending litigation. Read it if you want to understand the institution behind the scheme.

Key Information Memorandum (KIM)

A condensed summary of the SID, provided with the application form. Useful, but it is an abridgement — the full detail is in the SID.

All three are available on the AMC's website and must be provided on request.

Reading returns correctly

Return figures are presented in several ways, and they are not interchangeable.

Absolute return is the simple percentage change from purchase to today, ignoring time. ₹1,00,000 becoming ₹1,60,000 is a 60% absolute return — whether that took two years or twelve. Useful only for periods under a year.

Compound Annual Growth Rate (CAGR) is the annualised rate that would take you from the starting value to the ending value over the period. It is the correct measure for comparing periods longer than a year. ₹1,00,000 becoming ₹1,60,000 over five years is a CAGR of about

9.9% — a very different impression from "60%."

Trailing returns show the return over a period ending today: 1-year, 3-year, 5-year. They are the most commonly quoted and the most misleading, because they depend entirely on the end date. A fund can look outstanding on a 3-year trailing basis simply because three years ago happened to be a market bottom.

Rolling returns compute the return over every possible window of a given length within a period — every three-year period, rolled daily or monthly. This shows consistency rather than a single lucky window, and it is much more informative than trailing returns. If you are able to look at only one return measure, make it this one.

> ***Watch Out — the four commonest selection mistakes***
>
> ***Buying last year's top performer.*** *The top of one year's table is frequently in the bottom half of the next. Sector and style leadership rotates. Past performance genuinely does not indicate future returns, and the disclaimer means what it says.*
>
> ***Buying a New Fund Offer because it is ₹10.*** *A new scheme has no track record. The ₹10 price is arbitrary. There is no discount.*
>
> ***Owning too many schemes.*** *Eight equity funds usually means owning the same thirty companies eight times, with eight expense ratios and eight sets of paperwork. Three to five wellchosen schemes across asset classes is enough for almost any household.*
>
> ***Judging a fund over one year.*** *An equity fund should be judged over at least a full market cycle — five years or more. Redeeming after one bad year converts a temporary decline into a permanent loss, and it is the single most expensive habit in retail investing.*

A practical selection process

1. Confirm the goal and horizon.
2. Pick the asset class.
3. Pick the category within it — for a fifteen-year goal, a diversified equity or index fund; for three years, a hybrid or short duration debt fund.
4. Shortlist three or four schemes in that category from established fund houses.
5. Compare: rolling returns against the benchmark over five years or more, TER, portfolio concentration, fund manager tenure, and consistency during past falls.
6. Read the SID — objective, asset allocation, risk factors.
7. Check the Risk-o-meter against your risk tolerance.
8. Invest, and give it at least five years before judging.

Recap in One Minute

- Choose in this order: goal, asset class, category, scheme. Most of the decision is made before you look at any scheme.
- Categories are standardised by SEBI, so the same label means broadly the same thing across fund houses.
- The Risk-o-meter has six levels, is updated monthly, and measures the scheme's risk, not its suitability for you.
- The SID contains the objective, asset allocation limits and risk factors. Read it.
- Use CAGR for multi-year comparison and rolling returns for consistency. Trailing returns flatter whoever is quoting them.

Check Your Understanding

1. Money you need in eight months — which fund category, and which would be clearly wrong?
2. A fund turned ₹1,00,000 into ₹2,00,000 in seven years. Roughly what is the CAGR? (Rule of 72 will get you close.)
3. Why are rolling returns more informative than trailing returns?

Your Action Step

Take one goal from your goal table. Work through the eight-step selection process for it, and read the SID of your shortlisted scheme — genuinely read the objective, asset allocation and risk factors. Note down anything that surprised you.

Chapter 16

Investing on Autopilot: SIP, STP and SWP

Where this fits: You have chosen a scheme. This chapter is about *how* to put money in, move it around, and take it out — systematically.

By the end of this chapter you will be able to:

- Set up a SIP and explain what rupee cost averaging does and does not do
- Use an STP to move money gradually between schemes
- Use an SWP to generate regular income without dismantling your portfolio

Three facilities, one principle

All three are mechanisms for doing something in fixed instalments rather than all at once.

Facility	What it does	Typically used for
SIP — Systematic Investment Plan	Invests a fixed amount at fixed intervals	Building wealth from monthly income
STP — Systematic Transfer Plan	Moves a fixed amount from one scheme to another at fixed intervals	Deploying a lump sum gradually, or gliding out of equity as a goal nears
SWP — Systematic Withdrawal Plan	Redeems a fixed amount at fixed intervals and credits it to your bank	Generating regular income in retirement

Systematic Investment Plan

A **SIP** invests a fixed sum at fixed intervals — usually monthly, sometimes weekly or quarterly — into a chosen scheme. Many schemes accept ₹500 a month; some accept less.



Setting one up

1. Choose the scheme, amount, frequency and date

2. Give a **bank mandate** — a one-time authorisation for the AMC to debit that amount
3. Choose the date to fall within two days of your salary credit, so the money leaves before it can be spent
4. Choose the tenure, or select "perpetual" and review it annually

You can pause, modify, increase or stop a SIP at any time. It is a facility, not a contract.

What a SIP actually achieves

It enforces the savings-first principle. The money leaves automatically. Automation beats willpower, and a SIP is that principle turned into a bank instruction.

It averages your purchase cost. Because your rupee amount is fixed, you buy more units when the NAV is low and fewer when it is high. This is **rupee cost averaging**.

Worked Example — rupee cost averaging

₹6,000 invested on the same date for four months, into a falling and recovering market.

Month	NAV	Units bought
1	₹60	100.00
2	₹50	120.00
3	₹40	150.00
4	₹60	100.00

Total invested: ₹24,000. Total units: 470.

*Average cost per unit: ₹24,000 ÷ 470 = **₹51.06** — while the simple average of the four NAVs is ₹52.50.*

*More importantly, at the end of month 4 the NAV is exactly back where it started, yet the holding is worth 470 × ₹60 = **₹28,200** against ₹24,000 invested. The fall in months 2 and 3, which felt like bad news at the time, is where the gain came from.*

Figure 12 *The same ₹6,000 each month. ₹24,000 bought 470 units at an average of ₹51.06, against a simple average NAV of ₹52.50 — the fall in month 3 did the work.*

It removes market timing from the decision. You never have to judge whether today is a good day to invest. Over a long period you will have bought at every level.

What a SIP does not do



It does not guarantee a profit. If the market falls throughout your investment period and is still down when you need the money, you will have a loss. Rupee cost averaging improves your average entry price; it does not make markets rise.

It does not always beat a lump sum. In a market that rises steadily throughout, investing everything at the start would have done better. A SIP is not a return-maximising strategy — it is a risk-management and behaviour-management strategy, and it fits how salaried people actually receive money.

It does not work if you cancel it. The entire mechanism depends on continuing to invest during the periods when it feels worst. A SIP stopped in month 2 of the example above would have captured the fall and none of the recovery. The psychology of this is dealt with later, because it is where most SIPs actually die.

Step-up SIP

Most platforms allow a **step-up** or **top-up** SIP that increases your instalment automatically each year — by a fixed percentage or a fixed amount.

This is the single highest-value setting most investors never switch on. Your income rises over time. If your investment does not, your savings rate silently falls every year.

> ***Worked Example — what a 10% annual step-up does***
> *₹10,000 a month for 20 years at 12% a year.*

	Approximate final value
Flat ₹10,000 throughout	₹1.00 crore
With 10% annual step-up	₹1.90 crore

> *The step-up nearly doubles the outcome — and each individual annual increase is small enough to be barely noticeable against a rising salary.*
>
> *(Illustrative, assuming a constant 12% return.)*

Systematic Transfer Plan

An **STP** moves a fixed amount from one scheme to another at fixed intervals, within the same fund house. There are two main uses.

Deploying a lump sum gradually

Suppose you receive ₹12,00,000 — a bonus, a maturity, a sale. Putting it all into equity in one day exposes the entire amount to whatever the market does next month.

Instead: park it in a liquid or ultra-short duration fund, and set up an STP transferring ₹1,00,000 a month into your chosen equity fund for twelve months. The money that has not yet transferred earns something in the debt fund, and your equity entry is spread across twelve different market levels.

Gliding out of equity as a goal approaches This is the glide path, automated.

If your goal is two years away and your money is in equity, a single large fall in the final year could take a substantial part of your corpus at precisely the moment you have no time left to recover.

Set up an STP moving a fixed amount each month from the equity fund into a short duration debt or liquid fund over the final eighteen to twenty-four months. By the goal date, the money is safe. You have captured most of the growth of the long period and removed the endgame risk.

A tax point: an STP is a redemption from one scheme and a purchase in another. Each transfer is therefore a taxable event on the redeemed portion, and exit load may apply. The tax treatment is covered later. This does not make STPs a bad idea; it means you should be aware of it and plan the timing.

Systematic Withdrawal Plan

An **SWP** redeems a fixed amount from your scheme at fixed intervals and credits it to your bank account.

This is the retirement tool. Instead of holding an IDCW plan and receiving whatever the scheme decides to declare, you hold a Growth plan and instruct the fund to send you a fixed amount every month — ₹30,000, say — regardless of market conditions.

Why it is generally better than IDCW:

- You control the amount. IDCW distributions are irregular and not guaranteed; an SWP pays what you specify.
- You control the timing. Monthly, quarterly, whatever suits your household.
- It is usually more tax-efficient. Each SWP instalment is a redemption, and only the *gain* portion of it is taxed as capital gains. An IDCW distribution is generally taxed as income in your hands at your slab rate. For most retirees, the first treatment is better. Verify against the current rules before you rely on this.
- The remainder keeps compounding. Only what you withdraw leaves; the rest stays invested.

The one thing to watch: if your withdrawal rate exceeds what the portfolio earns, you are consuming capital, and the corpus will eventually run out. Withdrawing ₹50,000 a month from a ₹50 lakh corpus is a 12% annual withdrawal rate, which is almost certainly unsustainable. Model this before you retire, not after.

Which to use when

Your situation	Facility
Salaried, investing monthly from income	**SIP**, with annual step-up
Received a large lump sum	Park in liquid fund, **STP** into target scheme over 6–12 months
Goal is 18–24 months away	**STP** from equity into short duration debt
Your situation	**Facility**
Retired, need monthly income	**SWP** from a Growth plan
Income has risen	Increase the **SIP**, or switch on step-up

Recap in One Minute

- A SIP invests a fixed amount at fixed intervals; it enforces discipline, averages your cost and removes market timing.
- Rupee cost averaging lowers your average entry price. It does not guarantee a profit or always beat a lump sum.
- Switch on the annual step-up. Over twenty years it can nearly double the outcome.

- An STP deploys a lump sum gradually, and automates the glide out of equity as a goal approaches.
- An SWP generates controlled, usually tax-efficient regular income from a Growth plan, while the balance keeps compounding.

Check Your Understanding

1. In the rupee cost averaging example, why did the investor gain even though the NAV ended exactly where it began?
2. Manoj receives ₹15 lakh and wants it in equity for a long-term goal. What would you suggest, and why not invest it all on Monday?
3. Why is an SWP from a Growth plan usually preferable to an IDCW plan for a retiree?

Your Action Step

If you have a SIP, log in and check whether step-up is enabled. If not, enable it at 10% a year. If you do not yet have a SIP, set one up today for an amount small enough that you will not be tempted to cancel it — the amount matters far less than the start date.

Halfway Checkpoint — Five Rules That Protect You

Where this fits: You are halfway. You have a budget, a plan, an emergency fund, insurance, accounts, and at least one investment running automatically. Part 5 opens the door to buying securities directly. Before you walk through it — or before you do anything else at all — these five rules need to be permanent.

Part 7 covers fraud and complaints in full, and it is a long way off. This page is the short version, and it is short deliberately. You should not have to reach the end of the book to learn these. If you read nothing else here again, read this page.

Rule 1 — Nobody can guarantee you a return

Not a fund manager, not an adviser, not an app, not SEBI. A guaranteed or "assured" return in the securities market is the single most reliable sign of a fraud. Bank deposits and small savings schemes carry fixed rates; market-linked investments never do. Anyone who blurs that line is telling you something about themselves.

Rule 2 — Verify before you pay, every single time

Before money leaves your account, check the entity on the SEBI intermediary lists at **sebi.gov.in**, and check the collection account on **SEBI Check**. A registered intermediary's UPI handle carries the **@valid** suffix and a thumbs-up indicator in your payment app. An app should come from an official store listing with the verified label. This takes two minutes and it is the highest-value two minutes in this book.



Rule 3 — Never share an OTP, PIN or password, and never sign a blank form

No genuine intermediary, bank or regulator will ever ask for an OTP. Not for a refund, not for verification, not for a "reversal", not to release your own money. Never sign a blank delivery instruction slip.

Rule 4 — Urgency is the weapon

Every fraud needs you to act before you think. A closing window, a limited allotment, a price about to move, a penalty if you delay. Genuine investments are still there in forty-eight hours. Make the forty-eight-hour rule absolute: no money moves on the day you first hear about something.

Rule 5 — If it goes wrong, act within hours

- Call your bank immediately and freeze the account or block the card
- Report at **cybercrime.gov.in** or call the helpline **1930** — the first few hours decide whether money can be held
- File an FIR and keep a copy

- For a complaint against a SEBI-registered entity, escalate through **SCORES** at scores.sebi.gov.in

What comes next

Part 5 — Investing Directly: Shares, Bonds and Government Schemes. Buying shares directly, applying for IPOs, bonds and government securities, and the government-backed schemes — PPF, NSC, SCSS, Sukanya Samriddhi and NPS.

Part 6 — Staying Invested. Reading your statements, the ten biases that cost investors money, herd behaviour at market extremes, restarting after you have stopped, tax, and the nomination and transmission paperwork that decides whether your family can actually reach what you built.

Part 7 — Protecting Yourself. How frauds are constructed, how to verify anyone, and exactly how the complaint and online dispute resolution machinery works.

Everything from here assumes everything before it. There is no prize for hurrying.

Part 5 — Investing Directly: Shares, Bonds and Government Schemes

This part is about holding securities directly rather than through a fund that holds them on your behalf. It follows the life of a security in order: a company issues shares to the public, those shares then trade between investors, and alongside both sits the lending side — bonds and government securities — together with the government-backed schemes. Investing directly asks more of you: more judgement, more record-keeping, more discipline. That is a difference in what is required of the investor, not a ranking of the products. Some people find that funds do everything they need; others hold shares, bonds and schemes directly and do perfectly well; many use a combination.

Understand each avenue on its own terms, then decide which of them belongs in your portfolio.

Chapter 17

The Primary Market: IPOs and FPOs

Where this fits: A share has to be created before it can be traded. This chapter covers the moment of creation — when a company sells shares to the public for the first time and the money actually reaches the business.

By the end of this chapter you will be able to:

- Explain what an IPO is and what the different types of issue mean
- Apply for an IPO through ASBA and UPI, and understand what is happening to your money
- Judge an IPO on something other than expectations of listing-day gains

What the primary market does

The **primary market** is where securities are issued for the first time. A company sells new shares, and the money goes to the company — to fund expansion, repay debt, or provide an exit to existing shareholders.

This is the point at which savings genuinely become capital. When you buy on the secondary market, you are buying from another investor. When you subscribe to a fresh issue, you are financing the business.

Types of issue



Fresh issue and offer for sale

Within an IPO or FPO, the shares being sold can come from two places, and the distinction matters a great deal.

Fresh issue: New shares are created and sold. **The money goes to the company** and can be used for expansion, new plants, repaying debt or working capital. The company grows.

Offer for Sale (OFS): Existing shareholders — promoters, early investors, private equity funds — sell their existing shares. **The money goes to those selling shareholders, not to the company.** The company receives nothing and its business is unchanged.

Most issues are a mix. Read the issue document to see the split.

> ***Watch Out — read who is selling and why***
>
> *An IPO that is entirely an Offer for Sale is not raising money for growth. It is an exit for existing owners.*
>
> *That is perfectly legitimate — early investors are entitled to sell, and it is how venture capital works. But it should shape how you read the issue. People who know the business best have decided that this price is a good one at which to sell. You are on the other side of that trade. It is worth asking why they are selling now, at this valuation.*

The Draft Red Herring Prospectus

Before a public issue, the company files a Draft Red Herring Prospectus (DRHP) with SEBI. It is a detailed disclosure document containing:

- What the company does and how it makes money
- Audited financial statements for prior years
- Details of promoters, management and shareholding
- **Risk factors** — a mandatory, detailed listing
- The objects of the issue — precisely what the money will be used for
- Pending litigation and regulatory actions
- Industry background and competition

SEBI reviews it and issues observations. The company then files the final prospectus with the price band.

Two things to understand about SEBI's role, because they are widely misunderstood:

SEBI does not approve the company as an investment: It checks that the required disclosures have been made. A company can make full and accurate disclosures and still be a poor investment.

SEBI does not vet or approve the price: Since 1992, issuers price their own shares. The market decides whether the price is justified — and it is entirely possible for an issue to be priced at a level from which it falls and does not recover.

The DRHP is long. If you read only two sections, read **Risk Factors** and **Objects of the Issue**. Both are freely available on SEBI's website and the merchant banker's website.

How to apply

ASBA — Application Supported by Blocked Amount

ASBA is the mechanism that made IPO applications safe. Instead of sending money to the company and waiting weeks for a refund if you receive no allotment, the application amount is **blocked in your own bank account**.

- The money never leaves your account during the application period
- It continues to earn whatever interest your account pays
- If you are allotted shares, only the allotted amount is debited
- If you receive no allotment, or a partial one, the block is simply released — no refund process, no waiting, no cheque

ASBA is mandatory for public issue applications. Before it existed, refund delays were among the largest categories of investor complaint.

UPI in ASBA

Retail investors may apply using **UPI** integrated with ASBA, up to the prescribed limit. The process:

1. **Choose the issue** on your broker's app, the exchange platform, or your bank's net banking
2. **Enter your bid** — quantity in lots, and price (or select "cut-off," meaning you accept whatever final price is determined within the band)
3. **Enter your UPI ID:** Use only a UPI ID linked to a bank account in your own name
4. **Approve the mandate:** in your UPI app. This is the block instruction — read it carefully and check the amount before approving
5. **The amount is blocked:** in your account until allotment
6. **Allotment is finalised:** If oversubscribed, retail allotment is typically by lottery for one lot each
7. **Debit or release:** Allotted amount debited; the rest released
8. **Shares credit to your demat account**, and listing follows — under the current framework, generally within T+3 working days of issue closure

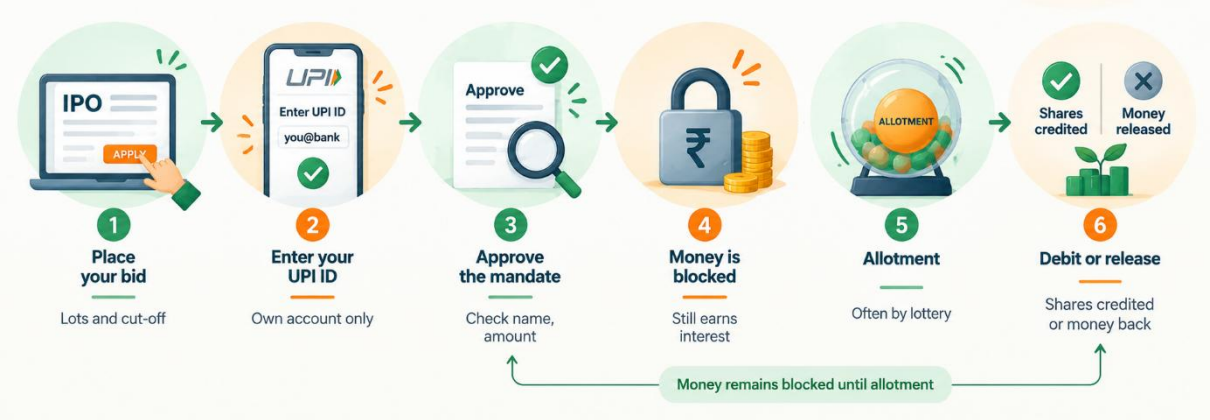


Figure 13 *Under ASBA the money never leaves your account during the application, and keeps earning interest. Read the mandate before approving it: check the issue name and the exact amount.*

> ***Watch Out — the UPI mandate scam***
>
> *Fraudsters send UPI collect requests dressed up as IPO applications, or ask you to "approve a mandate to confirm your allotment." The rules are absolute:*

- **A genuine IPO mandate is a *block*, not a payment -** Read the request. If it says "pay," it is not an IPO mandate.
- **Approve a mandate only in your own UPI app, immediately after you yourself placed a bid.** Never one that arrives unprompted.
- **Nobody ever needs your UPI PIN to give you money.** Entering a PIN authorises money to leave your account. There is no exception to this, ever.

Judging an IPO

Most retail interest in IPOs is about listing-day gains — buying at the issue price and selling immediately at a premium. Sometimes that works. It is not investing, and it is not reliable.

If you are considering an IPO as an investment, look at:

The business - What does it sell, to whom, and why will it keep working?

The financials - Revenue and profit trajectory over several years, debt levels, cash flow. Be alert to a company whose profits appeared only in the year before listing.

The valuation - Compare its pricing to already-listed peers on the usual measures. An issue priced far above comparable listed companies requires justification.

The objects of the issue - Expansion is a better use than repaying promoter loans.

The offer-for-sale proportion - As discussed above.

The risk factors - Read them. They are written by the company's own lawyers and are usually more candid than anything in the marketing.

Grey market chatter: ignore it entirely - The "grey market premium" is an unofficial, unregulated indication with no legal standing, no reliable source, and every incentive for manipulation by those who profit from generating interest.

SME IPOs

Small and medium enterprises can list on dedicated SME platforms of the exchanges, with lighter eligibility requirements than the main board.

Features:

- Smaller issue sizes
- Much larger minimum application size — The minimum application amount for an SME IPO in India is not less than ₹2,00,000 for individual retail investors, deliberately set to restrict participation to investors who can bear the risk
- Trading in fixed lot sizes rather than single shares
- Migration to the main board is possible after meeting prescribed criteria **Risks, stated plainly:**
- **Low liquidity -** There may be very few buyers when you want to sell.
- **Concentration -** Many SMEs depend on a small number of customers, a single product, or one promoter.
- **Limited public information -** Less analyst coverage and less scrutiny.
- **Higher volatility,** with prices capable of moving sharply on small volumes.
- **Susceptibility to manipulation -** Low float and low liquidity are precisely the conditions in which price manipulation is easiest.

SEBI has progressively tightened the SME framework — strengthening eligibility criteria, tightening disclosure and monitoring of issue proceeds, applying restrictions on promoter shareholding release, and increasing surveillance of price movements after listing — in response to observed instances of inflated valuations and manipulation.

The plain guidance for a reader of this book: **SME IPOs are not a beginner's product.** The higher minimum application is itself a signal about who the segment is designed for.

Follow-on Public Offer

An **FPO** is a public issue by a company that is already listed.

Why a company does it: To raise further capital for expansion, to reduce debt, to meet minimum public shareholding requirements, or to allow existing shareholders to sell.

How it differs from an IPO: There is a crucial advantage — the company already has a market price and a public track record. You are not guessing at a valuation with no reference point; you can compare the offer price with the prevailing market price and with the company's actual performance since listing.

FPOs are commonly priced at a small discount to the market price to attract subscription. Note that a fresh issue in an FPO increases the number of shares outstanding, which **dilutes** existing shareholders' proportional ownership unless they subscribe.

The application process — ASBA, UPI, bidding within a price band — is the same as for an IPO.

Recap in One Minute

- The primary market issues new securities; money from a fresh issue goes to the company, money from an offer for sale goes to selling shareholders.
- The DRHP is the real source of information. Read Risk Factors and Objects of the Issue at minimum.
- SEBI checks disclosure. It does not approve the company or vet the price.
- ASBA blocks money in your own account; UPI mandates for IPOs are blocks, never payments, and never require your PIN to receive money.
- SME IPOs carry low liquidity, high volatility and manipulation risk, and are not a beginner's product.

Check Your Understanding

1. In an IPO that is 100% offer for sale, who receives your money, and what should that tell you?
2. Why does ASBA protect an investor better than the old system of sending a cheque with the application?
3. A message says "approve this UPI mandate to receive your IPO allotment." What is wrong with it?

Your Action Step

Find the DRHP of any recent IPO on SEBI's website. Read the Risk Factors section only. Note how many risks are disclosed and whether any would have changed your view. This is the section almost nobody reads and the one written to be read.

Chapter 18

Buying Shares Directly: The Secondary Market

Where this fits: Once a company's shares are listed, they change hands between investors and the company is no longer involved. This chapter is about doing that yourself — and about being honest regarding whether you should.

By the end of this chapter you will be able to:

- Explain what happens between placing an order and owning a share
- Read an index and say what it does and does not tell you
- State the difference between investing and trading, and which one you are doing

A one-line reminder

An equity share makes you a part-owner: last in the queue, unlimited upside, no promise of price or dividend. That was established earlier. This chapter is about the machinery of buying and selling one.

How the secondary market works

The **secondary market** is where shares already in existence change hands between investors. The company receives nothing; it is simply a marketplace of buyers and sellers.

Here is what actually happens when you buy.

1. **You place an order** through your broker's app or website, specifying the security, the quantity and the price condition.
2. **The broker routes it to the exchange -** NSE or BSE.
3. **The exchange matches it** with a corresponding sell order, using price-time priority — best price first, and among equal prices, whoever was there first.
4. **A trade is executed.** You do not know who the seller is, and you do not need to.
5. **The clearing corporation guarantees settlement,** becoming buyer to the seller and seller to the buyer.
6. **Settlement occurs on a T+1 basis** — generally one working day after the trade date. Your money is debited and the shares are credited to your demat account.
7. **You receive a contract note** from your broker within the prescribed time, itemising everything.

The whole sequence takes seconds for the trade and a day for the settlement, and involves no trust in any counterparty. That is the achievement of the depositories and the clearing corporation.

Order types

Order type	What it does	When to use it
Market order	Executes immediately at the best available price	When execution matters more than price. Risky in illiquid or volatile stocks
Limit order	Executes only at your specified price or better	Almost always preferable. You control the price you pay
Stop-loss order	Triggers a sell if the price falls to a set level	Limiting downside on a position, mainly used by traders

For most investors, a limit order is the sensible default. A market order in a thinly traded stock can execute at a price materially worse than the one you saw on screen.

Settlement and the UPI block mandate

Under **T+1 settlement**, trades settle one working day after execution. Pay-in and pay-out of funds and securities are handled through the clearing corporation, which ensures both legs complete together.

For secondary market transactions, eligible investors may use a **UPI block mandate**. Instead of transferring money to the broker in advance, the required amount is *blocked* in your own bank account and debited only when the trade actually executes. Your money stays in your account, earning interest, until it is genuinely needed — and it is not sitting with an intermediary. This is a meaningful investor protection and worth asking your broker about.

Market indices

An **index** measures the performance of a defined group of securities, giving a single number that represents how a market or segment is doing.

What an index is for

A market barometer: "The Nifty fell 1.2% today" is a compact summary of thousands of individual movements.

A benchmark: Fund performance is judged against a relevant index. If a large-cap fund returned 11% and its benchmark returned 14%, the manager underperformed regardless of the positive number.

An investable product: Index funds and ETFs replicate an index, giving broad diversification at very low cost.

How indices are built

A committee selects constituents based on rules — typically market capitalisation, liquidity, listing history and sector representation.

Most modern indices use **free-float market capitalisation weighting**: each company's weight reflects the market value of only those shares actually available for public trading, excluding promoter and strategic holdings. The rationale is that an index should represent what investors can actually buy.

Constituents are reviewed periodically. Companies that no longer meet the criteria are removed and replaced.

The main Indian indices

Index	What it tracks
Nifty 50	50 large companies across sectors, on NSE
Sensex	30 large, well-established companies on BSE
Nifty Next 50	The 50 companies immediately after the Nifty 50
Nifty Midcap 150 / Smallcap 250	Mid and small capitalisation segments
Nifty Bank, Nifty IT, and other sectoral indices	Individual sectors
MCX iCOMDEX and similar	Commodity market benchmarks

> ***Watch Out — an index is not the whole market***
>
> *"The market is at an all-time high" almost always refers to a large-cap index. It is entirely possible for the Nifty to be at a record while mid-caps are 20% below their peak, or for the index to rise because three heavyweight companies did well while the majority fell.*
>
> *An index is a weighted average of a selected group. It is useful and it is not the same as "shares in general."*

Investing and trading are different activities

These words are used interchangeably in conversation. They describe fundamentally different activities, with different skills, time commitments, tax treatments and outcomes.

Parameter	Investing	Trading
Objective	Build wealth over years by participating in a business's growth	Profit from short-term price movements

Holding period	Years to decades	Minutes to weeks
Basis of decision	The company's business, financials, management, valuation	Price patterns, volumes, momentum, news flow
Frequency	Rare	Constant
Costs	Low, because activity is low	High, because every transaction incurs brokerage, statutory charges and taxes
Time required	A few hours a year	Continuous attention during market hours
Tax treatment	Capital gains, more favourable for long holdings	Short-term capital gains, or business income for frequent activity
Main risk	Choosing a poor business	Leverage, overtrading, and being wrong quickly and repeatedly

Intraday trading and leverage

Intraday trading means buying and selling the same security within a single trading session, squaring off before the market closes. It is usually done with **leverage** — the broker funds part of the position, so a small price move produces a large percentage gain or loss on your own capital.

Three facts a beginner should have before going anywhere near this:

Leverage magnifies losses exactly as it magnifies gains - With 5x leverage, a 2% adverse move wipes out 10% of your capital. A 20% adverse move wipes it out entirely.

Costs are proportionally enormous - A trader making twenty round trips a month pays brokerage, STT, stamp duty, exchange charges and GST forty times. That drag must be overcome before any profit begins.

The published evidence is discouraging - SEBI has published studies on individual traders in the equity derivatives segment, repeatedly finding that a large majority lose money, with substantial average losses.

None of this means trading is prohibited or illegitimate. It means it is a professional activity with poor odds for amateurs, and that money allocated to it should be money you can afford to lose entirely — not your goal-based investments.



Buying and selling shares: the practical steps

1. Open a trading and demat account with a SEBI-registered broker
2. Fund your trading account, or use the UPI block mandate
3. Research the company — its business, financials, management and valuation, using the annual report and exchange filings, not social media
4. Place the order, preferably a limit order
5. Receive the contract note and verify every detail against what you intended
6. Confirm the demat credit on T+1
7. Monitor periodically — not hourly

Key risks in equity investing

- Market risk — the whole market can fall, and yours falls with it
- Business risk — the specific company may deteriorate or fail
- Concentration risk — too few holdings, or too much in one sector
- Liquidity risk — thinly traded shares can be hard to exit at a fair price
- Behavioural risk — panic selling, overtrading, chasing tips. Statistically the largest of all, which is why this book devotes three chapters to it
- Fraud risk — manipulated stocks, fake tips, pump-and-dump schemes

Good practice

- Invest only surplus money. Never borrowed money, never the emergency fund.
- Diversify. A single stock should not be a large share of your portfolio, however confident you feel.
- Research before you buy, not after. If you cannot explain in two sentences what the company does and why you are buying it, do not buy it.
- Ignore tips. From friends, from television, from Telegram groups, from anyone.

- Use limit orders.
- Check your contract note every time.
- Do not average down mechanically. Buying more of a falling stock because it is "cheaper now" is only sensible if the business is sound and your original reasoning still holds. Often it is simply refusing to admit a mistake.
- Keep records. You will need them for tax.
- Review on a schedule, not on a price move. Checking a holding because the market fell is how a plan turns into a reaction. Set a fixed date — once a quarter is enough for a long-term holding — and look at whether your reason for owning it still holds, not at what the price did last week. Daily checking does not make you better informed; it makes you more likely to act.

Recap in One Minute

- A share makes you an owner, last in the queue for claims and first to absorb losses.
- Orders route through your broker to the exchange, are guaranteed by the clearing corporation, and settle on T+1.
- Use limit orders by default; consider the UPI block mandate so your money stays in your account.
- An index is a weighted average of selected companies, useful as a barometer and a benchmark — not the whole market.
- Investing and trading are different activities. Trading is high-cost, high-risk, and statistically unrewarding for individuals. Dabba trading is illegal.

Check Your Understanding

1. Explain what a clearing corporation does in a share transaction and why you never need to know who sold you the shares.
2. What is the difference between a market order and a limit order, and which is generally safer?
3. Give three reasons why frequent intraday trading is harder to profit from than long-term investing.

Your Action Step

Pick one listed company whose products you use. Find its latest annual report on its website or the exchange site. Read only the chairman's statement and the section on risks. Then write two sentences describing what the company does and how it makes money. If you cannot, you have learned something important about how much research a single stock requires.

Chapter 19

Bonds, Government Securities and Other Avenues

Where this fits: The chapters so far have covered ownership — funds and shares. This chapter covers the lending side of your portfolio, the part that provides stability.

By the end of this chapter you will be able to:

- Explain how a bond works and why its price moves opposite to interest rates
- Read a credit rating and say what it does and does not tell you
- Access government securities and other avenues directly as a retail investor

A one-line reminder

A bond is a loan: you are a lender, paid before owners, with your return capped at the agreed coupon. That was established earlier. What was left unexplained is the part that surprises people — why the market price of a bond you already hold moves at all. That is where this chapter starts.

Why bond prices move

This is the single most misunderstood mechanic in retail investing, and it is worth working through slowly.

> ***Worked Example — why a bond falls when rates rise***
>
> *You buy a bond for ₹1,000 paying a 6% coupon — ₹60 a year — maturing in ten years.*
>
> *A year later, interest rates in the economy have risen. New bonds of similar quality and maturity are being issued paying 8%, or ₹80 a year.*
>
> *Now consider someone choosing between your bond and a new one. Why would they pay ₹1,000 for ₹60 a year when they can pay ₹1,000 for ₹80 a year?*
>
> *They would not. To sell your bond, you must drop the price to a level where ₹60 a year represents a competitive yield.* ***Your bond's market price falls.***
>
> *If rates had fallen to 4% instead, your bond paying ₹60 would be more attractive than new ones paying ₹40, and its price would* ***rise****.*

Bond prices and interest rates move in opposite directions. Always.

Two consequences follow:

If you hold to maturity, price movements do not matter. You receive your coupons and your principal as agreed. The market price in year three is irrelevant if you are holding until year ten.

If you hold a debt mutual fund, they matter a great deal. A debt fund is valued daily at market prices, so its NAV falls when rates rise. This is why a debt fund can show a negative month with no default having occurred. It is normal. It is not a failure of the fund.

Duration measures a bond's sensitivity to rate changes. Longer maturity means greater sensitivity. A liquid fund holding 30-day paper barely moves; a long-duration gilt fund can move substantially.

Credit ratings



A **credit rating agency**, registered with SEBI, assesses the likelihood that an issuer will meet its obligations, and expresses it as a symbol.

Broad band	Meaning
AAA	Highest degree of safety regarding timely servicing
AA	High degree of safety
A	Adequate degree of safety
BBB	Moderate degree of safety — the lowest investment grade
BB and below	Speculative grade; increasing risk of default
D	In default

Three things a rating does **not** do:

It is not a guarantee. It is an opinion about relative credit risk. Highly-rated issuers have defaulted, in India and everywhere else.

It says nothing about price movement. A AAA bond still falls in price when interest rates rise. The rating addresses default risk, not market risk.

It is not permanent. Ratings are reviewed and can be downgraded, sometimes rapidly and sometimes in steps that surprise the market.

The yield tells you what the market really thinks. If a bond is offering a return far above government securities of similar maturity, the market is pricing in risk regardless of the printed rating. An unusually high yield is a warning, not an opportunity.

Government Securities

Government Securities (G-Secs) are debt instruments issued by the Government of India. Because the sovereign issues the currency in which they are denominated, they are treated as carrying effectively no credit risk in rupee terms.

- **Treasury Bills (T-Bills)** — short-term, up to one year, issued at a discount and redeemed at face value
- **Dated Government Securities** — longer-term, paying periodic coupons, with maturities out to several decades
- **State Development Loans (SDLs)** — issued by state governments

They still carry **interest rate risk**. A twenty-year G-Sec can fall meaningfully in price when rates rise. "No credit risk" is not "no risk."

RBI Retail Direct

RBI Retail Direct is an online platform allowing individual investors to open a Retail Direct Gilt account with the RBI and buy G-Secs, T-Bills and SDLs directly — in primary auctions and in the secondary market — without an intermediary.

For an investor wanting genuinely risk-free rupee income over a long period, particularly a retiree seeking a predictable stream, this is a facility worth knowing about. Interest on G-Secs is not subject to tax deducted at source; you declare it in your return.

Online Bond Platforms

Online Bond Platform Providers (OBPPs) are SEBI-regulated platforms through which retail investors can buy and sell listed debt securities — corporate bonds, G-Secs and other instruments — often in small denominations that were previously inaccessible to individuals.

Before using one, verify its SEBI registration. And apply the same scrutiny to the bonds themselves as to anything else: check the issuer, the rating, the yield relative to government securities of the same maturity, and the liquidity.

Other avenues - REITs and InvITs

Real Estate Investment Trusts (REITs) own and operate income-producing real estate — typically commercial office and retail property. **Infrastructure Investment Trusts (InvITs)** own operating infrastructure assets such as roads, transmission lines or pipelines.

Both are listed and traded on exchanges, and both are required to distribute the large majority of their distributable cash flows to unitholders at prescribed intervals.

What they solve: Real estate has historically been inaccessible to small investors: a commercial property costs crores, cannot be divided, takes months to sell, and requires management. A REIT gives you a fractional, liquid, professionally managed and regulated exposure to the same asset class for a few thousand rupees.

What to watch: The unit price fluctuates with the market. Distributions vary with occupancy, rentals and interest costs, and are not guaranteed. Tax treatment of distributions is specific and depends on their composition — verify the current position.

Gold

Gold has traditionally been held in Indian households as jewellery. As an *investment*, jewellery is inefficient: making charges, purity uncertainty, storage cost and risk, and a wide gap between buying and selling price.

Financial alternatives include **gold ETFs** and **gold mutual funds**, which track the price of gold, are held electronically, and can be bought and sold on an exchange or through a fund house.

Sovereign Gold Bonds (SGBs) were issued by the Government of India, tracking the gold price and additionally paying a fixed rate of interest. The government discontinued fresh issuances; existing bonds continue until maturity and previously issued tranches trade on exchanges, though often thinly. Check the current position before assuming new tranches are available.

Gold's role in a portfolio is diversification and crisis protection, not income — it produces no cash flow. A modest allocation is common; a large one is a bet on a single, non-productive asset.

Commodities

Gold is one commodity. It is worth knowing that it sits inside a whole asset class, and that this class trades on regulated exchanges in India under the same regulator as your shares.

A **commodity** is a basic physical good that is interchangeable with any other unit of the same grade — one tonne of a given quality of copper is the same as any other. That uniformity is what allows commodities to be traded on a standardised contract rather than negotiated item by item.

Retail investors almost never buy the physical commodity. What trades on the exchanges is commodity **derivatives**: futures and options whose value derives from the price of the underlying good. Until 2015 these were supervised by the Forward Markets Commission; that body was merged into SEBI in September 2015, so commodity derivatives now sit under the

same regulator, the same broker registration framework and the same investor grievance machinery as the rest of the securities market.

Who the market is actually for

The commodity derivatives market exists primarily for people with a genuine exposure to the price of a physical good, and understanding that is the key to knowing whether you belong in it:

- **Hedgers:** A farmer who will harvest in three months, a jeweller holding stock, an oil importer, a spinning mill buying cotton. They use futures to fix a price in advance and remove the uncertainty from their business. This is the economic purpose of the market.
- **Traders and speculators:** They take the other side of those hedges and provide the liquidity that makes hedging possible. They carry the price risk the hedger wanted to shed.
- **Price discovery for everyone else:** A published, continuous, national price for chana or copper is useful even to people who never trade — it tells a farmer what the crop is worth before the trader arrives at the gate.

The exchanges and what they offer

Commodity derivatives in India trade on SEBI-recognised exchanges. Since 2018 a single exchange has been permitted to run equity, derivative and commodity segments together, so the equity exchanges now list commodity contracts as well:

Exchange	Main focus	Products offered
MCX (Multi Commodity Exchange of India)	India's largest commodity derivatives exchange; nonagricultural commodities	Futures and options in bullion (gold, silver), base metals (copper, aluminium, zinc, lead, nickel), energy (crude oil, natural gas) and selected agricultural commodities; plus index futures on its BULLDEX, METLDEX and ENRGDEX indices
NCDEX (National Commodity & Derivatives Exchange)	Agricultural and soft commodities	Futures and options in cereals, pulses, oilseeds and their derivatives, spices, fibres such as cotton and guar; plus futures on its agricultural indices
NSE and BSE — commodity derivatives segments	Bullion, energy and metals alongside their equity business	Commodity futures and options listed within the same trading membership as equities

Contracts differ in whether they settle in cash or by physical delivery. A cash-settled contract ends in a money difference; a deliverable one can end with an obligation to give or take actual goods at an accredited warehouse. Read the contract specification before you trade anything — it states the lot size, the tick, the quality, the delivery centres and the settlement method, and those details are the contract.

How a retail investor can take commodity exposure

- **Without derivatives, which is what most people should do.** Gold and silver ETFs and the corresponding fund-of-fund schemes give you price exposure inside an ordinary mutual fund or demat account, with no margin, no expiry and no delivery obligation. Electronic Gold Receipts, traded on the stock exchanges, are another route to holding gold in dematerialised form.
- **Through commodity derivatives.** This requires a broker who is a member of the relevant commodity exchange, and activation of the commodity segment on your existing trading account. Your KYC carries across; the segment does not activate itself.

> ***Watch Out — commodity derivatives are not a beginner's product***
>
> *Commodity futures are leveraged. You post a margin that is a fraction of the contract value, which means a small adverse price move can wipe out the margin and require you to bring more money the same day. Contracts also expire, and a deliverable contract held to expiry can leave you with a settlement obligation you never intended.*
>
> *Commodities also produce no income. A share can pay a dividend and a bond pays a coupon; a tonne of zinc does nothing but sit there and change price. That makes the entire return dependent on selling to someone else at a higher price.*
>
> *For an investor building long-term wealth, the sensible place for commodity exposure is a modest allocation to gold through a fund, as described above — not a leveraged position in crude oil. The warning given earlier about equity derivatives applies here with equal force.*

Corporate fixed deposits

Company deposits typically pay more than bank deposits. They are **not** covered by the ₹5 lakh DICGC deposit insurance that protects bank deposits, and they carry the credit risk of the issuing company. The extra return is compensation for that risk — which is exactly what it is. Check the rating, the issuer's financial position, and how much of your portfolio a single issuer represents.

Building the debt part of your portfolio

Purpose	Suitable instruments
Emergency fund	Savings account, sweep FD, liquid fund
Money needed within a year	Liquid or ultra-short duration fund, short FD

One to three years	Short duration debt funds, FDs matched to the date
Stable long-term income	G-Secs via RBI Retail Direct, high-quality corporate bonds, PPF
Retirement income	SCSS, G-Secs, SWP from debt or hybrid funds, annuities

Watch Out — chasing yield is how conservative investors lose money

An investor who would never buy a volatile small-cap share will sometimes put a large sum into a deposit or bond paying 3% more than a bank, because it is called a "deposit" and feels safe.

Extra yield is never free. It is payment for credit risk, liquidity risk, or both. When a highly-rated issuer offers 7% and another offers 13%, the market is telling you something specific about the second, and the rating agency may be behind the market. If you would not accept a total loss of that amount, do not reach for the extra yield.

Recap in One Minute

- A bond makes you a lender: capped upside, priority over shareholders, and default as the main risk.
- Bond prices move opposite to interest rates. Hold to maturity and it does not matter; hold a debt fund and it shows up in the NAV.
- Credit ratings are opinions about default risk, not guarantees, and not comments on price movement.
- G-Secs carry no credit risk but full interest rate risk, and are accessible directly through RBI Retail Direct.
- Unusually high yield is a warning about risk, not a reward for cleverness.

Check Your Understanding

1. Interest rates rise by 1%. What happens to the price of a bond you already hold, and why?
2. You hold a bond to maturity. Does the price movement in year three affect what you eventually receive?
3. Two bonds have the same maturity. One yields 7.2%, the other 12.8%. What is the market telling you?

Your Action Step

Look up the current yield on a 10-year Government Security. Write it down. That number is your risk-free reference point: any investment offering more is offering it in exchange for some risk, and your job is always to identify which risk.

Chapter 20

Government – Backed Schemes

Where this fits: The last chapter covered market-based debt. This chapter covers the government-backed savings and pension schemes that form the safe core of many Indian households' portfolios.

By the end of this chapter you will be able to:

- Match the main small savings schemes to the goals they suit
- Explain what makes PPF distinctive for long-term goals
- Identify which schemes apply to your household situation

Why these schemes matter

Government-backed small savings schemes occupy a specific and useful place: sovereign backing, predictable returns, and in several cases favourable tax treatment. They are not glamorous and they will not make anyone wealthy on their own. As the stable foundation of a portfolio — the debt allocation in your plan, held in a form that is safe and largely unaffected by market movement — they are hard to beat.

Interest rates on most small savings schemes are notified by the government and reviewed periodically. **Every rate mentioned in this chapter should be verified against the current notification before you act.**

Public Provident Fund

The **PPF** is a long-term, government-backed savings scheme, and for many households the single most useful product in this chapter.

Feature	Detail
Tenure	15 years, extendable in blocks of 5 years
Who can open	Resident individuals; an account may also be opened on behalf of a minor
Deposit limits	A prescribed minimum and maximum per financial year
Interest	Notified by the government and reviewed periodically; compounded annually

Tax treatment	Historically Exempt-Exempt-Exempt (EEE) — contribution eligible for deduction, interest exempt, maturity exempt, subject to the applicable tax framework
Liquidity	Partial withdrawal permitted from a specified year; loan facility available in earlier years
Protection	The balance is generally protected from attachment under court decree, subject to law

Why it is distinctive: Very few instruments anywhere combine sovereign backing, tax-free compounding and a fifteen-year horizon. That combination makes PPF unusually well-suited to your very long-term goals — particularly retirement — as the debt component that never needs to be watched.

The catch: The lock-in is genuine. Money you may need in five years should not be here. And the returns, while attractive on a tax-adjusted basis, are unlikely to match equity over very long periods. PPF is the stable part of the portfolio, not the whole of it.

> ***Worked Example — PPF as a quiet accumulator***
>
> *Meenakshi deposits ₹1,50,000 into her PPF account at the start of each financial year for 15 years, at an assumed 7.1% a year.*
>
> ***Total deposited:*** *₹22,50,000* ***Approximate maturity value:*** *₹40,68,000*
>
> *The gain of roughly ₹18 lakh accrued without a single decision after the initial one, without market anxiety, and — under the historic EEE treatment — without tax on the interest or maturity.*
>
> *(Illustrative, at an assumed constant rate. Actual rates are notified periodically and vary.)*

National Savings Certificate

NSC is a fixed-tenure savings certificate available at post offices.

- Fixed maturity, commonly five years
- Interest accrues annually and is paid at maturity
- Investment historically eligible for deduction under the applicable framework
- Accrued interest is generally treated as reinvested during the term, with its own tax treatment
- Can be pledged as security for a loan

Suitable for a defined medium-term goal where certainty matters more than growth.

Senior Citizens Savings Scheme

SCSS is designed for retirees who need regular, safe income.

- Available to individuals above a prescribed age, with relaxations for certain early retirees and defence personnel
- Five-year tenure, extendable by a further prescribed period
- **Interest paid quarterly**, which is its main attraction — a predictable income stream rather than accumulation
- A maximum investment limit applies per individual
- Sovereign backing

For a retiree building an income floor, SCSS combined with a portion in G-Secs and a modest equity allocation for inflation protection is a sound and widely used structure.

Sukanya Samriddhi Yojana

SSY is a savings scheme for a girl child, introduced under the Beti Bachao Beti Padhao initiative.

Feature	Detail
Purpose	Building a corpus for a girl child's education and marriage
Who can open	A parent or legal guardian, in the name of a girl child below a prescribed age
Number of accounts	Generally one per girl child, with limits per family and specified relaxations for multiple births
Deposits	Prescribed minimum and maximum per financial year; deposits required for a specified initial period
Interest	Notified by government, reviewed periodically; typically among the higher small savings rates
Tenure	Matures after a prescribed period from opening
Partial withdrawal	Permitted for higher education after the girl reaches a specified age, subject to limits
Premature closure	Permitted only in specified circumstances

Why it works well: It combines a high notified rate, sovereign backing, favourable tax treatment under the applicable framework, and a long horizon that matches the goal precisely. For a household with a young daughter, it is one of the most straightforward long-term decisions available.

One caution: Because the tenure is long and withdrawal restricted, SSY should be part of the plan for that goal, not the entirety of it — particularly if education costs may arise earlier than the scheme permits access.

National Pension System

The **NPS**, regulated by PFRDA, is a market-linked retirement savings system.

- Contributions are invested across equity, corporate debt and government securities, in a mix you choose or in an auto-choice that shifts towards debt as you age
- Two account types: **Tier I**, the retirement account with withdrawal restrictions; **Tier II**, a voluntary account with more flexibility
- Very low fund management charges compared with most managed products
- At retirement, a portion may be withdrawn as a lump sum and the balance used to purchase an annuity, subject to the prescribed rules
- Specific tax provisions apply to contributions and withdrawals; verify against the current framework

NPS sits between the schemes in this chapter and the market products: it is government regulated and low-cost, but its returns are market-linked and not assured.

Insurance and pension welfare schemes

These provide basic protection at very low cost and are worth knowing about, particularly for households that have no other cover.

Pradhan Mantri Jeevan Jyoti Bima Yojana (PMJJBY) — a term life cover offering a lump sum to the nominee on death, available to eligible bank account holders within a specified age range, at a low annual premium auto-debited from the account.

Pradhan Mantri Suraksha Bima Yojana (PMSBY) — an accident insurance cover for death or specified disability, at a very low annual premium.

Atal Pension Yojana (APY) — a guaranteed minimum pension from age 60, with contribution amounts depending on the pension level chosen and the age at joining, aimed primarily at workers in the unorganised sector.

Premiums, cover amounts and eligibility conditions for all three are revised from time to time. Check the current position at your bank or the official scheme website.

> ***Watch Out — a scheme being government-backed does not make it right for you***
> *Sovereign backing removes credit risk. It does not remove two other problems:*
>
> ***Lock-in.*** *PPF for fifteen years and SSY until the child reaches a specified age are genuine commitments. Money that might be needed sooner does not belong there, regardless of how attractive the rate is.*
>
> ***Inflation.*** *A scheme paying 7.1% against 6% inflation delivers a real return of about 1.1%. Over thirty years, that is meaningful accumulation — but it is not the same as growth, and a retirement portfolio consisting only of small savings schemes will very likely fall short. The allocation logic still applies.*



Recap in One Minute

- Small savings schemes offer sovereign backing and predictable returns; rates are notified periodically and must be verified before acting.
- PPF combines a 15-year horizon, tax-favoured compounding and government backing — well matched to very long-term goals.
- SCSS pays quarterly and suits retirees needing an income floor; SSY suits a long-horizon goal for a girl child.
- NPS is government-regulated and very low-cost, but market-linked, not assured.
- Government backing removes credit risk. It does not remove lock-in or inflation risk.

Check Your Understanding

1. Why is PPF well suited to retirement but poorly suited to a goal four years away?
2. What is the main practical difference between SCSS and NSC for a retired person?
3. A household holds its entire long-term savings in PPF and NSC. Which risk are they most exposed to?

Your Action Step

Check which of the schemes in this chapter you or your household are already eligible for and not using. If you have a PPF account, check whether you have deposited this financial year — many people open one and forget it. If your household has no life or accident cover, look up PMJJBY and PMSBY at your bank today.

Part 6 — Staying Invested

> *Choosing an investment takes an afternoon. Holding it for fifteen years takes everything else. Part 5 is about the long middle of the journey — reading your records, managing your own reactions, handling tax, and making sure your family can actually access what you have built. This is the part that decides outcomes, and it is the part almost every book treats as an afterthought.*

Chapter 21

Reading Your Statements and Tracking Your Portfolio

Where this fits: You have invested. This chapter makes sure you know what you actually own and that it is correct.

By the end of this chapter you will be able to:

- Read a contract note and a Consolidated Account Statement and know what to check
- Explain the settlement process and where your money and securities are at each stage
- Set up a review routine that informs you without provoking you

Investing does not end at the purchase

Every transaction you make generates a record. Those records are your proof of ownership, your basis for tax computation, and your early warning system if something is wrong.

Most investors never read them. The ones who do catch errors early, when they are easy to fix.

Your documents

Contract note - Issued by your stockbroker after every trade executed on the exchange, within the prescribed time. It is a legally significant document.

It shows:

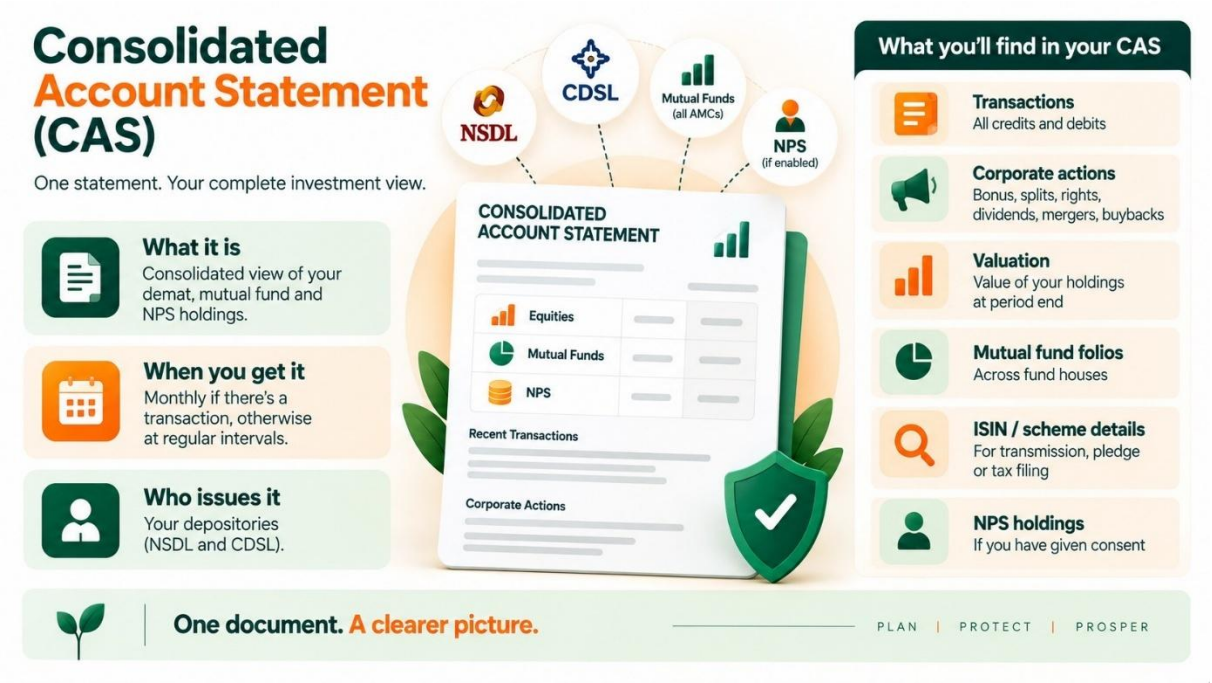
- The security bought or sold
- Quantity and price
- Trade date, time and order number
- Brokerage
- Securities Transaction Tax (STT)
- Stamp duty
- Exchange transaction charges, SEBI turnover fees and GST
- The net amount payable or receivable

What to check, every single time:

1. **Did I place this trade?** An unfamiliar trade is a serious matter — report it to your broker and the exchange immediately.
2. **Do the quantity and price match what I intended?**

3. **Is the brokerage what was agreed?** Compare against your tariff sheet.
4. **What did this actually cost in total?** The gap between the price you saw and the net amount is your real cost of transacting, and seeing it in rupees is instructive.

You are entitled to a contract note for every trade. If you are not receiving them, that itself is a grievance.



Consolidated Account Statement (CAS)

Issued by the depositories, the CAS gives a consolidated view of the securities held in your demat account, and — where linked by PAN — your mutual fund holdings across fund houses.

It is the single most useful document for checking that your records match reality.

It is issued monthly where there has been a transaction, and at longer prescribed intervals where the account has been dormant, so a CAS arrives whether or not you ask for one. What makes it valuable is its scope: it is the only document that pulls holdings from both depositories and from every fund house you have invested with into one place.

Beyond a list of holdings, a CAS typically carries:

- **Transactions for the period,** so you can trace every credit and debit against your own records.
- **Corporate actions affecting your holdings** — bonus issues, stock splits, rights entitlements, dividends, mergers and buybacks. This is often how an investor first learns that a holding has changed in number or in name.
- **Valuation of your holdings** at the period-end price, which gives you a portfolio total without any calculation.

- **Mutual fund folios across AMCs,** linked by PAN, including schemes you may have forgotten.
- **ISIN and scheme identifiers,** which are what you will need for a transmission, a pledge or a tax computation.
- **NPS holdings, where you have consented.** Your NPS Statement of Transaction can be folded into the CAS on a consent basis, given on your Central Recordkeeping Agency's website. Once enabled, the pension corpus appears alongside your demat and mutual fund holdings — which is as close as most people get to a single view of everything they own.



Report any discrepancy immediately, in writing, to your DP or broker — and escalate through the grievance channels if it is not resolved.

Getting your CAS through DigiLocker

Registered users of DigiLocker can securely access their latest Consolidated Account Statement and Transaction-cum-Holding Statement for their demat accounts through the DigiLocker portal. Documents fetched this way carry the same standing as the originals, and having them in one place is useful when a bank, a lender or a tax adviser asks for proof of holdings.

DigiLocker also offers a nomination facility, and this is the part worth acting on. In the event of the account holder's demise, the nominated person may be notified and — subject to completing the prescribed authentication and verification — can access the DigiLocker account and view the documents the holder stored or fetched.

That solves a specific and very common problem: the family knows an investment exists but cannot find the paperwork. A CAS sitting in a nominated DigiLocker account is a list of everything held, reachable by the person who will need it. It complements the nomination you register with your DP; it does not replace it.

Statement of funds and securities

Provided by your broker, showing the balance of funds and securities in your trading account. Check that money you have not deployed is where you expect it, and that securities you have sold have left and been paid for.

Mutual fund statement of account

If you hold mutual fund units without a demat account, the AMC or RTA issues a **Statement of Account (SOA)** showing units held, transactions, NAV and value. **MF Central** provides a consolidated view across fund houses.

Annual reports and scheme documents

Listed companies publish annual reports; mutual funds publish periodic factsheets and annual reports. Reading the factsheet of a fund you own once or twice a year is a reasonable habit — it tells you what the portfolio actually holds now, which may have drifted from what you bought.

The settlement process, and where your money is

Understanding this removes a great deal of unnecessary anxiety about the day or two when money has left and shares have not arrived.

T+1 settlement: Means that trades executed on day T settle on the next working day.

Pay-in: On the settlement day, sellers deliver securities and buyers deliver funds to the clearing corporation.

Pay-out: The clearing corporation delivers securities to buyers and funds to sellers.

Because the clearing corporation guarantees both legs, neither side depends on the other's good faith. This is the structural safeguard of the clearing corporation, working.

The UPI block mandate improves this further for eligible investors: your money stays blocked in your own bank account rather than being transferred to the broker in advance, and is debited only when the trade actually executes. Ask your broker whether it is available to you.

Monitoring without damaging yourself

Here is a genuine paradox. Checking your portfolio more often makes you feel more in control and makes your returns worse.

The reason is behavioural, but the arithmetic of it is worth stating here. Over any single day, an equity portfolio is close to a coin toss — roughly as likely to be down as up. Over a year, it is up considerably more often than down. Over a decade, historically, positive outcomes have dominated.

So the more frequently you look, the more losses you see. Not because you are losing more, but because you are sampling at a frequency where noise dominates signal. And because losses hurt roughly twice as much as equivalent gains, frequent checking produces a steady drip of discomfort that eventually provokes an action — usually the wrong one, usually at the worst time.

A sensible routine

Frequency	What to do
On every transaction	Check the contract note or confirmation against what you intended
Monthly	Confirm the SIP debits went through. Nothing else
Every six months	Review holdings against goals. Check allocation drift. Read your CAS
Annually	Full review — rebalance if needed, update goal costs, increase SIPs with income, check nominations
On major life events	Marriage, child, job change, inheritance, serious illness — reassess risk capacity

What a review is, and is not

A review asks: Am I still on track for this goal? Has my allocation drifted from target? Has anything fundamental changed about what I own? Do I need to increase my contribution?

A review does not ask: What has done well recently? What is everyone else buying? Should I switch to the fund at the top of this year's table?

The first set of questions leads to considered adjustments. The second leads to performance chasing, which is a reliable way to buy high and sell low.

> ***Watch Out — the annual report you should actually read***
>
> *Once a year, calculate one number:* ***what percentage of your annual income did you invest?***
>
> *Not your return. Your savings rate. In the early years it matters far more than performance — the difference between investing 10% and 20% of income dwarfs the difference between an 11% and a 13% return, and unlike the return, it is entirely within your control.*

Record keeping

Keep, in one place, physically or digitally:

- Contract notes and transaction statements

- Consolidated Account Statements
- Mutual fund statements of account and folio numbers
- Purchase details for every holding — date, quantity, price. **You will need these for capital gains computation**, and reconstructing them years later is painful
- Insurance policy documents and nominee details
- Account numbers, DP IDs, client IDs, folio numbers
- Login details stored securely — not in a plain text file, and not written on the first page of a diary
- **Tell one trusted family member where this file is.** What happens when nobody knows is covered later.

Recap in One Minute

- Check every contract note against what you actually intended, and check the CAS for holdings you do not recognise.
- T+1 settlement completes one working day after the trade; the clearing corporation guarantees both legs.
- The UPI block mandate keeps your money in your own account until the trade executes.
- Check monthly that SIPs went through; review properly twice a year; rebalance annually.
- Keep purchase records for every holding. You will need them for tax, and reconstruction is painful.

Check Your Understanding

1. Name three things you should verify on a contract note.
2. Why does checking your portfolio daily tend to worsen returns even though nothing about the portfolio changes?
3. Your CAS shows a holding you do not recognise. What do you do?

Your Action Step

Create one folder — physical or digital — labelled with your name and "Investments." Put into it every statement you can find. List every account, folio and policy on a single sheet at the front. Then tell one family member where it is. This single hour is worth more to your family than any scheme selection you will ever make.

Chapter 22

Investor Behaviour: Biases, the Crowd and Staying the Course

Where this fits: You know what to buy and how to monitor it. This chapter addresses the largest single risk to your returns — you.

By the end of this chapter you will be able to:

- Recognise the main biases that push investors in predictable wrong directions
- Distinguish a considered decision from following a crowd
- Restart after a break without repeating whatever caused it

The uncomfortable finding

Most people believe successful investing is about choosing the right stock or fund. Research and long experience suggest something less flattering: **investor behaviour usually matters more than investment selection.**

Studies of investor returns versus fund returns have repeatedly found a gap — investors in a fund often earn less than the fund itself reports. The fund did not change. The investors bought after good periods and sold after bad ones, so their money was present for the falls and absent for the recoveries.

Nobody does this on purpose. It happens because our minds use shortcuts that served us well for most of human history and serve us poorly in financial markets. A **cognitive bias** is one of those shortcuts, misfiring. Everyone has them, professionals included. The goal is not to eliminate them — that is not possible — but to recognise them and build systems that limit the damage.

The two that do the most damage

Loss aversion



The pain of losing an amount is felt roughly twice as strongly as the pleasure of gaining the same amount. It causes panic selling in declines, selling winners early to "book the profit" while holding losers hoping they recover, and

refusing to exit a poor investment because that would make the loss real.

> ***Example — Riya***
>
> *Riya invested ₹20,000 for a goal ten years away. A correction reduced its value to ₹18,000. Although she did not need the money for a decade, she checked daily, then redeemed to stop the discomfort. Months later the market had passed her entry point.*
>
> *Her analysis had not changed. Her plan had not changed. Only her feelings had — and she acted on those instead, converting a temporary paper decline into a permanent realised loss.*

Overconfidence

Systematically overestimating our own knowledge and ability to predict. It causes overtrading, heavy concentration in a few positions, and mistaking a rising market for personal skill.

> ***Example — Aman***
>
> *Aman made a substantial profit on one stock and concluded he had seen something others had missed. Without research he put most of his savings into a second company on the strength of that confidence, and lost a significant amount.*
>
> *His first success had been a rising market lifting most stocks. He had mistaken a tide for a talent.*

Overconfidence is particularly dangerous because it grows during good periods — precisely when risk is accumulating.

The rest, briefly

Bias	What it is	What it looks like in practice
Confirmation	Seeking information that agrees with you	Reading the positive analysis on a stock you own and dismissing the negative as pessimism
Anchoring	Fixating on the first number you saw	"I'll sell when it gets back to what I paid." The market does not know what you paid
Recency	Assuming the recent past continues	Buying last year's top-performing fund; staying in cash for years after a crash
Endowment	Valuing something more because you own it	Holding an inherited stock you would never buy today. Ask: *if I did not own this, would I buy it at this price?*
Regret aversion	Avoiding decisions for fear of regret	Not investing in case the market falls tomorrow. Inaction is a decision, and inflation prices it

Framing	Reacting to presentation, not substance	"₹1 lakh became ₹3 lakh" in 10 years sounds better than "11.6% a year," though they may be identical
Status quo	Preferring things as they are	Leaving ₹8 lakh in a savings account for six years because moving it requires a decision

Status quo bias is the quietest of these and possibly the most expensive, because it produces no event you can point to.

The crowd

Herd behaviour deserves separate treatment because it arrives through your phone rather than from inside your head, and because markets make it uniquely dangerous.

When a situation is uncertain and others seem confident, following them is usually sensible. In a market it is not, for one specific reason: **the crowd's action changes the price.** If everyone rushes to one exit in a building, the exit does not narrow. If everyone rushes to buy one stock, its price rises — which makes it more attractive to the next person, which pushes it higher still. The signal and the crowd become indistinguishable, and prices detach from anything the business is doing.

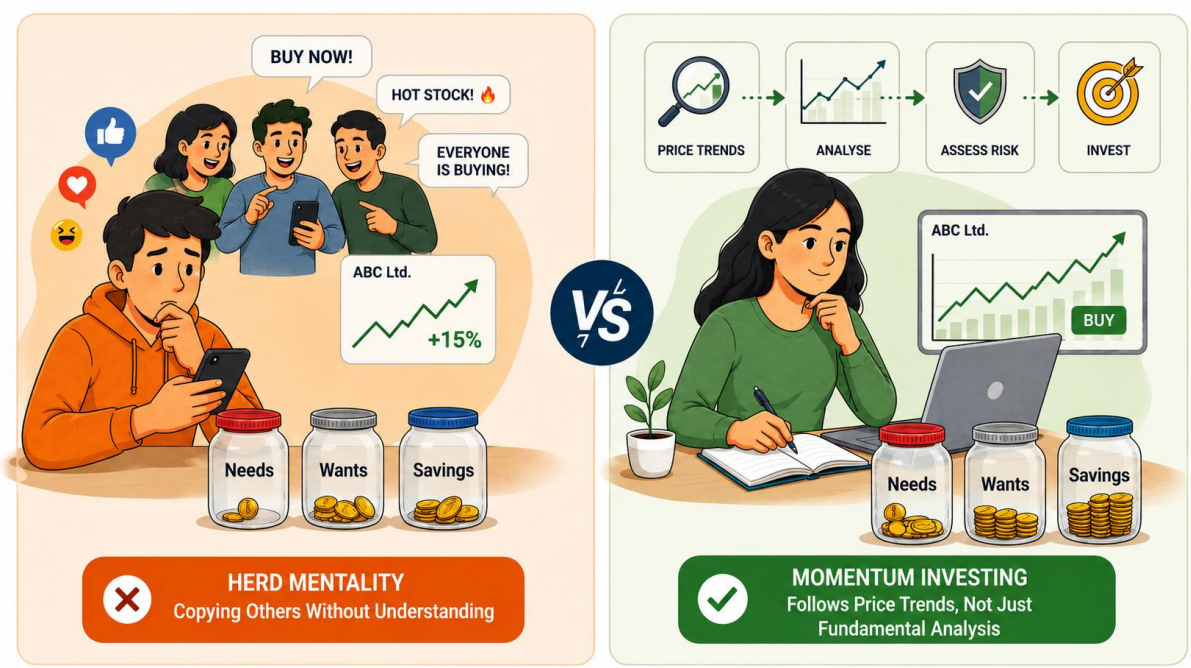
Herding is not new; its speed is. Social media carries a claim to millions in hours with no verification. Messaging groups manufacture urgency and consensus among strangers. Friends mention their gains and not their losses. Headlines are written to be clicked, which means written to provoke. Notice how many of these are designed to produce a reaction rather than a decision.

At the top, prices rise, stories of easy gains circulate, and new participants enter — often borrowing, often without research, often into whatever has risen most. Confidence peaks precisely when risk is highest.

At the bottom, headlines turn frightening, selling accelerates, and the falling price validates the fear. Fear peaks precisely when future expected returns are best.

> ***Watch Out — the pattern that destroys wealth***
>
> *Buying enthusiastically near the top and selling in despair near the bottom is the most reliable wealth-destroying pattern in retail investing, and it is entirely a product of following the crowd.*
>
> *The remedy is not courage in the moment; courage is unreliable when you are frightened. The remedy is a plan written in advance and mechanisms that execute it without needing your consent.*

Momentum investing is not herd behaviour



These are frequently confused. The difference is method, not direction.

	Momentum investing	Herd mentality
Basis	A defined strategy analysing trends and other factors	Copying what others are doing
Rules	Entry and exit criteria decided in advance	None
Risk management	Position sizing and exit discipline built in	None
Exit plan	Defined before entry	Absent — typically exits in panic

Two people buy the same rising share. Neha has examined the results, decided in advance where she would exit, and sized the position to her plan. Ravi bought because three people in a group chat were buying. When the price falls 15% next month, Neha's plan tells her what to do, and Ravi has no idea. Neha is not guaranteed a profit — she may lose. The difference is that she made a decision and can evaluate it, while Ravi outsourced his judgement to strangers with unknown motives.

Five questions before you act

When you feel the pull to buy because something is rising, or sell because everything is falling, answer these in writing:

1. **Why this specific thing?** If the answer contains "because it's going up," you have your answer.
2. **Do I understand how it works?** Can you explain it in two sentences?
3. **Which goal does it serve, and does it fit my allocation?**
4. **Am I relying on facts or on other people?** Where did the information come from, and have you verified it at the source?
5. **What would make me wrong, and what would I do then?**

If you cannot answer all five, you are not investing. You are joining.

Starting, stopping, and starting again

Biases and crowds explain why investors go wrong. This last section is about the practical business of beginning — and of resuming, which is far more common than anyone admits.

If you have never started

What people say	What usually helps
"I don't earn enough"	Start with an amount so small you are guaranteed not to notice it. The purpose of year one is not accumulation; it is proving that the money leaves and nothing bad happens
"It's too complicated"	It genuinely was, once. Complete the KYC this week. That is the barrier; everything after it is easier than you expect
"I'll start when things settle down"	Things do not settle down. Notice that this reasoning has no end point, and that you have already seen what a ten-year delay costs
"I'm afraid of losing money"	The most rational of the four. Put the emergency fund and insurance in place first, start in a lower-risk category, and accept that not investing is not the safe option — idle money loses value with certainty
"I don't know who to trust"	Trust the system, not individuals. Deal only with SEBI-registered intermediaries, verified on SEBI's own website. A low-cost index fund requires faith in nobody's judgement

If you keep intending and not acting

You have the knowledge. What is missing is a mechanism, and the gap between intention and action closes by removing decisions rather than by increasing resolve. Set a date, not an intention. Start smaller than feels serious — a trivial amount that runs for five years beats a

serious amount that runs for two. Automate within two days of your salary credit. Tell someone. And do one thing this week rather than the whole plan.

If you stopped

This is common and rarely discussed. People stop for reasons that are usually sound at the time.

Reason	What usually helps
Income fell or expenses rose	Reduce rather than cancel. ₹500 continuing beats ₹5,000 stopped. Most platforms allow a pause — use it
A loss, and it hurt	Check whether the investment was wrong or the horizon was. Often a good investment was held with a short-term mindset
Life event took over	Entirely legitimate. Set a specific restart date rather than an open-ended intention
Lost track of the paperwork	MF Central and MITRA can trace forgotten folios. Recover first, then restart
Lost confidence in the choice	Review against the goal, not against last year's performance
It simply drifted	The most common and the easiest to fix. Reinstate the mandate

Three rules for restarting.

Do not wait for a better entry point — waiting for the market to fall before restarting is market timing.

Diagnose before repeating: if the amount was too high, restart lower; if you stopped after a fall, restart in a lower-risk category. Restarting identically produces an identical outcome.

Recover what you already have before starting anything new; you may own more than you remember.

What actually works

Awareness is weak. Knowing about loss aversion does not stop you feeling it at 3pm on a day the market has fallen 6%. Systems, rules and friction are what work.

- **Write a one-page plan before you invest:** the goal, the horizon, the target allocation, and the conditions under which you would sell. In a crisis, read your own document. The person who wrote it was calmer than any commentator will be.

- **Automate:** A monthly instruction invests whether or not you feel like it. Automation removes the decision at exactly the moments when your judgement is least reliable.
- **Impose a waiting period:** No investment decision within 48 hours of reading news or receiving a tip. Almost every damaging decision is made quickly; almost none becomes worse for a two-day delay.
- **Check less often:** Remove the app from your home screen, turn off price alerts, review on a fixed schedule. You are not less informed; you are less provoked.
- **Verify at the source:** Company filings, exchange disclosures, scheme documents, regulator websites — not screenshots. Never act on a tip from a friend, an influencer or a message group.
- **Diversify:** A portfolio where no single holding can devastate you is a portfolio you can hold through a bad year without panicking.
- **Audit your sources:** Every channel, group and account that sends you investment information: is the person SEBI-registered, do they disclose their own position, and do they profit if you act?

> ***Watch Out — the bias you cannot see***
>
> *Every reader of this chapter will recognise these biases in other people and doubt they apply to themselves. That reaction is itself among the most robust findings in the field — the belief that we are less biased than average.*
>
> *The practical response is not more confidence in your own objectivity. It is systems: written plans, automation, waiting periods, and rules made in advance. Design for the person you will be during a crash, not the person reading calmly today.*

Recap in One Minute

- Behaviour usually affects outcomes more than selection does. Investors often earn less than the funds they hold.
- Loss aversion drives selling at the bottom; overconfidence grows in good periods, exactly when risk is accumulating.
- In a market the crowd moves the price, so following it is circular. Confidence peaks at tops and fear at bottoms — precisely inverted.
- Momentum follows a method with exit rules; herding follows people. If you cannot answer the five questions, you are joining, not investing.
- If you stopped, reduce rather than cancel, restart on a date rather than a level, and diagnose the cause before repeating it.

Check Your Understanding

1. Which bias is at work when someone says “I’ll sell as soon as it gets back to what I paid,” and why is the reasoning faulty?
2. Why is following the crowd more dangerous in a market than in most other situations?
3. Someone stopped investing two years ago after a sharp fall and now wants to restart, but is waiting for the market to correct first. What is wrong with that plan, and what should they do instead?

Your Action Step

Write your investment policy statement on one page: your goals, horizons, target allocation, monthly amounts, and the specific circumstances in which you would sell. Sign and date it. Keep it with your investment folder and read it before any decision you are tempted to make quickly.

Chapter 23

Planning for Life Goals

Where this fits: You now know what every instrument is and how your own mind works against you. This chapter puts the two together and maps them onto the things people actually want money for.

By the end of this chapter you will be able to:

- Place each of your life goals on a horizon and match it to a suitable instrument
- Explain why the same goal is funded differently at 25, at 40 and at 55
- Sequence competing goals when you cannot fund all of them at once

One principle, applied seven times

Everything in this chapter follows from a single rule you already know: **the horizon decides the instrument.**

Horizon	What it can hold	Why
Under 3 years	Deposits, liquid and short-duration debt funds, recurring deposits	The money must be there on the date. Growth is not the job
3 to 7 years	Hybrid funds, short and medium duration debt, a modest equity share	Some growth, but not enough time to recover from a bad equity run
Over 7 years	Equity funds, index funds, NPS, PPF, direct equity in a mix suited to you	Long enough for equity to do its work and recover from falls

Every goal below is an application of that table, plus one instruction that applies to all of them: **as the date approaches, move the money down the table.** A goal three years away should not still be sitting in equity because it did well.

Buying your first vehicle

Typical horizon: 1 to 3 years.

Typical amount: ₹1 lakh to ₹15 lakh.

This is a short-horizon consumption goal and should never be funded from equity. A recurring deposit or a short-duration debt fund matched to the purchase date is right. If you are buying in eighteen months, the money should not be anywhere it can fall.

The financial decision that matters here is not the instrument; it is the size. A vehicle is a depreciating asset bought with an appreciating amount of money. Financing it over seven

years to afford a more expensive one is the single most common way young earners delay every other goal on this list.

A foreign holiday

Typical horizon: 1 to 3 years.

Typical amount: ₹1.5 lakh to ₹6 lakh.

Same treatment as a vehicle, with one addition: you are buying in a foreign currency, so a weakening rupee raises your cost between the day you plan and the day you travel. Build a margin of 10–15% into the target, and start converting or booking as the date nears rather than at the last moment.

A recurring deposit dated to mature a month before you travel does this job well and removes the temptation to dip into it.

Buying a home or land

Typical horizon: 5 to 10 years for the down payment.

Typical amount: 20% or more of the property value, plus registration, stamp duty and furnishing.

Two separate financial events, and people plan only the first.

1. **The down payment** is a medium-horizon goal. A hybrid fund or a mix of short-duration debt and a modest equity allocation suits a seven-year runway; move it entirely into debt in the final two years, because a market fall three months before you sign is not a risk you can absorb.
2. **The loan** is a twenty-year commitment that shapes every other goal in this chapter. Two things decide what it costs you: your credit score, which sets the rate, and the tenure, which sets the total. A longer tenure lowers the EMI and raises the total interest substantially. Prepaying early in the tenure, when the interest component is largest, saves far more than prepaying later.

Do not run down the emergency fund for the down payment. The months after a property purchase are exactly when an emergency is least affordable.

Marriage

Typical horizon: 2 to 10 years, depending on whether it is your own or a child's.

Typical amount: highly variable, and usually underestimated.

For a wedding two to three years away, treat it as a short-horizon goal: debt funds and deposits, nothing that can fall.

For a child's marriage fifteen or more years away, it is a long-horizon goal and should be funded like one — equity funds or an index fund for most of the period, tapering to debt in the last three years. For a daughter, the **Sukanya Samriddhi Yojana** deserves consideration as part of the debt portion, since it is designed for exactly this and carries sovereign backing.

Gold occupies an unusual position here, because for many families the wedding cost is partly a gold cost. Accumulating gold gradually through the period — rather than buying it all in the months before — removes the risk of a single unfavourable price. Financial forms of gold are cheaper to hold than jewellery, which carries making charges you do not recover.

Higher education for a child

Typical horizon: 10 to 18 years.

Typical amount: the largest number in most household plans.

This is the goal where inflation does the most damage, because education costs have generally risen faster than general inflation. A fee of ₹15 lakh today may be ₹40 lakh or more in fifteen years. Plan in future rupees or you will plan for a fraction of the bill.

With fifteen years, this is unambiguously an equity goal for most of its life — diversified equity or index funds, invested monthly and stepped up as your income rises. Begin the shift to debt about three years before the first fee is due, and be fully out of equity by the time it is.

Two things to add. First, a term life policy on the earning parent, large enough to fund the education if that income disappears — the plan must survive the planner. Second, an education loan is a legitimate part of the answer, not a failure of planning; it is one of the few debts taken against a genuinely appreciating asset, and the student can service it.

Starting a business

Typical horizon: 3 to 7 years to accumulate.

Typical requirement: seed capital plus, critically, personal running costs.

The number people get wrong is not the capital. It is the **runway** — the months of household expenses you must cover while the business earns nothing. Twelve to eighteen months of personal expenses, held separately and untouched, is the realistic figure, and it is separate from your emergency fund rather than a substitute for it.

Because the capital may be needed at short notice and cannot fall in value when it is, the accumulation should be conservative: liquid funds, short-duration debt and deposits, not equity. This is one of the few long-ish goals where equity is the wrong answer, because the date is uncertain and the downside is your livelihood.

Also plan what happens if it works. Business owners are systematically underinsured and systematically under-pensioned, because there is no employer doing either for them. Health cover and a retirement instrument you fund yourself become entirely your responsibility.

Retirement

Typical horizon: 20 to 40 years.

Typical amount: larger than any other goal, and the only one you cannot borrow for.

You can take a loan for a house, a car, an education or a wedding. There is no retirement loan. That single fact should decide where it sits in your priorities, and it is the reason retirement is usually funded last and should be funded first.

How much: A workable starting estimate is 25 to 30 times your expected annual expenses at retirement, in future rupees. That multiple assumes a withdrawal of roughly 3–4% a year from the corpus. Both the multiple and the withdrawal rate are rules of thumb, not regulation.

What to use, and when:

Stage	Approach
20s and 30s	Heavily equity-weighted. Time is the asset you have most of. Employee Provident Fund and NPS run in the background; a monthly equity investment does the work
40s	Continue, but review the allocation and step up contributions with every raise. This is the decade in which most people discover they are behind
50s	Begin the taper. Reduce equity gradually rather than in one move. NPS auto-choice does this mechanically if you prefer not to decide
At retirement	Split the corpus: two to three years of expenses in liquid instruments, the medium term in debt, and a continuing equity allocation, because a retirement can last thirty years and inflation does not stop

The instruments to know here are

EPF (if you are salaried),

PPF (long lock-in, tax-favoured, sovereign),

NPS (low cost, equity exposure, designed for exactly this) and equity mutual funds.

SCSS becomes available after retirement and suits the income-generating portion. A systematic withdrawal from a fund is usually a better way to draw a monthly income than relying on dividends, which are not promised.

When you cannot fund everything

Almost nobody can fund all of these at once. Sequence them:

1. **Protection first** — emergency fund, health cover, term life if anyone depends on you. Every goal below assumes these exist.
2. **Clear high-cost debt** — No goal-based investment beats eliminating a 36% cost.
3. **Fund the goals you cannot borrow for** — retirement above all. Start small if you must, but start.

4. **Fund the goals with hard dates** — a child's education, a wedding with a fixed year.
5. **Fund the goals you can postpone or borrow for** — the vehicle, the holiday, the larger house.

> ***Watch Out — the goal that gets sacrificed***
>
> *Retirement is the goal with no deadline, no lender and no external pressure, so it is the one people postpone. Education fees arrive on a date. A wedding has a date. Retirement quietly does not, until it does.*
>
> *The practical consequence is that a household can fund every visible goal successfully and arrive at sixty with nothing. Fund retirement first, in whatever amount you can, and let the visible goals compete for what remains.*

Recap in One Minute

- The horizon decides the instrument. Every goal in this chapter is that one rule applied to a different date.
- Short goals — a vehicle, a holiday, a wedding two years away — belong in deposits and debt, never in equity.
- Long goals — a child's education, retirement, a distant marriage — belong in equity for most of their life, tapering to debt in the final years.
- Plan every long goal in future rupees. Education inflation in particular will make today's fee a serious underestimate.
- Retirement is the only goal you cannot borrow for, which is why it should be funded first and almost never is.

Check Your Understanding

1. Nikhil is buying a car in eighteen months and has put the money in an equity fund because it has done well. What is wrong, and what should he do?
2. Two goals are fifteen years away: a child's college fees and a child's wedding. Should they be funded the same way? Explain your reasoning.
3. Why does this chapter argue that retirement should be funded before a child's education, when the education bill arrives first?

Your Action Step

List every goal in this chapter that applies to you. Next to each, write the year it falls due, the amount in today's rupees, and the horizon band it belongs to. Then check what each is currently invested in. Every mismatch you find — a short goal sitting in equity, or a twenty-year goal sitting in a deposit — is a correction worth making this month.

Chapter 24

Tax: What You Owe and When

Where this fits: You are investing and staying invested. This chapter covers what the tax department expects.

By the end of this chapter you will be able to:

- Explain how capital gains are taxed differently by asset and holding period
- Identify the statutory charges on your transactions
- Keep records that make filing straightforward

> ***An important note before you begin.*** *The Income-tax Act, 2025 came into force on 1 April 2026 and replaced the Income-tax Act, 1961, which had governed Indian direct taxation for sixty-five years. It applies from Tax Year 2026-27 onwards. Income earned up to 31 March 2026 remains governed by the 1961 Act, so a return filed in 2026 for the financial year 2025-26 still uses the old law and the old section numbers. Every section and form reference in this chapter should be read against the 2025 Act, and the next section sets out the translations you will need. Rates and thresholds reflect the position at the time of writing.*
>
> ***Verify every figure against the Income Tax Department's current guidance at incometax.gov.in before acting, and consult a qualified tax professional for your own situation.*** *This chapter teaches you the structure; the structure is stable even when the numbers are not.*

The Income-tax Act, 2025: what changed and what did not

The change that took effect on 1 April 2026 is a re-codification, not a new tax. It is worth being clear about which half is which, because the headlines caused a good deal of unnecessary alarm.

What did not change: Rates and slabs. The capital gains treatment set out in this chapter. Deduction limits. The choice between the old and new tax regimes. Nothing you already hold became taxable in a way it was not before, and assessments for earlier years continue under the old Act.

What did change: The structure and the vocabulary. Over eight hundred sections became 536 across 23 chapters, the language was rewritten in plainer terms, and — the part that will actually affect you — almost every section and form number is different. The terms Previous Year and Assessment Year have also gone, replaced by a single **Tax Year**.

The references a retail investor is most likely to meet translate as follows:

Familiar reference under the 1961 Act	Equivalent under the 2025 Act
Section 80C deductions	Section 123, which also absorbs the old 80CCC and part of 80CCD
Section 87A rebate	Section 156
Section 115BAC, the new tax regime	Section 202
Form 16, the salary TDS certificate	Form 130
Form 26AS, the tax credit statement	Form 168
Form 60, declaration by a person without PAN	Form 97
Forms 15G and 15H	Form 121

When the new numbers start to matter. Not immediately. A return for the financial year 2025-26, filed during 2026, is a return under the 1961 Act and carries the old numbers — your Form 16 for that year will still say Form 16. The new numbering appears on returns for Tax Year 2026-27, filed from 2027. For the transition the Income Tax Department has published a mapping facility on incometax.gov.in that shows an old provision alongside its replacement; it is worth using rather than guessing.

Deductions belong to the old regime

One point deserves emphasis because it is the most expensive misunderstanding in personal tax, and renumbering has not changed it.

The new tax regime is the **default**. If you have never actively chosen otherwise, you are in it. And under it, the familiar deductions are simply not available:

- Section 123 — the old Section 80C — covering PPF, ELSS, life insurance premiums, NSC, the EPF contribution, Sukanya Samriddhi, tuition fees and home loan principal, up to ₹1.5 lakh
- Health insurance premiums, donations, education loan interest and most other deductions that used to sit in Chapter VI-A

These are available **only** if you opt for the old regime. A few benefits do survive in the new regime — the standard deduction for salaried taxpayers and the employer's contribution to NPS among them — but they are the exception.

Watch Out — the tax-saving investment that saves no tax

Every January, people buy an ELSS fund or a five-year tax-saving deposit "for 80C" without first checking which regime they are in. If you are on the default new regime, that purchase earns you no deduction whatsoever. You may still have bought a perfectly good investment — but you bought it for a reason that does not apply to you.

Work out which regime leaves you paying less, using your own numbers, and only then decide whether a deduction is a reason to invest. An investment that is not worth holding on its own merits is not worth holding for a deduction either.

Capital gains: the basic idea

When you sell an investment for more than you paid, the profit is a **capital gain** and is taxable.

Two things determine how much:

1. **What kind of asset it is** — equity, debt, gold, property
2. **How long you held it** — short-term or long-term

The general principle across asset classes: **holding longer results in more favourable treatment.** This is a deliberate policy choice, and it happens to align with everything else in this book.

Equity and equity-oriented mutual funds

	Short-term (STCG)	Long-term (LTCG)
Holding period	12 months or less	More than 12 months
Rate	20% plus applicable cess	12.5% plus applicable cess
Exemption	None	Gains up to ₹1.25 lakh in a financial year are exempt

An **equity-oriented mutual fund** is generally one holding at least 65% in equity.

Worked Example — the exemption is worth using

Anita holds equity mutual fund units bought three years ago. Her unrealised gain is ₹4,00,000.

If she sells everything in one financial year: *Taxable gain = ₹4,00,000 − ₹1,25,000 = ₹2,75,000 Tax at 12.5% ≈* ***₹34,375*** *(plus cess)*

If she sells in instalments across four financial years, *realising about ₹1,00,000 of gain each year, each year's gain falls within the annual exemption and no LTCG arises on those redemptions.*

Two cautions. The gain in later years will differ as the NAV changes, so this is not a fixed outcome. And tax planning should never override your actual need for the money — if you need the full amount now, take it and pay the tax.

(Illustrative, at rates current at the time of writing.)

Debt mutual funds

For units of specified debt mutual funds acquired on or after 1 April 2023, gains are generally added to your income and taxed at your applicable slab rate, **irrespective of the holding period** — there is no separate long-term concession.

Transitional treatment may apply to units acquired earlier. Given the number of changes in this area, verify the current position for your specific units and acquisition dates.

Hybrid funds

Treatment follows the equity content:

- Equity-oriented hybrid funds (generally 65% or more in equity) are taxed like equity funds
- Debt-oriented hybrid funds are taxed like debt funds

The scheme document and factsheet state the category. Check it before assuming.

Other assets

	Short-term	Long-term
Holding period	Less than 24 months	More than 24 months
Rate	Added to income, taxed at your slab rate	12.5% without indexation

This covers physical gold, gold funds, real estate and similar assets.

Indexation — adjusting the purchase cost for inflation before computing the gain — was withdrawn in favour of a lower flat rate; specific transitional provisions may apply to certain immovable property. Verify for your situation.

Statutory charges on transactions

Separate from tax on gains, several charges apply to the transactions themselves.

Securities Transaction Tax

STT is levied by the Central Government on transactions executed on recognised stock exchanges.

- It appears as a separate line on your contract note
- On equity delivery, it applies on both purchase and sale, at prescribed rates
- On equity mutual fund units and equity ETFs, it applies on **redemption or sale**, not on purchase or subscription
- Off-market transfers do not attract STT

Stamp duty

A statutory levy on issue and transfer of securities, applied at uniform rates, itemised separately on your contract note or transaction statement.

Holding securities in demat form eliminated the physical stamp paper requirement that once applied to transfer deeds — one of the practical benefits of dematerialisation.

Exchange and regulatory charges

Exchange transaction charges, SEBI turnover fees, and GST on brokerage and certain charges. Individually small; collectively meaningful if you transact often. This is part of why this book is discouraging about frequent trading.

Tax Deducted at Source

TDS means tax withheld at the point of payment and deposited with the government on your behalf. It is not an additional tax — it is an advance against your final liability, and it appears in your Form 26AS and Annual Information Statement.

Income	Treatment
Bank FD and RD interest	TDS applies where interest exceeds prescribed thresholds in a financial year. Interest is added to income and taxed at your slab rate
Mutual fund IDCW	Distributions are taxable in your hands at your slab rate. TDS applies where the payout from a fund house exceeds the prescribed threshold in a financial year, provided PAN is updated
Government Securities	No TDS on interest. You declare it in your return
NRI redemptions and gains	Tax is generally withheld by the AMC or RTA at the time of payout

If your total income is below the taxable threshold, you may be able to submit a declaration to prevent TDS on certain interest income. From Tax Year 2026-27 this declaration is made in

Form 121, a single form under the Income Tax Act, 2025 that replaces Form 15G and Form 15H — previously two separate forms, one for those below 60 and one for senior citizens. The eligibility conditions are unchanged; only the form has been merged. The older forms continue to apply to earlier years. Check eligibility carefully — an incorrect declaration has consequences.

Deductions and the changing framework

Under the Income Tax Act, 1961, Section 80C (under old tax regime) allowed eligible individuals and HUFs to claim a deduction up to ₹1,50,000 per financial year for specified investments and payments, including:

- Equity Linked Savings Schemes (ELSS)

- Public Provident Fund
- Sukanya Samriddhi Yojana
- Tax-saving bank fixed deposits with a five-year lock-in
- National Savings Certificate
- Principal repayment on a housing loan
- Employee Provident Fund contributions
- Life insurance premiums

Two important qualifications.

First, the availability of deductions depends on which **tax regime** you have opted for. The regimes differ substantially in whether deductions are available at all.

Second, from Tax Year 2026-27, the Income Tax Act, 2025 applies, with corresponding provisions under new section and schedule references. **Do not rely on the Section 80C framework without verifying the current position** for your tax year and your old regime.

> ***Watch Out — the tax benefit should follow the investment decision, not drive it***
>
> *A large amount of poor financial decision-making in India happens in the last week of March.*
>
> *Products bought purely to save tax, in a hurry, without regard to suitability, lock-in or cost, routinely turn out to be unsuitable — long-lock-in insurance-cum-investment products being the classic example.*
>
> *The correct sequence: decide your asset allocation and goals first, then select tax-efficient instruments within that allocation. If ELSS fits your equity allocation and horizon, it is an excellent choice. If it does not, the deduction does not make it right.*
>
> *And do this in April, not March. The same investment made at the start of the year has twelve extra months of compounding.*

Records you must keep

Capital gains cannot be computed without purchase records. Keep, for every holding:

- Date of purchase
- Quantity and purchase price
- Brokerage and charges paid
- Date and price of sale
- Contract notes and transaction statements

Most brokers and AMCs provide a capital gains statement for the financial year — download it every year and file it. Reconstructing a fifteen-year holding history from memory is close to impossible.

Also review your **Annual Information Statement (AIS)** and **Form 26AS** before filing. They show what the department already knows about your income, and discrepancies are worth resolving before, not after, you file.

Recap in One Minute

- Capital gains tax depends on the asset and the holding period; holding longer is generally treated more favourably.
- Equity and equity-oriented funds: 12 months is the dividing line, with an annual LTCG exemption worth using.
- Debt funds acquired on or after 1 April 2023 are generally taxed at slab rate regardless of holding period.
- STT, stamp duty, exchange charges and GST apply to transactions themselves and are itemised on your contract note.
- Never buy a product for the deduction alone. Decide allocation first, then choose tax efficient instruments within it.

Check Your Understanding

1. Ravi sells equity mutual fund units held for 10 months at a gain of ₹80,000. Short-term or long-term, and at what rate?
2. Why might realising long-term equity gains across two financial years produce a lower tax outcome than realising them in one?
3. Why is buying an ELSS in April generally better than buying it in March?

Your Action Step

Download your capital gains statement for the last completed financial year from your broker or AMC. Look at how much you paid in STT, brokerage and other charges. Most people are surprised. Then check your AIS on the income tax portal against your own records.

Chapter 25

Paperwork That Protects Your Family

Where this fits: You have built something. This chapter ensures it reaches the people it is for.

By the end of this chapter you will be able to:

- Register nominations correctly on every account you hold
- Explain the difference between transfer and transmission
- Recover unclaimed shares and dividends, and handle gifting and off-market transfers safely

The chapter nobody reads until it is too late

Every year, substantial sums lie unclaimed in Indian financial accounts. Not because of fraud. Because the person who invested did not complete a two-minute formality, and the family could not prove entitlement to something they did not know existed.

This is the most preventable financial loss described anywhere in this book. It costs nothing to fix and it takes an afternoon.

Nomination

A **nomination** tells the institution who should receive the assets in your account if you die. It applies to demat accounts, mutual fund folios, bank accounts, insurance policies, PPF and most other financial accounts.

Why it matters so much

Without a nomination, the institution cannot simply hand assets to a family member. Your heirs must establish legal entitlement — which can require a succession certificate, a probated will, or a legal heirship certificate, depending on the circumstances. That process takes months, costs money, and arrives at the worst possible time for a grieving family.

With a valid nomination, the process is comparatively simple.

How to do it

- Register a nominee **when you open the account**. Do not defer it
- Provide accurate details — full name, date of birth, relationship, address
- Depending on the current framework, **multiple nominees may bepermitted**, with the percentage share to each specified. Check the current rules with your DP, AMC or bank
- For a minor nominee, appoint a guardian

- **Review after every major life event** — marriage, divorce, a birth, a death. An outdated nomination naming a former spouse or a deceased parent creates precisely the problem nomination was meant to prevent
- Keep a record of what you nominated where

What a nomination is and is not

A nominee receives the assets and holds them in accordance with applicable succession law. **Nomination determines who receives; succession law and any valid will determine who is ultimately entitled.**

This distinction matters. Nomination is not a substitute for a will. It is the mechanism that lets assets move quickly; the will and the law determine the final beneficial entitlement. For any meaningful estate, make a will as well.

Transfer and transmission

These sound similar and are entirely different.

Transfer is a voluntary change of ownership while the holder is alive — a sale, a gift, or a move between accounts.

Transmission is the passing of securities by operation of law — on the death of a holder, or in the case of insolvency or a similar event. It is not initiated by the holder; it happens to the holding.

How transmission works

With a nomination: the nominee approaches the DP or RTA with a transmission request, the death certificate, and prescribed identification. The process is comparatively straightforward.

Without a nomination: the legal heirs must establish entitlement, typically through a succession certificate, probated will, letter of administration, or in some cases — for smaller values — an indemnity, affidavit and no-objection documentation. Requirements vary with the value and the depository's or RTA's prescribed procedure.

For jointly held accounts: securities generally pass to the surviving holder or holders on production of the death certificate, and the account is then updated. This is often the simplest arrangement of all, which is why joint holding with a spouse, combined with nomination, is worth considering.

Transposition

Transposition is changing the *order* of names in a jointly held security, without changing who the holders are.

If a physical certificate reads "A and B" but the demat account is in the name of "B and A," they will not match, and the dematerialisation or transfer will be rejected. Transposition corrects the order.

Since the names are identical and only the sequence changes, this is not treated as a transfer of ownership and generally does not attract stamp duty. A transposition request form, signed by all holders, is submitted to the DP or RTA along with the certificate.

Off-market transfer

An **off-market transfer** moves securities from one demat account to another without going through the stock exchange. It is used for gifting, transfers between family members, transfers between your own accounts, and pledging.

How it is done

Through a **Delivery Instruction Slip (DIS)**, physical or electronic, submitted to your DP. A DDPI does not cover this: it authorises settlement, margin pledging, exchange-platform mutual fund transactions and open offers, not gifts or transfers between accounts. The instruction must specify:

- The ISIN of the security
- Quantity
- The recipient's DP ID and Client ID
- The reason for transfer
- Execution date

Rules that protect you

- **Never keep a signed blank DIS with anyone** — not your broker, not your DP, not a relative. It is a signed blank cheque for your securities
- **Keep the DIS booklet in your own custody**
- **Verify every detail before signing.** An incorrect ISIN or Client ID sends securities to the wrong place, and recovery is difficult
- **Names must match exactly** for joint accounts. Mismatched patterns are rejected
- **Understand the tax position.** An off-market transfer that is a sale is a taxable transaction. STT does not apply to off-market transfers, but capital gains rules do
- Off-market transfers do not have the clearing corporation guarantee that exchange trades have. Care matters more here, not less

Gifting shares

Shares can be gifted to family members through an off-market transfer.

The process: the donor completes a DIS specifying "gift" as the reason. Many DPs also require a gift deed or declaration. The securities move to the recipient's demat account.

Tax: gifts between specified relatives are generally exempt from tax in the recipient's hands under the applicable provisions. Gifts to non-relatives above prescribed thresholds may be

taxable for the recipient. When the recipient eventually sells, the **original purchase cost and holding period of the donor** are generally considered for computing capital gains. Verify the current provisions.

Practical points: the recipient must have a demat account and be KYC-compliant. Keep the gift documentation — it will matter when the recipient sells.

Unclaimed shares and dividends: the IEPF

Dividends that remain unclaimed for seven consecutive years, and the underlying shares, are transferred by companies to the **Investor Education and Protection Fund (IEPF)**, administered by the Government of India.

This happens for entirely mundane reasons — a change of address, an old bank account closed, a shareholder who died without the family knowing, a physical certificate in a forgotten file.

Recovering them

The money is not lost. It can be reclaimed.

1. **Check whether you have anything.** The IEPF Authority website (iepf.gov.in) provides a search facility using name and other identifiers. Companies also publish lists of unclaimed amounts. It costs nothing to look
2. **File Form IEPF-5** online with the IEPF Authority
3. **Submit the physical documents** — the acknowledgement, an indemnity bond, an advance receipt, and supporting proofs — to the company's Nodal Officer
4. **The company verifies** and submits a verification report to the IEPF Authority
5. **The Authority processes** the claim and credits the shares to your demat account and the amounts to your bank account

The process takes time and requires accurate documentation, but it works, and there is no deadline that extinguishes your right.

> ***Watch Out — check on behalf of your parents***
>
> *A great deal of IEPF money belongs to people who invested in the 1980s and 1990s, held physical certificates, moved house, and forgot. Their children often have no idea the holdings exist.*
>
> *If your parents or grandparents ever owned shares, search the IEPF database and ask companies' RTAs. Families have recovered substantial sums this way. It costs an evening.*

The document your family actually needs

Everything in this chapter reduces to one practical action.

Prepare a single document listing:

- Every bank account, with bank and branch

- Every demat account, with DP name, DP ID and Client ID
- Every mutual fund folio, with fund house and folio number
- Every insurance policy, with insurer and policy number
- PPF, NPS, EPF and small savings account details
- Property documents and where they are kept
- The nominee registered on each
- Where the original documents are stored
- Your will, if you have made one, and where it is

Keep it secure. **Tell at least one trusted family member that it exists and where it is.**

A list that nobody can find serves no purpose. Neither does an investment nobody knows about.

Recap in One Minute

- Register a nominee on every account at the time of opening, and update after every major life event.
- Nomination determines who receives; succession law and a will determine who is ultimately entitled. Make a will as well.
- Transfer is voluntary and during life; transmission happens by law, usually on death. Nomination makes transmission far simpler.
- Never leave a signed blank DIS with anyone, and verify every detail on an off-market transfer.
- Unclaimed dividends and shares go to the IEPF after seven years and can be reclaimed. Check on behalf of older relatives.

Check Your Understanding

1. What is the practical difference for a family between a nominated and a non-nominated demat account?
2. Why is a signed blank Delivery Instruction Slip dangerous?
3. Where do dividends unclaimed for seven years go, and can they be recovered?

Your Action Step

Two tasks. First: check the nomination status of every financial account you hold — bank, demat, mutual fund, insurance, PPF. Register or update wherever it is missing or outdated. Second: create the family document described above and tell one person where it is.

Part 7 — Protecting Yourself

Two chapters. The first teaches you to recognise a fraud before your money leaves. The second tells you exactly what to do when something goes wrong with a legitimate entity.

Chapter 26

How to Spot a Fraud Before It Costs You

Where this fits: You are now an investor with money at stake. This chapter is the one to read twice.

By the end of this chapter you will be able to:

- Recognise the structure common to every investment fraud
- Identify the main fraud types operating in India today
- Verify any intermediary in under two minutes using SEBI's own tools

Every fraud has the same skeleton

The stories change. The costumes change — one year it is a chit fund, the next a crypto token, the next an AI trading bot. The structure underneath does not.

1. **An abnormal return, presented as safe:** "3% per month." "Guaranteed 28%." "Assured returns, zero risk."
2. **Urgency:** "The offer closes tonight." "Only 50 slots." "The price doubles tomorrow."
3. **Social proof:** Screenshots of profits. Testimonials. A group of enthusiastic strangers. A celebrity or influencer, sometimes without their knowledge.
4. **An opaque method:** "Proprietary algorithm." "Arbitrage strategy." "Foreign portfolio access." Something that sounds sophisticated and cannot be examined.
5. **Early payouts that work:** Small withdrawals are honoured, sometimes for months. This is the mechanism that converts the sceptical into believers — and converts believers into recruiters.
6. **Then friction:** Withdrawals slow down. A "processing fee" or "tax clearance" is required before you can access your money. Then the platform disappears.

If you learn one thing from this chapter, learn this: you do not need to identify which specific fraud you are looking at. You need to recognise the skeleton. Points 1 and 2 together are sufficient grounds to walk away, every time, with no exceptions.

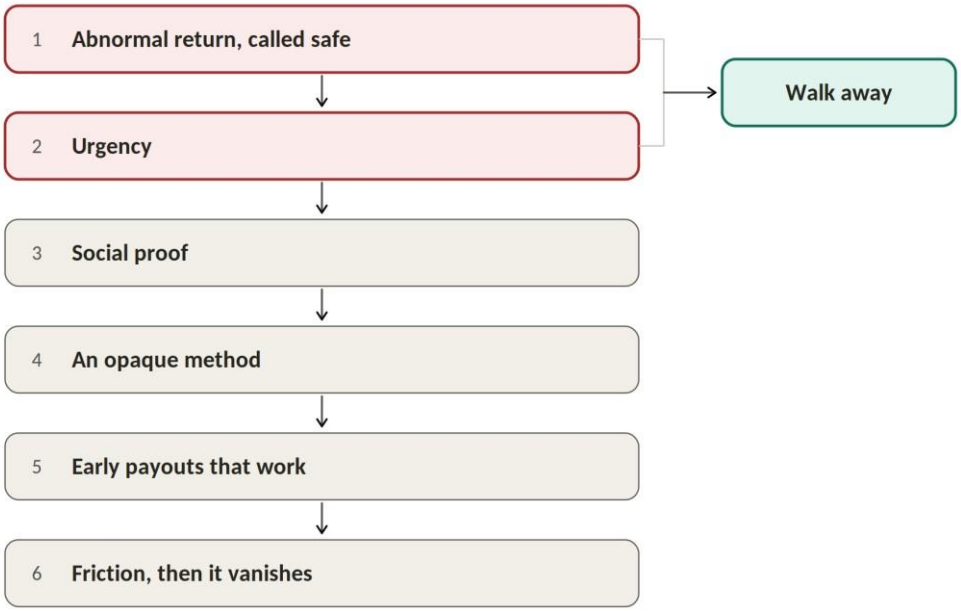


Figure 14 *You do not need to identify which fraud you are looking at. Stages 1 and 2 together are sufficient grounds to leave, every time, with no exceptions.*

Why point 1 alone is enough

The risk-return relationship is not a guideline; it is how markets work.

Anyone offering a return substantially above what regulated markets produce, while describing it as safe or guaranteed, is telling you something that cannot be true. There are only three possibilities: they do not understand their own product, they are misrepresenting it, or they intend to take your money.

None of the three is a reason to invest.

And note: **SEBI does not approve, guarantee or assure returns on any product.** Any claim that a return is "SEBI-approved" or "government-guaranteed" is, by itself, proof of dishonesty.

The main fraud types

Fraud	How it works
Ponzi scheme	Promises high returns with little risk; pays early investors from new investors' money rather than from any real profit. Collapses when new money slows
Pyramid and MLM schemes	Returns depend primarily on recruiting others rather than on any underlying product or investment
Fake advisers and fake apps	Entities not registered with SEBI providing stock tips or portfolio services, or apps mimicking genuine brokers

Phishing	Fake emails, messages or websites designed to capture OTPs, passwords and personal data
Smishing	The same, via SMS with malicious links
Vishing	The same, by phone call, with the caller impersonating a bank, broker, exchange or regulator
Pump and dump	Coordinated promotion inflates a thinly traded stock's price; the promoters sell into the buying, leaving others with overpriced shares
Social media scams	WhatsApp and Telegram groups, or fake accounts, promoting manipulated stocks or non-existent IPO allotments
Unregulated chit funds and deposit schemes	Collecting deposits without authorisation, outside any regulator's supervision
Crypto and digital asset frauds	Fake tokens, non-existent exchanges, or platforms promising fixed returns on digital assets
Malware	Software that steals credentials or locks your data, often delivered through an "investment tool" download

Case study: the fake trading app

This has cost Indian investors substantial sums, and the method is worth knowing in detail.

How it runs:

1. The target is added to a WhatsApp or Telegram group that appears official — the name and logo of a well-known broker or institution, professional-looking material, and many apparently satisfied members (most of whom are the operators)
2. A "research analyst" or "relationship manager" shares tips. Several of them work deliberately, and often chosen after the fact from a wide spread
3. The target is asked to download an app, via a link, to "access exclusive institutional allocations." The app looks like a real trading app
4. Money is deposited. The app displays a portfolio and rising profits. **None of it exists.** No shares were ever bought. The numbers are a display
5. Small withdrawals are honoured, converting doubt into confidence. Larger sums are invested. The target often introduces family and friends
6. When a substantial withdrawal is attempted, a "tax," "clearance fee" or "margin requirement" must be paid first. Paying it produces a further requirement
7. The app stops working. The group is deleted. The money is gone

Every warning sign was present from the beginning:

- The app was not from an official app store listing verified as a SEBI-registered broker
- The entity was not verifiable on SEBI's website
- Returns were abnormal and described as certain
- Money was transferred to an account not verifiably belonging to a registered intermediary
- "Exclusive access" and urgency were used throughout
- **A demand for payment in order to withdraw your own money is definitive proof of fraud.** No legitimate intermediary in India requires this. Not once. Not ever

Case study: pump and dump

Messages circulate in groups: *"This stock will double in two days. Buy now."*

Enough people buy that the price genuinely rises — which appears to confirm the claim and draws in more buyers. Thinly traded small-company shares are used precisely because a modest amount of buying moves the price a great deal.

The promoters bought before the messages went out. As the price rises, they sell into the demand they created. Buying dries up, the price collapses, and the last buyers hold shares worth a fraction of what they paid.

What to learn:

- Anonymous tips are not information. Somebody is paying to put that message in front of you, and it is not for your benefit
- Coordinated urgency to buy a specific stock is the signature of manipulation
- Check what the company actually does and what its financials look like. Manipulated stocks frequently have negligible business behind them

Market manipulation is a serious violation. SEBI investigates and acts against it, and its orders are published — but enforcement comes after the loss. Your protection is not participating.

Verify before you pay: the tools

SEBI has built specific tools to let you verify an entity in under two minutes. Use them.

SEBI Check

SEBI Check lets you verify the authenticity of an intermediary before transferring funds. By entering a UPI ID or scanning a QR code, you can confirm:

- The validity of the intermediary's SEBI registration
- The corresponding bank account details of the registered entity

Access it through SEBI's investor website, the Saa₹thi app, or at:

https://siportal.sebi.gov.in/intermediary/sebi-check

Validated UPI handles

UPI IDs of SEBI-registered investor-facing intermediaries carry an exclusive **"@valid"** handle issued by NPCI, with category-specific suffixes — for example .brk for brokers and .mf for mutual funds.

A genuine intermediary's UPI ID therefore has a recognisable, verifiable structure. Legitimate transactions display a thumbs-up icon inside a green triangle, and genuine QR codes carry the thumbs-up logo at the centre.

Before paying any intermediary, check for the **@valid handle and the thumbs-up** indicator. An intermediary claiming SEBI registration but using an ordinary personal UPI ID is a contradiction that requires explanation.

Verified label on app stores

Following instances of spoofed trading apps, SEBI worked with Google to introduce a **"Verified"** label on the Google Play Store for trading apps belonging to genuine SEBI-registered brokers.

Download trading apps only from official app store listings carrying this verification. **Never from a link sent to you.**

SEBI's intermediary lists: sebi.gov.in publishes lists of registered intermediaries, recognised stock exchanges and Market Infrastructure Institutions. This is the definitive check, and it is free.

SEBI orders and enforcement

Search SEBI's published orders for the entity's name. If SEBI has previously acted against them, you will find it.

What SEBI is doing about social media

The tools above are ones you use. There is also one working in the background, and it is worth knowing about because it changes what you should expect to see online.

Most of the fraud described in this chapter now reaches people through social media rather than through a person in an office. The volume is far beyond what any team could review by hand, so SEBI built **Sudarshan**, an in-house artificial intelligence system that watches publicly available content for securities market fraud. It became operational in November 2025.

What it does:

- Scans publicly available videos, posts, images, messages and advertisements across major social media platforms

- Works across languages and formats — speech and visuals as well as text, which matters in a market where a great deal of the material is in regional languages
- Looks for specific patterns: guaranteed-return claims, fabricated certifications, impersonation of SEBI-registered entities, and investment advice from people who are not registered to give it
- Assigns a risk score and generates a structured alert, so that human reviewers spend their time on the cases most likely to be real

SEBI can then direct platforms to take the content down, and reports that platforms have cooperated. In its first months the system flagged more than twenty thousand instances of potentially fraudulent content, and SEBI has reported the removal of well over a lakh of misleading posts.

> **What this means for you — and what it does not**
>
> It is a useful signal that regulators are no longer waiting for complaints before acting. But automated surveillance runs behind the people it is chasing. A scheme can be live for weeks before it is flagged, operators move between platforms and change their vocabulary, and content in a private WhatsApp or Telegram group is not public content at all.
>
> So do not read the absence of a warning as a clearance. The fact that a post is still up means nothing about whether the person behind it is registered. That remains a question you answer yourself, in two minutes, on sebi.gov.in.
>
> The distinction SEBI draws is worth holding on to: financial education is permitted, and so is commentary. Investment advice is not, unless the person giving it is registered with SEBI. Someone telling you what a mutual fund is may be doing something legitimate. Someone telling you what to buy, for a fee, without a registration number, is not.

Your safety checklist

Before investing anywhere:

- Verify SEBI registration on **sebi.gov.in**, not on the entity's own website
- Use **SEBI Check** to verify the UPI ID and bank account before transferring
- Check for the **@valid** handle and the thumbs-up indicator
- Search for SEBI orders against the entity
- Confirm the promised return is plausible against regulated market norms
- Insist on written documentation — scheme documents, terms, registration numbers
- Take 48 hours. Genuine opportunities survive it

Never, under any circumstances:

- Share a password, PIN or OTP with anyone. **No institution ever needs your OTP.** Not to verify you, not to cancel a fraudulent transaction, not for any reason
- Download a trading or investment app from a link
- Pay any fee in order to withdraw your own money
- Approve a UPI mandate you did not initiate — and remember that a **PIN authorises money to leave your account**, never to arrive
- Transfer money to an individual's personal account for an investment
- Sign a blank form or blank DIS, or give a broker a general Power of Attorney when a DDPI would do
- Invest on a tip from a group, a stranger, or a celebrity endorsement
- Invest borrowed money

Also:

- Keep your device and apps updated
- Use two-factor authentication everywhere it is available
- Do not use public Wi-Fi for financial transactions
- Enable all SMS and email alerts and actually read them
- Guard your mobile number; investigate any unexplained loss of network immediately

> **Watch Out — you are the target, not the exception**
>
> Fraud victims are frequently educated, financially literate and cautious people. Frauds do not succeed by fooling the foolish. They succeed by applying skilled social engineering under manufactured time pressure, often through a relationship built over weeks.
>
> The defences that work are procedural, not intellectual: verify every entity at the source, never share an OTP, never pay to withdraw, and take 48 hours. Rules protect you when your judgement is under pressure. Confidence in your own judgement does not.

If it has already happened

Speed matters enormously.

1. **Contact your bank immediately:** Report the unauthorised transaction and request that the account be secured. Prompt reporting can affect your liability
2. **Report to the National Cyber Crime Reporting Portal** at cybercrime.gov.in, or call the national cybercrime helpline 1930. Reporting within the first hours materially improves the chance of funds being frozen
3. **File a police complaint** and keep a copy of the FIR

4. **If a SEBI-registered entity is involved, lodge a complaint on SCORES**
5. **Report the fraudulent entity to SEBI**, so that others can be warned
6. **Preserve everything** — screenshots, messages, transaction records, app details, group names, phone numbers, URLs
7. **Change all passwords** and review every linked account
8. **Tell your family.** Shame keeps victims silent, and silence lets the same operation continue. Reporting it is the responsible act, not a humiliating one

Recap in One Minute

- Every fraud shares one skeleton: abnormal returns presented as safe, plus urgency. That combination alone is sufficient reason to walk away.
- SEBI never approves, guarantees or assures returns. Any such claim is proof of dishonesty.
- A demand for payment before you can withdraw your own money is definitive proof of fraud.
- Verify with SEBI Check, the @valid UPI handle, the verified app label, and SEBI's own registration lists — under two minutes.
- If defrauded, act within hours: bank, cybercrime.gov.in or 1930, police FIR, SCORES.

Check Your Understanding

1. Name the six elements of the standard fraud structure.
2. Why is a request to pay a "processing fee" before withdrawing your profits conclusive?
3. A caller says they are from SEBI and needs the OTP just sent to your phone to protect your account. What do you do, and why?

Your Action Step

Do three things today. Open SEBI Check and verify the UPI ID of one intermediary you already use. Check whether your broker's app carries the verified label. Then tell one older family member the two rules that matter most: never share an OTP, and never pay a fee to withdraw your own money.

Chapter 27

When Something Goes Wrong: Complaints, ODR and Your Rights

Where this fits: The last chapter covered criminals. This chapter covers legitimate entities that have failed you — and exactly what to do about it.

By the end of this chapter you will be able to:

- Follow the correct escalation path for a securities market complaint
- Use SCORES and the Smart ODR platform
- State your rights as an investor and the Do's and Don'ts that protect them

The escalation ladder

Complaints are resolved fastest when raised at the right level, in order. Skipping steps generally slows things down rather than speeding them up.



Figure 15 *Raise it at the bottom first. Skipping a rung usually sends the complaint back down, which costs weeks.*

Step 1 — The entity itself: Raise the complaint in writing with the intermediary or company, addressed to its compliance officer or designated grievance officer. Every registered entity must have one, and the details must be displayed on its website. Keep the acknowledgement.

Step 2 — Investor Services Cell of the exchange: For matters involving a trading member, the exchange's Investor Services Cell handles queries, complaints and dispute resolution.

Step 3 — SCORES: If unresolved or unsatisfactorily resolved, lodge a complaint on SEBI's SCORES platform.

Step 4 — Smart ODR: For disputes not resolved through the entity or SCORES, use the Online Dispute Resolution platform for conciliation and, if needed, arbitration.

SCORES

SCORES — the SEBI Complaints Redress System — is an online platform for lodging and tracking complaints against listed companies, SEBI-registered intermediaries and Market Infrastructure Institutions.

It is a **facilitative platform**: it routes your complaint to the concerned entity, requires a response, tracks it, and escalates if the entity does not act. SEBI does not itself adjudicate your individual commercial dispute through SCORES.

What SCORES covers

Complaints relating to your investments in the securities market against:

- Listed companies — non-receipt of dividend, shares, annual report, refunds, transfer or transmission issues
- SEBI-registered intermediaries — brokers, depository participants, RTAs, investment advisers, research analysts, merchant bankers
- Market Infrastructure Institutions
- Mutual funds and AMCs

What SCORES does not cover

- Commercial or contractual disputes outside SEBI's purview
- Complaints unrelated to securities market investments
- Complaints against unlisted companies
- Anonymous complaints
- Matters that are sub judice
- **Dissatisfaction with investment performance.** A share that fell in value is investment risk, not a grievance

Filing a complaint



SCORES 2.0

In April 2024 SEBI introduced an upgraded platform, SCORES 2.0, with several improvements:

- **Reduced resolution timelines**
- **Auto-routing** of complaints to the concerned entity without manual intervention
- **Auto-escalation** where the entity does not respond within the prescribed period
- **A two-level review system**, allowing you to seek review if you are dissatisfied
- **Integration with the KYC Registration Agency database**, validating complainant identity

Under the current process, the concerned entity is expected to submit an **Action Taken Report (ATR)** within 21 calendar days. If you are dissatisfied, you may seek a first-level review, and subsequently a second-level review, within the prescribed windows — currently 15 calendar days each. Timelines are revised from time to time; check the current guidance on the portal.

Other features: available 24×7; instant acknowledgement with a unique complaint number; online status tracking with the ability to send reminders; a central database with audit trails; and aggregate complaint data that informs SEBI's supervisory and policy decisions.

Online Dispute Resolution

The **Smart ODR** platform provides online conciliation and arbitration for disputes in the Indian securities market. It was introduced under SEBI's master circular on Online Dispute Resolution.

Why it exists

Traditional dispute resolution is slow, expensive and geographically inconvenient. A retail investor in a small town with a ₹40,000 dispute has, historically, had no proportionate remedy — the cost of pursuing it exceeded the amount at stake. ODR was designed to address exactly that gap.

The three stages

Stage 1 — Direct with the entity. You must first raise the dispute with the market participant and give it a reasonable opportunity to resolve it.

Stage 2 — Conciliation. If unresolved, the matter goes to an independent conciliator through the ODR portal. Conciliation is a facilitated settlement process; the conciliator helps the parties reach agreement.

Stage 3 — Arbitration. If conciliation fails, the matter proceeds to arbitration. An independent arbitrator hears the matter and passes an award, which is binding subject to applicable law.

Key benefits

- **Fully digital.** File, track and participate online, from anywhere
- **Faster** than conventional routes, with defined timelines at each stage
- **Lower cost,** making small disputes economically worth pursuing
- **Independent** conciliators and arbitrators drawn from empanelled institutions
- **Accessible** regardless of your location

The platform is at **https://smartodr.in/**. Exchanges including NSE and BSE facilitate investor grievance redressal through it.

Investor Services Cells

Stock exchanges operate **Investor Services Cells** that resolve queries and complaints against trading members and facilitate conciliation and arbitration.

If your complaint concerns a broker — non-receipt of funds or securities, unauthorised trades, excess brokerage, non-issuance of contract notes — the exchange's Investor Services Cell is a direct and effective route alongside SCORES.

SEBI's investor education resources

Saa₹thi app. SEBI's official investor education mobile application, containing a financial health check tool, a "spot a scam" feature, modules on KYC, mutual funds, ETFs, buying and selling shares, grievance redressal and ODR, and videos on personal finance planning.



Investor awareness programmes. SEBI conducts these through several channels: visits to SEBI offices by students and visits by SEBI officials to institutions; Regional Investor Seminars for Awareness (RISA) run with exchanges, depositories, AMFI and commodity exchanges; programmes by SEBI-recognised Investor Associations in tier II and tier III cities; and programmes by SEBI-recognised Securities Market Trainers (SMARTs).

SEBI Investor Awareness Test: A free online examination run by SEBI in collaboration with the National Institute of Securities Markets (NISM). It covers the basics of savings, investments and the Indian securities market.

Feature	Detail
Cost	Free
Languages	English, Hindi and other vernacular languages
Negative marking	None
Certificate	Issued on passing
Eligibility	No age or education restrictions

Registration is through the NISM portal at **https://siat.nism.ac.in**. If you have worked through this book, you have covered most of the ground. Taking it is a good way to confirm what you have learned.

Dharohar: SEBI's digital repository of Indian securities market history, launched on 26 January 2025, documenting the market's evolution over more than 150 years.

Services you are entitled to

From market intermediaries:

- Execution of trades on your instructions
- Issuance of contract notes within the prescribed time
- Intimation of margin payments due
- Facilitation of early pay-in instructions
- Settlement of your funds
- Intimation of securities held in the Client Unpaid Securities Account
- Issuance of a retention statement of funds
- Risk management systems to mitigate operational and market risk

- Processing of client profile changes as instructed by you
- Sharing of relevant exchange circulars
- Redressal of your grievances

Your rights as an investor

You have the right to:

- **Ask about background.** Information about the work history and background of the person handling your account, and about the firm itself
- **Complete risk disclosure.** Full information about the risks, obligations and costs of any investment before you invest
- **Suitable recommendations** consistent with your financial needs and investment objectives
- **Copies of everything you signed** — all completed account forms and agreements
- **Accurate, understandable statements**
- **Clear terms and conditions** for every transaction you undertake
- **Timely access to your funds**, and information about any restriction or limitation on that access
- **Full disclosure of charges** — maintenance or service charges, transaction or redemption fees, and penalties
- **Grievance redressal** — to raise concerns with the firm's compliance officer and receive prompt attention and fair consideration

Do's

- Consult a **SEBI-registered Investment Adviser** for advice where appropriate
- Invest according to your own investment objective and risk appetite
- **Insist on a valid contract note or confirmation memo** within 24 hours of every transaction
- Track your demat holdings regularly
- **Read every document carefully before signing**
- Note all charges, fees and brokerage applicable to your accounts, and keep a record
- Keep records of documents signed, account statements, contract notes received and payments made
- Periodically review your financial goals and your portfolio against them
- **Always pay through banking channels** — never in cash

- Keep your information updated with your broker and DP: address, bank details, email, mobile number. Since numbers can be ported, keep a single mobile number attached to your accounts, because it is the key to every important transaction
- **Avail nomination for every investment.** Multiple nominations may be permitted in a demat account
- Get your running account settled periodically, at the interval you have opted for
- Examine and review your trading account regularly
- **Read the SMS and email alerts** from the exchange about trades executed in your account, and the periodic communications about funds and securities balances held with your trading member

Don'ts

- **Don't borrow money to invest**
- **Don't deal with unregistered brokers or other unregistered intermediaries**
- Don't pay more than the agreed brokerage or charges
- Don't execute any document without fully understanding its terms
- **Don't sign any blank form or Delivery Instruction Slip**
- **Don't issue a general Power of Attorney** to a broker or DP. Give a DDPI, which is limited to four defined purposes, or authorise each sale yourself through eDIS
- In a dispute, don't delay — file a written complaint with the intermediary, exchange or SEBI within a reasonable time
- **Don't engage in dabba trading.** It is illegal, and apparent cost savings come at the price of every protection described in this book
- **Don't act on hot tips.** Someone circulating a tip may be trying to offload securities they cannot otherwise sell. Disseminating such tips is itself an illegal activity and should be reported to SEBI
- **Never share your password** with anyone, and change it frequently
- **Don't fall for Ponzi schemes,** unregistered chit funds, or unregistered collective investment or deposit schemes
- Don't forget to strike off blank spaces in your KYC documents
- Don't opt for digital contracts if you are not comfortable with computers

Recap in One Minute

- Escalate in order: the entity's compliance officer, then SCORES, then Smart ODR, with the exchange's Investor Services Cell available for broker matters.

SCORES routes and tracks your complaint; the entity must file an Action Taken Report within the prescribed period, currently 21 calendar days, with two levels of review available.

- SCORES does not cover investment losses, unlisted companies, anonymous complaints, or disputes outside SEBI's purview.
- Smart ODR provides low-cost digital conciliation and arbitration, making small disputes worth pursuing.
- Know your rights — risk disclosure, suitable recommendations, accurate statements, full disclosure of charges, and grievance redressal.

Check Your Understanding

1. Your broker has not issued contract notes for three months. Set out the escalation path.
2. You bought a share and it fell 40%. Is this a SCORES complaint? Explain.
3. Why does Smart ODR matter particularly for a small-value dispute?

Your Action Step

Register on SCORES today, before you need it. Registration takes a few minutes and is validated against your KYC. Then bookmark smartodr.in and cybercrime.gov.in. Knowing exactly where to go, before something goes wrong, is worth more than reading about it afterwards.

Appendix A

Your Action Plan

The First Twelve Weeks

Everything in this workbook, sequenced into one quarter. Each week is a single afternoon at most.

Week	Task	Chapter
1	Record every rupee you spend for seven days. Write down your monthly income	1
2	Complete a full month's expense record. Sort into needs, wants and desires. Compute your surplus	1, 2
3	Set up one automatic transfer dated two days after your salary. Any amount	2
4	List every high-cost debt with its interest rate. Make a plan to clear the highest first. Pull your free annual credit report and check it for errors	5
5	Compute the emergency fund you need. Open a separate account for it and start funding it	5
6	Check your insurance: term life if anyone depends on you, health cover independent of your employer	5
7	Write down every financial goal with amount, date and horizon. Compute future costs	6
8	List everything you own. Group by asset class. Compare with your target allocation	7, 8
9	Complete KYC. Verify your chosen intermediary on sebi.gov.in. Get the full tariff sheet	13
10	Choose one scheme for your nearest goal. Read its SID — objective, allocation, risk factors	14, 15
11	Start one SIP with annual step-up enabled	16
12	Register a nominee on every account. Write your one-page plan: goals, horizons, target allocation, monthly amounts	8, 13

Then stop for a year. Review every six months, rebalance annually, increase your SIP whenever your income rises, and do nothing else in between. Live through at least one month when the market falls and your statement looks worse than the money you put in. Only after that is the second plan below worth starting.

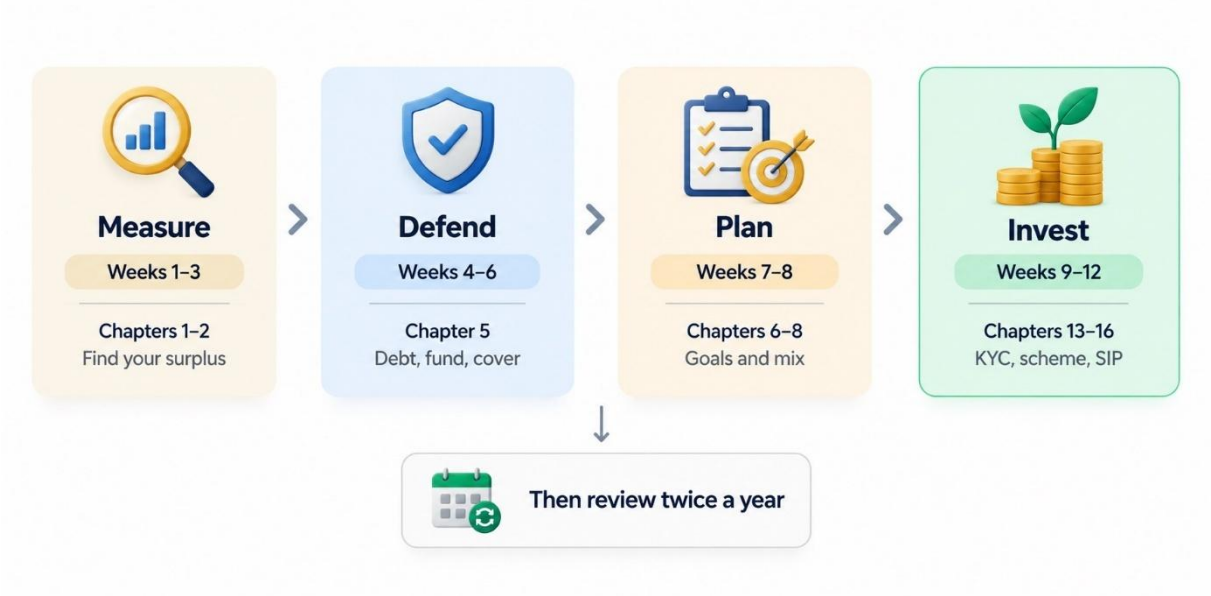


Figure 16 *Appendix A, compressed. Each week is a single afternoon at most, and week 12 ends the setup phase — after that the work is review, not activity.*

The Twelve Weeks After That

Chapters 16 to 27, sequenced. This assumes the first plan is complete and that your monthly investment has been running for at least a year.

Week	Task	Chapter
13	Pull your last twelve months of contract notes and your latest Consolidated Account Statement. Check every line against what you intended	22
14	Compute your savings rate for the past year — annual investment divided by annual income. Write the number down	22
15	Read the ten biases and write down the two you recognise in yourself, with the specific occasion	22
16	Write your one-page investment policy statement: goals, horizons, target allocation, monthly amounts, and what would make you sell. Sign and date it	22
17	Rebalance to your target allocation if any asset class has drifted by more than five percentage points	22

18	Compute your capital gains position for the current year. Identify what is short-term and what is long-term	24
19	Collect and file every purchase record you will need for cost of acquisition	24
20	Register or update a nominee on every account, folio, deposit and policy. Check each confirmation	25
21	Search iepf.gov.in and your old addresses for unclaimed dividends, matured deposits and forgotten folios	25
22	Create the family document: every account, folio, policy and where the records are. Tell one person where it is	25
23	Verify every intermediary you currently deal with on sebi.gov.in and every collection account on SEBI Check	26
24	Read the chapter on fraud again. Then decide, in writing, whether you want to buy anything directly at all	18, 26

After week 24: review twice a year, rebalance annually, raise your monthly amount whenever your income rises, and do nothing else in between. The plan is the point. The activity is not.

Appendix B

Master Checklist

Before you invest

- ☐ I know my monthly income and expenditure as specific numbers
- ☐ I have a budget and an automatic savings transfer
- ☐ I have cleared, or have a plan to clear, all high-cost debt
- ☐ I have read my credit report in the last twelve months and corrected any errors
- ☐ I have three to six months of essential expenses in an emergency fund
- ☐ I have term life cover if anyone depends on my income
- ☐ I have health insurance that is not tied to my employer
- ☐ I have written down my goals with amounts, dates and horizons
- ☐ I have decided my asset allocation

Opening accounts

- ☐ I have verified the intermediary's registration on sebi.gov.in
- ☐ I have the full tariff sheet in writing
- ☐ I have checked whether I am eligible for a BSDA
- ☐ I have registered a nominee
- ☐ Two-factor authentication is enabled
- ☐ SMS and email alerts are switched on
- ☐ My mobile number and email are current on every account

Before every investment

- ☐ I know which goal this is for and its horizon
- ☐ The product suits that horizon
- ☐ I have read the scheme document — objective, allocation, risk factors
- ☐ I know the total expense ratio and the exit load
- ☐ I have checked the Risk-o-meter against my risk tolerance
- ☐ I can explain in two sentences what I am buying and why
- ☐ I am not acting on a tip, and I am not in a hurry

Before paying anyone

- ☐ The entity is verified on sebi.gov.in
- ☐ I have checked the UPI ID on SEBI Check
- ☐ The UPI handle carries @valid and the thumbs-up indicator
- ☐ Any app was downloaded from an official store listing with the verified label
- ☐ I have waited 48 hours since first hearing about this

Ongoing

- ☐ I check every contract note against what I intended
- ☐ I read my Consolidated Account Statement
- ☐ I review my portfolio twice a year, not twice a day
- ☐ I rebalance annually
- ☐ I increase my SIP whenever my income rises
- ☐ I keep purchase records for capital gains
- ☐ My nominations are current
- ☐ One family member knows where my records are

Never

- ☐ I never share a password, PIN or OTP
- ☐ I never sign a blank form or DIS, and I have a DDPI rather than a general PoA
- ☐ I never pay a fee to withdraw my own money
- ☐ I never borrow to invest
- ☐ I never deal with unregistered entities
- ☐ I never act on a hot tip

Appendix C

How to Read a Financial Product Before Buying It

Every investment product in this workbook can be interrogated with the same ten questions — a mutual fund, a bond, a fixed deposit, a small savings scheme, a gold ETF, a share, a commodity contract. They take about ten minutes and they do not require you to understand the product's machinery in detail.

The test is not whether the questions *can* be answered. It is whether *you* can answer them, in your own words, before you pay. An answer you are repeating back from a sales conversation is not an answer. And if a question cannot be answered from the product's own documents at all, that silence is itself the finding.

1. What am I buying?

Name the category in one plain sentence, without using the brand name. *"A mutual fund scheme that lends money to companies for two to three years"* is an answer. *"A high-growth opportunity fund"* is a marketing label wearing the costume of an answer.

Stop if: you can only describe it using the seller's words, or the honest answer is "I am not entirely sure".

Chapters 10, 14 and 19.

2. What is the underlying asset?

Every product is a wrapper around something else. A mutual fund holds shares or bonds; a fund of funds holds other funds, which in turn hold securities; a gold ETF holds gold; a commodity future is a claim on a physical good. Follow the chain down until you reach the real thing at the bottom.

Stop if: the underlying is described as proprietary, algorithmic or confidential. An underlying that cannot be traced is the structure most investment frauds share.

Chapters 10 and 26.

3. Why am I buying it?

The answer has to be a reason of yours, not a feature of the product. *"It returned 40% last year"* is the product's history. *"I need this money to grow faster than inflation for twelve years"* is a reason.

Stop if: the reason is that someone recommended it, that the offer closes shortly, or that everyone seems to be buying it.

Chapter 22.

4. Which goal is it linked to?

Name the goal, its amount and its date. Money with no goal attached tends to be spent on impulse or moved at the worst possible moment, because nothing anchors it.

Stop if: the honest answer is "general savings". Decide the goal first; the product question becomes much easier afterwards.

Chapter 6.

5. How long will I hold it?

Write down a number of years, then hold it against the product. Equity needs five to seven years or more. A three-year ELSS lock-in is not a one-year product. A PPF account runs fifteen years, and a Sukanya Samriddhi account until the child reaches a specified age — those are commitments, not suggestions.

Stop if: your horizon is shorter than the product's. A mismatch between the two is the most common cause of avoidable loss in this book.

Chapters 6 and 8.

6. What can make me lose money?

Every product has at least one loss mechanism: a market fall, an issuer default, an interest-rate movement, a currency move, illiquidity, a premature-withdrawal penalty, a margin call. Name the ones that apply to this product specifically.

Stop if: you are told there are none. That answer is either a misunderstanding or a lie, and Chapter 7 explains why there is no third possibility.

Chapter 7.

7. How can I exit?

Three separate questions, and they need three separate answers. When am I allowed to take the money out? How many days until it reaches my bank? What does leaving early cost me? Lockins, exit loads, premature-withdrawal penalties and thin secondary markets are all exit problems, and none of them is visible in a return figure.

Stop if: exit depends on the seller's cooperation, or you cannot find the exit terms in writing before you commit. *Chapters 15 and 19.*

8. What does it cost?

Add up everything: expense ratio, exit load, brokerage, GST, stamp duty, securities transaction tax, advisory fees, demat account maintenance. Then ask what that total compounds to over your holding period — Chapter 15 shows one percentage point a year costing about ₹45 lakh over twenty-five years.

Stop if: you are told it is free. Distribution is never free. If you cannot see the cost, it is inside the product and you are paying it anyway.

Chapter 15.

9. How is it taxed?

Two answers are needed: how the income is taxed while you hold it, and how the gain is taxed when you sell. Both depend on the asset type and the holding period. Check separately whether any deduction you are counting on actually applies to you — under the Income-tax Act, 2025 most deductions are available only if you have opted for the old regime.

Stop if: the tax treatment is the main reason to buy. A product that is not worth holding on its own merits is not worth holding for a deduction.

Chapter 24.

10. Who is selling it to me, and how are they paid?

Verify the registration on sebi.gov.in, then ask the person in front of you how they earn from this sale: a commission from the manufacturer, a fee from you, or nothing at all. Someone paid by the product is not neutral about which product you choose. This is not an accusation and it should not be an awkward question — it is a disclosure you are entitled to, and a professional will answer it without hesitating.

Stop if: the answer is evasive, or the registration cannot be found at all.

Chapters 11, 12 and 26; verify using Appendix E.

The ten questions, in one place

Photocopy this page, or write the ten answers into a notebook before each purchase. Ten ticks is not a guarantee that the product is right for you — but a blank among them is a reliable sign that it is not, at least not yet.

- ☐ What am I buying?
- ☐ What is the underlying asset?
- ☐ Why am I buying it?
- ☐ Which goal is it linked to?
- ☐ How long will I hold it?
- ☐ What can make me lose money?
- ☐ How can I exit?
- ☐ What does it cost?
- ☐ How is it taxed?
- ☐ Who is selling it to me, and how are they paid?

If you cannot answer all ten, the right response is not to go and find a different product. It is to wait until you can answer them about this one. The questions cost you ten minutes. Skipping them has cost other people a great deal more.

Comparing two products against each other

The ten questions test one product at a time. Choosing between two is a different task, and it goes wrong in a predictable way: people compare the two return figures and stop there. A return figure on its own is not comparable to anything.

Three rules make a comparison honest.

- **Compare after tax, not before.** A product returning 7.5% taxed at your slab rate and one returning 7.1% that is tax-free are not 0.4 percentage points apart. For someone in the 30% bracket the first is worth about 5.25% after tax and the second is worth 7.1%.
- **Compare over the same period.** A one-year return set against a five-year annualised return tells you nothing. Put both on the same horizon — the one you actually intend to hold for.
- **Compare at the same risk.** If one product can lose money and the other cannot, the higher number is not winning; it is being paid for something. Chapter 7 explains what.

Then fill in the same rows for both. Anything you cannot fill in is not a blank — it is a finding.

Ask of each product	Product A	Product B
What is it, in one sentence		
Is the return fixed or market-linked		
Stated return, and over what period		
Return after all costs		
Return after tax, in my regime		
What can make me lose money		
Lock-in, and cost of leaving early		
Days from decision to money in my bank		
Minimum amount, and can I add monthly		
Who is answerable if it fails		

A worked comparison — five-year bank FD against a short-duration debt fund

These two are genuine competitors for the same money: a medium-term goal, low risk, no appetite for equity. Run them through the rows.

	Five-year bank FD	Short-duration debt fund
Return	Fixed and known at the outset	Market-linked; the NAV moves as interest rates move
Costs	None visible	Expense ratio each year, and possibly an exit load
Tax	Interest taxed at your slab rate, generally as it accrues each year	Gains taxed at your slab rate on redemption, so the tax is deferred until you sell
Can I lose money	No, in nominal terms	Yes — a rise in interest rates can push the NAV down
Exit	Permitted, usually with an interest rate penalty	Any business day, money typically within one to two working days
If it fails	Deposit insurance covers a prescribed amount per depositor per bank	No guarantee; you hold units in a portfolio and bear its outcome

Notice what the table does not produce: a winner. The fixed deposit buys certainty and deposit insurance. The debt fund buys liquidity and a tax deferral, and charges you interest-rate risk and an expense ratio for them. Since April 2023 both are taxed at your slab rate, so the tax advantage debt funds once had is gone — which is exactly the kind of change that makes an old comparison useless and a fresh one necessary.

That is the point of comparing properly. A good comparison rarely announces a winner. It tells you what each product is charging you and what it is giving you in return, and leaves you to decide which trade you want. If one option looks better on every single row, look again — you have almost certainly missed a row.

Appendix D

Answer Key

Chapter 1

1. Rakesh has a **deficit of ₹3,000** a month, not a surplus. His first priority is to close the gap — reduce expenditure or increase income — before considering any investment. A household funding a deficit through borrowing is heading towards a debt trap.
2. Advantages: instant liquidity, and safety (deposits insured up to ₹5 lakh per depositor per bank by DICGC). Disadvantage: the interest rate is typically below inflation, so purchasing power falls in real terms.
3. Because if one source stops, the household still has income. A single larger source is a single point of failure.

Chapter 2

1. Needs ₹30,000, wants ₹18,000, savings and investments ₹12,000.
2. Health insurance premium — need. Weekend movie — want. Second car — desire. Phone recharge — need (though the plan chosen may include want elements).
3. Because we adjust spending to whatever is available. Removing savings first means we live on the remainder without noticing; waiting until month-end means something always consumes it.

Chapter 3

1. **1.5%.** 7% − 5.5%, using the shortcut. The exact figure is 1.42%: (1.07 ÷ 1.055) − 1.
2. Because the balance grows at a slower rate than prices rise. The number of rupees increases; the goods those rupees can buy decreases.
3. At 9%, costs double in about 8 years (72 ÷ 9). So roughly **₹4,00,000**.

Chapter 4

1. About **8 years** (72 ÷ 9).
2. Because compounding is back-loaded. In early years the “interest on interest” is a tiny base; by year 30 the accumulated interest is many times the original principal, and the return is earned on all of it.
3. Because her money had ten additional years to compound — and those were the ten years that would compound the longest, making them the most valuable years of her investing life.

Chapter 5

1. As a business owner with irregular income, Kavita should target **6 to 12 months** of essential expenses — roughly ₹1.9 lakh to ₹3.8 lakh. Keep it in a savings account, sweep FD or liquid fund; never in equity.
2. Because term insurance provides the largest cover for the lowest premium, and keeping insurance and investment separate makes both cheaper and easier to compare. Bundled products typically give less cover than a term plan and lower returns than a mutual fund.
3. **Clear the card balance.** Eliminating a 36% cost is equivalent to a guaranteed, tax-free 36% return — three times what the fund has delivered, with no risk. It also helps her credit score twice over: the outstanding balance is cleared, and her credit utilisation drops sharply, which is one of the largest inputs to the score after repayment history.

Chapter 6

1. For example: *"I will invest ₹15,000 per month for the next 6 years to accumulate ₹13,00,000 for my son's wedding in 2032."* Specific amount, specific monthly contribution, specific date.
2. Suitable: a short-tenure fixed deposit or liquid fund. Unsuitable: an equity fund — an 18month horizon cannot absorb a market fall, and the money must be there in full on the date.
3. At 6%, costs double in about 12 years (72 ÷ 6). So roughly **₹10,00,000**.

Chapter 7

1. First, no regulated investment produces 36% a year with certainty — the risk-return relationship makes it impossible. Second, guaranteed returns in the securities market do not exist, and anyone offering them is either misrepresenting or defrauding.
2. Diversification reduces the factory fire and the company fraud (unsystematic, company specific). It does not reduce the recession or the interest rate rise (systematic, market wide).
3. **0.7%.** It tells you the investment is barely maintaining purchasing power — the nominal return looks respectable but the real gain is minimal.

Chapter 8

1. Diversification is spreading money so no single holding can seriously damage you. Asset allocation is deciding the proportion in each asset class.
2. Rebalancing requires selling equity and buying debt to return to 60%. It feels wrong because you are selling what has done well and buying what has not — which is exactly why it works as a discipline.

3. Because eight large-cap funds hold substantially the same companies. You have paid eight expense ratios for approximately one portfolio. Diversification means owning *different* things, not *many* things.

Chapter 9

1. **No.** The money goes to the investor selling you the shares. The company received money only when the shares were first issued in the primary market.
2. Equity capital does not have to be repaid and carries no fixed interest obligation, so it does not create pressure on cash flow during difficult periods.
3. A **mutual fund** — it pools money from many investors, so a small amount buys a share of a portfolio holding dozens of securities.

Chapter 10

1. No. A share price reflects what investors already expected. A record profit that is smaller than what the market had priced in can send the price down. Your outcome depends on the price you paid relative to what the business eventually delivers.
2. Right: a fund holds many companies, so the failure of any one of them hurts far less. Wrong: it is not safer than *shares as an asset class*. An equity fund carries equity risk in full, and can fall heavily when the market falls.
3. The lender family — a bond, deposit or similar instrument. Only a lender has an agreed amount on an agreed date. An owner has a claim on whatever is left, which is never fixed in advance.

Chapter 11

1. It guarantees settlement — every buyer receives their securities and every seller receives their money. It matters because you never need to know or trust the person on the other side of your trade.
2. The depository (NSDL or CDSL) maintains the electronic records centrally. The DP is your point of contact — a bank or broker that opens and services your account on the depository's behalf.
3. Because an RIA cannot receive commissions from product manufacturers, their recommendations are not influenced by which product pays them more. Their incentives align with yours.

Chapter 12

1. **IRDAI**, because it regulates insurance. SEBI regulates the securities market and has no jurisdiction over an insurance policy.
2. Existing bond prices **fall**, because newly issued bonds now pay more, making existing lower-coupon bonds less attractive at their old price.

3. First, SEBI does not approve or guarantee returns on any product. Second, assured returns in the securities market do not exist. Both statements are proof of dishonesty.

Chapter 13

1. Only a **savings bank account** plus completed KYC. Most mutual funds do not require a trading or demat account; units are held in a Statement of Account.
2. Because DigiLocker documents are verified at source and shared with your consent, so the institution receives an authenticated document rather than a photocopy that could have been altered.
3. **End the call and do not share the OTP.** No institution ever needs your OTP — not to verify you, not to cancel a fraudulent transaction. Then contact your broker on their official published number.

Chapter 14

1. **Neither.** NAV tells you nothing about whether a fund is cheap or attractive. The same amount buys proportionally more or fewer units; a 10% rise produces the same result either way.
2. **The distributor commission**, which is included in the Regular plan's expense ratio. The portfolios are identical.
3. NAV becomes **₹61** (plus applicable taxes). You are **no better off** — ₹3 has moved from the NAV to your bank account.

Chapter 15

1. A **liquid or ultra-short duration fund**, or a short FD. An **equity fund** would be clearly wrong — eight months cannot absorb a market fall.
2. Doubling took 7 years, so roughly **10%** (72 ÷ 7 ≈ 10.3%).
3. Because rolling returns compute the return over every possible window of a given length, showing consistency. Trailing returns depend entirely on the end date and can be flattered by a favourable starting point.

Chapter 16

1. Because the fixed rupee amount bought more units when the NAV was low in months 2 and 3. Those extra units are worth ₹60 each at the end, so the total holding exceeds the total invested.
2. Park it in a liquid fund and set up an **STP** into the equity fund over 6 to 12 months. Investing everything on one day exposes the entire amount to whatever the market does immediately afterwards.
3. Because an SWP gives control over the amount and timing, is usually more tax-efficient (only the gain portion of each redemption is taxed, rather than the whole distribution being taxed as income), and the balance keeps compounding.

Chapter 17

1. The **selling shareholders**, not the company. It should tell you that the people who know the business best consider this price attractive to sell at — and you are on the other side of that trade.
2. Because the money stays blocked in your own bank account and is debited only if shares are allotted. There is no refund process, no delay, and the money continues to earn interest meanwhile.
3. A UPI mandate is a **block, not a payment**, and it is only ever generated after *you* place a bid. Nobody needs a mandate approval or your PIN to send you shares or money. It is a fraud attempt.

Chapter 18

1. It guarantees settlement through novation, becoming buyer to every seller and seller to every buyer. Because it stands between the two parties, the identity and creditworthiness of your counterparty are irrelevant to you.
2. A market order executes immediately at the best available price; a limit order executes only at your specified price or better. The **limit order** is generally safer, because a market order in a thinly traded stock can execute far from the price you saw.
3. Costs are incurred on every transaction and multiply with frequency; leverage magnifies losses as well as gains; and short-term price movements are far less predictable than long-term business performance.

Chapter 19

1. The price **falls,** because newly issued bonds now pay a higher coupon, so your lowercoupon bond must be priced lower to offer a competitive yield.
2. **No.** You receive the agreed coupons and the principal at maturity regardless of interim price movements.
3. That the market perceives significantly **higher risk** in the second — credit risk, liquidity risk, or both. Extra yield is payment for risk, not a reward for finding a bargain.

Chapter 20

1. Because PPF has a 15-year lock-in with only limited partial withdrawal. That suits a retirement horizon and makes it unsuitable for money needed in four years.
2. SCSS pays interest **quarterly**, providing regular income. NSC accrues interest and pays at maturity, providing accumulation rather than income.
3. **Inflation risk.** Both provide safety and predictable returns but limited real growth. Over decades, a portfolio with no growth assets is very likely to fall short.

Chapter 21

1. That you actually placed the trade; that quantity and price match your intention; and that the brokerage matches your agreed tariff. (Also worth checking: the total cost including all statutory charges.)
2. Over a single day an equity portfolio is close to a coin toss, so frequent checking shows you many more losses. Combined with loss aversion, this steady discomfort eventually provokes an action, usually the wrong one.
3. Report it immediately in writing to your DP or broker, and escalate through the Chapter 27 channels if it is not resolved promptly.

Chapter 22

1. **Anchoring.** The reasoning is faulty because the market has no knowledge of your purchase price and no obligation to return to it. Whether to hold depends on the investment's prospects from today, not on what you paid.
2. Because in a market the crowd's own action moves the price. Everyone buying makes the price rise, which makes it look more attractive to the next buyer. The signal and the crowd become indistinguishable, so "everyone is buying" tells you nothing about value.
3. Waiting for a correction is market timing, and nobody does it reliably — the correction may not come for years, and the wait itself is the cost. They should restart on a chosen date rather than a market level, at a smaller amount than before, and in a lower-risk category if the earlier fall is what stopped them.

Chapter 23

1. An eighteen-month goal has no time to recover from a fall, and the money must be there on the date. Nikhil should move it now into a short-duration debt fund, recurring deposit or similar, and accept the smaller return as the price of certainty. That the fund has done well is irrelevant — it is the reason the risk is now largest.
2. **No.** Both are fifteen years away, so both start in equity, but they diverge. Education has a hard date and a fee that inflates faster than general prices, so it needs a larger target and a firm three-year taper into debt. A wedding is more flexible in timing and amount, and part of its cost may be met in gold accumulated gradually. Sukanya Samriddhi is also available for a daughter.
3. Because you can borrow for education and you cannot borrow for retirement. An education loan is a legitimate instrument taken against an appreciating asset and serviceable by the student. There is no equivalent at sixty. The goal with no deadline and no lender is the one that gets sacrificed, which is exactly why it must come first.

Chapter 24

1. **Short-term**, since the holding is 12 months or less. Taxed at 20% plus applicable cess.
2. Because up to ₹1.25 lakh of long-term equity gains is exempt **per financial year**. Splitting realisation across two years can use the exemption twice.

3. Because the money invested in April has an additional twelve months to compound — and because a March purchase is usually made in haste, without proper regard to suitability.

Chapter 25

1. With a nomination, the nominee can claim with a death certificate and prescribed identification. Without one, the heirs must establish legal entitlement — potentially a succession certificate or probated will — taking months and costing money at the worst possible time.
2. Because it is effectively a signed blank cheque for your securities. Anyone holding it can complete the details and transfer your holdings elsewhere.
3. To the **Investor Education and Protection Fund (IEPF). Yes** — they can be reclaimed by filing Form IEPF-5 online and submitting supporting documents to the company's Nodal Officer.

Chapter 26

1. An abnormal return presented as safe; manufactured urgency; social proof; an opaque method; early payouts that work; then friction and disappearance.
2. Because no legitimate intermediary in India ever requires a payment in order to release your own money. It is the point at which the operation converts a fictitious balance into a further real extraction.
3. **End the call and share nothing.** SEBI does not call investors asking for OTPs, and no institution ever needs your OTP. Then report it and verify independently through official channels.

Chapter 27

1. Raise it in writing with the broker's compliance officer and keep the acknowledgement. If unresolved, lodge a complaint on SCORES. If still unresolved, use Smart ODR. The exchange's Investor Services Cell is also available for matters involving a trading member.
2. **No.** A fall in the value of an investment is investment risk, not a grievance. SCORES does not cover dissatisfaction with investment performance.
3. Because conventional dispute resolution costs more than a small dispute is worth, so small-value investors historically had no proportionate remedy. ODR is digital, faster and cheaper, making such disputes economically worth pursuing.

Appendix E

Where to Verify Anything

Every rule, rate and threshold in this workbook can change. These are the authoritative sources. Bookmark them.

Regulators

Source	Address	Use it for
SEBI	https://www.sebi.gov.in	Registered intermediaries, recognised exchanges and MIIs, regulations, circulars, enforcement orders
SEBI Investor Website	https://investor.sebi.gov.in	Investor education, product information, rights, grievance redressal, safety resources
RBI	https://www.rbi.org.in	Monetary policy, banking regulation, NBFC lists, payment systems
IRDAI	https://www.irdai.gov.in	Insurance regulation, insurer lists, claim settlement data
PFRDA	https://www.pfrda.org.in	National Pension System, Atal Pension Yojana

Verification and safety

Source	Address	Use it for
SEBI Check	https://siportal.sebi.gov.in/intermediary/sebi-check	Verifying an intermediary's UPI ID

		and bank account before paying
SEBI Investor Charter	https://investor.sebi.gov.in/Investorcharter.html	Your rights, responsibilities and the Do's and Don'ts
National Cyber Crime Reporting Portal	https://cybercrime.gov.in	Reporting cyber and financial fraud. Helpline: **1930**

Complaints and disputes

Source	Address	Use it for
SEBI SCORES	https://investor.sebi.gov.in/sebi_scores.html	Lodging and tracking securities market complaints
Smart ODR	https://smartodr.in/	Online conciliation and arbitration

Investments and holdings

Source	Address	Use it for
MF Central	https://www.mfcentral.com	Consolidated view of mutual fund holdings across fund houses
MITRA	Reached through MF Central and the AMFI website	Tracing inactive or forgotten mutual fund folios
RBI Retail Direct	https://retaildirect.rbi.org.in	Buying Government Securities, T-Bills and SDLs directly
IEPF Authority	https://www.iepf.gov.in	Searching for and claiming unclaimed shares and dividends

NSDL and CDSL	https://nsdl.co.in and https://www.cdslindia.com	Demat account information and holding statements
AMFI	https://www.amfiindia.com	Mutual fund industry data, NAVs, distributor verification

Tax

Source	Address	Use it for
Income Tax Department	https://www.incometax.gov.in	Current tax rules, rates, Form 26AS, Annual Information Statement, filing

Learning further

Source	Address
SEBI Investor Awareness Test (free)	https://siat.nism.ac.in
NISM Investor Education (Basic)	https://online.nism.ac.in
Saa₹thi app	SEBI's official investor education app, available on major app stores

Appendix F

Glossary

Active fund — A mutual fund whose manager selects securities aiming to outperform a benchmark index.

Active income — Income earned from your own labour and time. It stops when you stop working.

Anchoring — A bias in which disproportionate weight is given to the first number encountered, such as your purchase price.

Annual maintenance charge (AMC) — The yearly fee a Depository Participant charges for holding a demat account. Reduced or waived for an eligible BSDA. Not to be confused with an Asset Management Company, also abbreviated AMC.

Annual Information Statement (AIS) — A statement showing information the Income Tax Department holds about your income and transactions.

Arbitration — A binding dispute resolution process in which an independent arbitrator passes an award.

ARN — AMFI Registration Number, held by mutual fund distributors.

ASBA — Application Supported by Blocked Amount. Money is blocked in your own bank account for a public issue application rather than transferred away.

Asset allocation — The proportion of a portfolio held in each asset class.

Asset class — A category of investments sharing similar characteristics and risk-return behaviour, such as equity, debt, gold or cash.

Asset Management Company (AMC) — The company that manages a mutual fund's schemes.

Bad debt — Borrowing used to fund consumption or depreciating assets, typically at high interest.

Benchmark — The index against which a fund's performance is compared.

Bond — A debt instrument. You lend to the issuer and receive interest and repayment of principal.

Bonus issue — Additional shares issued free to existing shareholders from reserves. No money is raised and no value created.

BSDA — Basic Services Demat Account. The same demat account with annual maintenance charges reduced or waived, available to an individual holding one demat account as first holder with holdings within prescribed value limits.

CAGR — Compound Annual Growth Rate. The annualised rate of return over a multi-year period.

Capital appreciation — The gain arising when the value of an investment rises.

Capital gain — The profit on selling an investment for more than its cost.

CAS — Consolidated Account Statement, showing securities held in your demat account and, where linked, mutual fund holdings.

Clearing corporation — The institution that guarantees settlement of exchange trades.

Close-ended fund — A scheme with a fixed tenure; units are bought only during the New Fund Offer and traded on an exchange thereafter.

Cognitive bias — A systematic deviation from rational judgement.

Commodity derivative — A futures or options contract whose value derives from the price of a physical good such as gold, crude oil, copper or a crop. Traded on SEBI-regulated commodity exchanges including MCX and NCDEX.

Compounding — Earning returns on previously earned returns.

Concentration risk — Risk arising from holding too much of a single asset, sector or issuer.

Conciliation — A facilitated settlement process in which a neutral third party helps parties reach agreement.

Contract note — The document issued by a broker after every trade, itemising price, quantity, brokerage, taxes and charges.

Coupon — The interest paid by a bond.

Credit information company — An entity regulated by the RBI that maintains credit records and computes credit scores. India has four: CIBIL (TransUnion), Experian, Equifax and CRIF High Mark.

Credit rating — An agency's opinion of an issuer's likelihood of meeting its obligations.

Credit score — A three-digit summary of how reliably a borrower has repaid credit, generally on a 300–900 scale. Used by lenders to decide whether to lend and at what rate.

Credit utilisation — The proportion of your available credit card limit that you use. Consistently high utilisation lowers your credit score even if you pay in full.

Hard enquiry — A lender's check of your credit report when you formally apply for credit. Recorded on the report and, in numbers, can lower the score.

Soft enquiry — Your own check of your credit report, or a lender's pre-approval check. Not recorded against you and has no effect on the score.

Current income — Money received at intervals from an investment, such as interest or dividends.

Dabba trading — Illegal trading conducted outside a recognised exchange, with no clearing guarantee or investor protection.

Debenture — A debt instrument similar to a bond.

Deficit — Expenditure exceeding income.

Demat account — An account holding securities in electronic form.

Dematerialisation — Conversion of physical certificates into electronic holdings.

Depository — An institution holding securities electronically. India has two: NSDL and CDSL.

Depository Participant (DP) — An agent of a depository through which you open and operate a demat account.

DICGC — Deposit Insurance and Credit Guarantee Corporation, which insures bank deposits up to a prescribed limit per depositor per bank.

DigiLocker — A government platform for storing and sharing verified documents electronically.

Dilution — Reduction in existing shareholders' proportional ownership when new shares are issued.

Direct plan — A mutual fund plan bought directly from the AMC, without distributor commission, and therefore with a lower expense ratio.

Diversification — Spreading investments so that no single asset, sector or event can cause serious damage.

Dividend — A distribution of profits by a company to its shareholders.

DDPI — Demat Debit and Pledge Instruction. A limited authorisation allowing a broker to debit or pledge securities for four defined purposes only — settling your sales, meeting your margin obligations, executing mutual fund transactions on exchange platforms, and tendering shares in open offers. Introduced by SEBI in 2022 to replace the general Power of Attorney.

DIS — Delivery Instruction Slip. The instruction to your DP to debit securities from your demat account and deliver them elsewhere. Issued as a serially numbered booklet; a signed blank leaf is a signed blank cheque for your shares.

DRHP — Draft Red Herring Prospectus, the disclosure document filed before a public issue.

Duration — A measure of a bond's or debt fund's sensitivity to changes in interest rates.

eDIS — Electronic Delivery Instruction Slip. The digital equivalent of a DIS: you authorise the debit of named securities using a PIN issued to you by the depository (TPIN at CDSL, MPIN at NSDL) plus a one-time password. The authorisation is transaction-specific and normally lapses at the close of that trading day.

EEE — Exempt-Exempt-Exempt. A tax status where contribution, accrual and maturity are all exempt.

ELSS — Equity Linked Savings Scheme, an equity mutual fund category historically eligible for tax deduction with a lock-in.

EMI — Equated Monthly Instalment.

Emergency fund — Money set aside for unexpected events, kept safe and immediately accessible.

Endowment effect — Valuing something more highly simply because you own it.

Equity share — An instrument representing part-ownership of a company.

ETF — Exchange Traded Fund. A fund tracking an index or commodity, traded on an exchange like a share.

Exit load — A charge levied on redemption of mutual fund units before a specified period.

Expense ratio — See Total Expense Ratio.

Family floater — A health insurance policy covering an entire family under one shared sum insured.

Flexi-cap fund — An equity fund investing across large, mid and small capitalisations without a fixed allocation.

FPO — Follow-on Public Offer. A further public issue by an already listed company.

Free-float market capitalisation — Market value of only those shares available for public trading, used in index weighting.

Fresh issue — New shares created and sold, with the proceeds going to the company.

Fund of Funds — A scheme investing in other mutual funds or ETFs.

Future value — What an amount invested today will grow to over a period at a given rate.

Gilt fund — A debt fund investing primarily in government securities.

Glide path — A planned reduction in growth-asset exposure as a goal approaches.

Good debt — Borrowing used to acquire an appreciating or income-producing asset.

Grey market premium — An unofficial, unregulated indication of the price at which an unlisted IPO share is being quoted. No legal standing.

Growth plan — A mutual fund option where income is reinvested rather than distributed.

Herd behaviour — Buying or selling primarily because others are doing so.

Hybrid fund — A fund holding a mix of equity and debt.

IDCW — Income Distribution cum Capital Withdrawal. A mutual fund option that distributes income and may return capital, reducing the NAV accordingly.

IEPF — Investor Education and Protection Fund, to which unclaimed dividends and shares are transferred after seven years.

Index — A measure of the performance of a defined group of securities.

Index fund — A passive fund replicating an index.

Indexation — Adjusting an asset's purchase cost for inflation before computing capital gains.

Inflation — The general rise in prices, reducing the purchasing power of money.

Interval scheme — A scheme permitting transactions only during specified intervals.

Intraday trading — Buying and selling the same security within a single trading session.

InvIT — Infrastructure Investment Trust, a listed vehicle owning operating infrastructure assets.

IPO — Initial Public Offer. A company's first offer of shares to the public.

ISIN — International Securities Identification Number, uniquely identifying a security.

KIM — Key Information Memorandum, a condensed summary of a Scheme Information Document.

KRA — KYC Registration Agency, which maintains central KYC records.

KYC — Know Your Customer. Mandatory identity verification before investing.

Leverage — Using borrowed funds to increase position size, magnifying both gains and losses.

Limit order — An order that executes only at a specified price or better.

Liquid fund — A debt fund investing in instruments of very short maturity, used for parking money.

Liquidity — The ease with which an investment can be converted into cash at a fair price.

Loss aversion — The tendency to feel losses roughly twice as strongly as equivalent gains.

LTCG — Long-Term Capital Gain.

Market order — An order that executes immediately at the best available price.

Market risk — Risk affecting the whole market, which diversification cannot remove. Also called systematic risk.

Maturity — The date on which a debt instrument's principal is repaid.

MII — Market Infrastructure Institution: stock exchanges, clearing corporations and depositories.

MITRA — Mutual Fund Investment Tracing and Retrieval Assistant, used to trace inactive folios.

Momentum investing — A rule-based strategy that invests according to analysed trends, with defined entry and exit criteria.

Mutual fund — A pooled investment vehicle investing many investors' money in a managed portfolio.

NAV — Net Asset Value. The per-unit value of a mutual fund scheme.

NBFC — Non-Banking Financial Company, regulated by the RBI.

NFO — New Fund Offer. The initial offer period of a new mutual fund scheme.

Nomination — A registration specifying who should receive an account's assets on the holder's death.

Nominal return — The stated return, before adjusting for inflation.

NPS — National Pension System, a market-linked retirement system regulated by PFRDA.

NSC — National Savings Certificate.

Off-market transfer — A transfer of securities between demat accounts without going through an exchange.

Offer for Sale — Existing shareholders selling their shares in a public issue; proceeds go to them, not the company.

Open-ended fund — A scheme allowing purchase and redemption at any time at the prevailing NAV.

Overconfidence — Overestimating one's own knowledge, judgement or predictive ability.

Passive fund — A fund that tracks an index rather than attempting to beat it.

Passive income — Income from assets already owned, which continues without daily labour.

Pay-in and pay-out — The delivery of funds and securities to, and their distribution from, the clearing corporation during settlement.

PPF — Public Provident Fund, a long-term government-backed savings scheme.

Present value — The current worth of a future amount, discounted at a given rate.

Price discovery — The process by which market trading establishes a security's price.

Primary market — Where securities are issued for the first time.

Purchasing power — The quantity of goods and services a given amount of money can buy.

Real return — Nominal return minus inflation.

Rebalancing — Restoring a portfolio to its target asset allocation.

Recency bias — Assuming what has happened recently will continue.

Regular plan — A mutual fund plan bought through a distributor, with commission included in the expense ratio.

REIT — Real Estate Investment Trust, a listed vehicle owning income-producing real estate.

Rights issue — Shares offered to existing shareholders in proportion to their holdings.

RIA — Registered Investment Adviser, registered with SEBI and permitted to charge fees but not product commissions.

Risk — The possibility that actual returns differ from expected returns, including loss of capital.

Risk capacity — How much loss you can afford, objectively.

Risk-o-meter — A standardised six-level indicator of a mutual fund scheme's risk.

Risk tolerance — How much loss you can bear psychologically.

Rolling returns — Returns computed over every possible window of a given length, showing consistency.

RTA — Registrar and Transfer Agent, which maintains investor records for issuers and funds.

Rule of 72 — A shortcut for estimating doubling time: 72 divided by the annual rate of return.

Rupee cost averaging — The effect of a fixed periodic investment buying more units when prices are low and fewer when high.

SAI — Statement of Additional Information, containing statutory and legal information about a mutual fund.

SCORES — SEBI Complaints Redress System.

SCSS — Senior Citizens Savings Scheme.

Secondary market — Where existing securities are traded between investors.

Sectoral fund — A fund investing in a single sector.

Security — A tradable financial instrument representing ownership or debt.

SEBI — Securities and Exchange Board of India, the securities market regulator.

SEBI Check — A tool for verifying an intermediary's UPI ID and bank account before payment.

Settlement — Completion of a trade through delivery of securities and funds.

SID — Scheme Information Document, the detailed document for a mutual fund scheme.

SIP — Systematic Investment Plan. Investing a fixed amount at fixed intervals.

SME IPO — A public issue on an exchange's platform for small and medium enterprises, with lighter eligibility norms and higher minimum application sizes.

SOA — Statement of Account, issued by an AMC or RTA for mutual fund units held outside demat.

Standard deviation — A measure of how widely returns have varied around their average.

STCG — Short-Term Capital Gain.

Step-up SIP — A SIP that automatically increases at defined intervals.

Stop-loss order — An order triggering a sale if the price falls to a specified level.

STP — Systematic Transfer Plan. Moving a fixed amount between schemes at fixed intervals.

STT — Securities Transaction Tax, levied on transactions executed on recognised exchanges.

Sudarshan — SEBI's in-house artificial intelligence system, operational since November 2025, which scans publicly available social media content for securities market fraud — guaranteed return claims, fake certifications, impersonation of registered entities and unregistered investment advice.

Sum assured — The amount payable under an insurance policy on a claim.

Surplus — Income minus expenditure, when positive.

SSY — Sukanya Samriddhi Yojana, a savings scheme for a girl child.

SWP — Systematic Withdrawal Plan. Redeeming a fixed amount at fixed intervals.

Systematic risk — See market risk.

T+1 — Settlement one working day after the trade date.

TDS — Tax Deducted at Source.

TER — Total Expense Ratio. The annual cost of a mutual fund, deducted from its assets.

Term insurance — Pure life cover with no maturity payout, offering the largest cover for the lowest premium.

Time horizon — The period until money is needed for a goal.

Time value of money — The principle that a rupee today is worth more than a rupee in the future.

Transmission — The passing of securities by operation of law, typically on the holder's death.

Transfer — A voluntary change of ownership during the holder's lifetime.

Transposition — Changing the order of names in a jointly held security without changing the holders.

Two-factor authentication — A second verification step after a password.

Unit — A share of a mutual fund scheme.

Unsystematic risk — Company- or sector-specific risk, which diversification can substantially reduce.

UPI block mandate — A facility blocking funds in your own bank account, debited only on trade execution.

Validated UPI handle — The exclusive "@valid" UPI handle used by SEBI-registered investor facing intermediaries.

Volatility — The extent to which a price fluctuates.

Yield — The return on a debt instrument, reflecting its price and coupon.

A Closing Note

If you have worked through this book, you now know more about the Indian securities market than most people who invest in it.

But knowledge was never the hard part. The hard part is the twenty years after Chapter 27 — the months when the market falls and the news is frightening, the years when nothing much seems to happen, the raises that could increase your SIP and quietly do not.

There is no chapter that can be written for those years. There is only what you set up in advance:
the automatic transfer, the written plan, the emergency fund, the nomination, the habit of verifying before paying, and the discipline of reviewing twice a year and doing nothing in between.

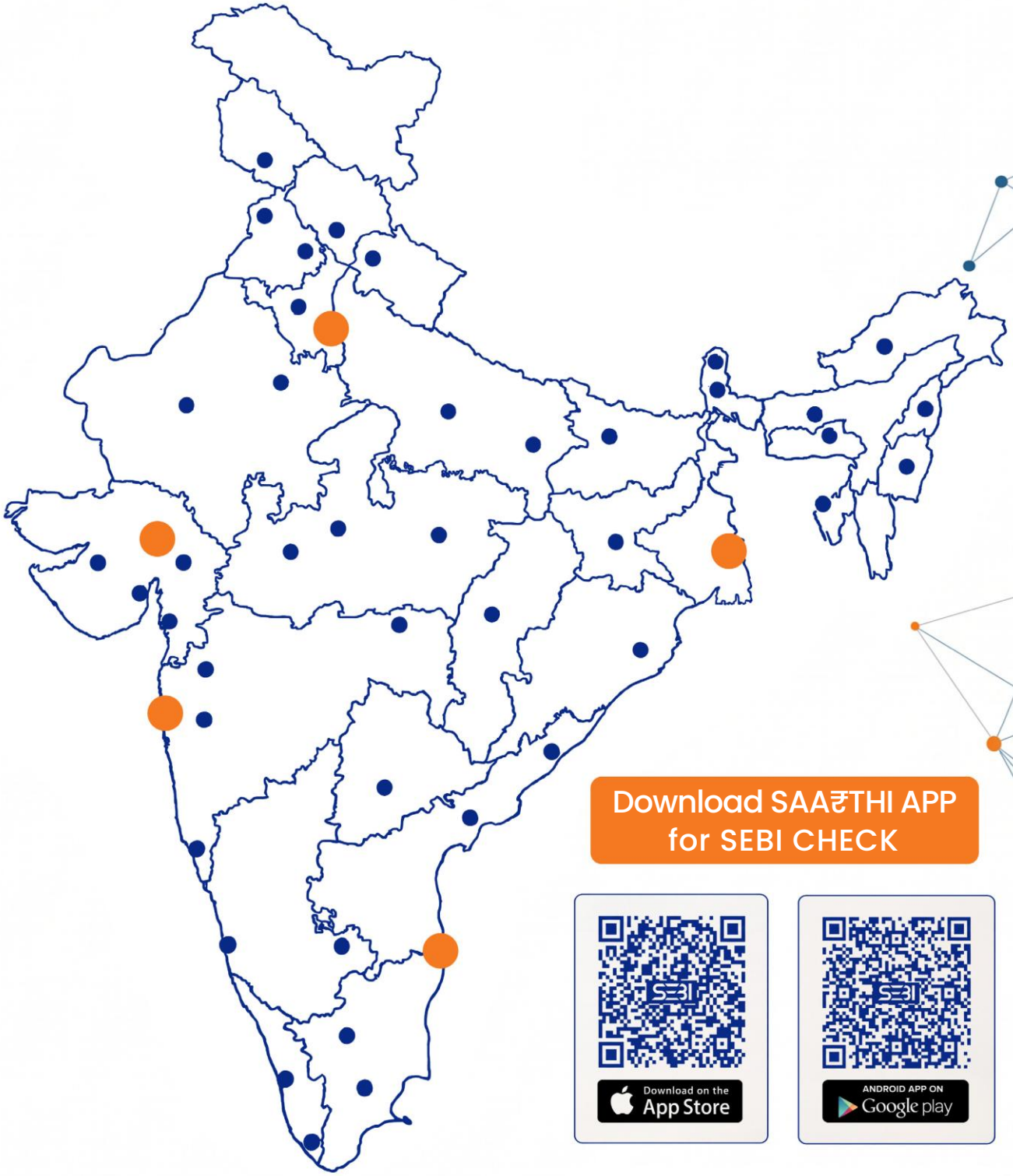
Everything in this workbook reduces to five sentences.

1. **Spend less than you earn, and know the number.**
2. **Protect yourself before you invest — emergency fund, insurance, no high-cost debt.**
3. **Match every investment to a goal and its time horizon.**
4. **Start early, keep it automatic, and leave it alone.**
5. **Verify everyone before you pay them, and never share an OTP.**

The rest is detail.

Start today. The most valuable years are the ones you are currently deciding whether to use.

‘EMPOWER YOUR FINANCIAL FUTURE START YOUR JOURNEY TODAY’



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Securities and Exchange Board of India

NISM National Institute of Securities Markets

A Capacity Building Initiative of SEBI